

LISTA - Combined Stakeholder Interviews: Trimble Financials Payroll

8/4

Trimble Financials Payroll - Stakeholder Interview

Invited Gary Gilmore Shakyma Edwards Natallia Prokin Neil Cadsawan Jeff Doolittle Matt Thurber

Attachments

Meeting records

Summary

Jeff Doolittle initiated the meeting to scope construction payroll for Prism, aiming to quickly add this functionality to meet tight deadlines, especially given the recent departure of the product manager for this initiative. Gary Gilmore explained Vista's traditional target market as mid to large enterprise general construction companies in the US, while Prism is understood to target the SMB market, which generally has simpler payroll requirements. The key discussion points included Prism's target market, payroll flow in Vista, third-party integrations for payroll, check printing and EFT processing, data security and PII, offloading payroll functions, job costing and time tracking, and compliance and jurisdictional mandates.

Details

- Meeting Objective and Scope Jeff Doolittle initiated the meeting to discuss scoping construction payroll for Prism, aiming to quickly add this functionality beyond existing accounting features due to tight deadlines (00:00:00). The goal is to define the boundaries of what needs to be built, considering UX and target market to aid in roadmapping, especially since the product manager for this initiative recently left the company (00:01:01).
- Vista's Target Market Gary Gilmore described Vista's traditional target market as mid to large enterprise general construction companies in the US, which has expanded over 40 years to include Canada and Australia, as well as contractors with unique needs like heavy highway construction (00:01:54). Jeff Doolittle asked about Prism's target market, to which Gary Gilmore responded that Prism is understood to be targeting the SMB market, which generally has simpler payroll requirements (00:04:16).
- Simplicity for SMB Market Gary Gilmore explained that SMBs typically have a smaller workforce, less union involvement, and are less concerned with technological efficiencies, often preferring traditional methods. Additionally, the focus for Prism's payroll for SMBs would initially be on the US market, avoiding the regulatory complexities of Canada and other regions (00:04:16).
- Payroll Flow in Vista Gary Gilmore detailed Vista's payroll process, which encompasses employee onboarding, time and work data collection, calculations, compliance, and payment (00:06:44). Vista inherently handles gross-to-net calculations and integrates with other modules like job cost, general ledger, and equipment for comprehensive financial reflection and reporting (00:09:26).
- Third-Party Integrations for Payroll Gary Gilmore highlighted Atrix as Vista's largest third-party integration, used for regulatory reporting, quarterly reports, and e-filing of W2s since 2017 (00:13:08). They noted that Atrix is more suitable for smaller to mid-range contractors due to UI limitations, and there are ongoing efforts to integrate with solutions like ADP for larger enterprise customers (00:14:26).
- Check Printing and EFT Processing Regarding check printing, Gary Gilmore mentioned that some Vista users print checks on-site, though many are moving towards electronic payments (EFT) (00:14:26). Natallia Prokin clarified that MICR ink is no longer required for check printing due to modern bank scanners, allowing customers to use regular check stock and ink. For EFT, Vista creates the universal file format, but the construction company's payroll department is responsible for uploading it to their bank (00:16:24).
- Data Security and PII Gary Gilmore acknowledged that Vista does not adequately protect Personally Identifiable Information (PII) at rest, noting that it is not obscured or obfuscated within the system, which

is a concern. Jeff Doolittle emphasized that this will be a crucial consideration as the company moves towards more SaaS-type systems (00:17:28).

- Offloading Payroll Functions Jeff Doolittle inquired about other payroll functions that could potentially be offloaded to third parties. Gary Gilmore reiterated that regulatory reporting was offloaded to Atrix because keeping up with changes was beyond their team's capacity (00:18:21). Gary Gilmore also indicated that while some contractors desire to offload payroll, it is deeply embedded and integral to their ERP, making it difficult to fully outsource (00:19:25).
- Job Costing and Time Tracking Someone in 424 - Fields Park (USA - OR - Lake Oswego, 4) asked about how Vista imports job phase codes and budget information to ensure accurate time card entries and billing (00:20:41). Gary Gilmore explained that labor budgets are developed by estimators and stored in job cost, while payroll focuses on collecting actual time spent on the job (00:21:37). Gary Gilmore clarified that tracking productivity against the budget is an operational function managed by project managers using job cost reports (00:22:55).
- Compliance and Jurisdictional Mandates Shakyma Edwards inquired about how Vista handles different state mandates, payroll compliance, and tax regulations across various jurisdictions. Gary Gilmore explained that Vista allows for configuration at federal, state, and local levels to identify expected deductions and taxes based on jurisdictional compliance (00:25:03). They noted that configuration occurs at both the employee and jurisdictional levels, which combine on a time card to determine necessary deductions and liabilities (00:26:10).
- Understanding Payroll Complexities Shakyma Edwards asked about the estimated time to fully understand and implement all the necessary calculations and compliances across over 50 states. Gary Gilmore stated that it is an impossible question to answer due to the constant changes in regulatory requirements and the expansive, spiderweb-like nature of payroll complexities (00:27:33). Jeff Doolittle added that while some parts are consistent, new regulations, such as piece calculations, can necessitate significant reworks (00:28:37).

Suggested next steps

1 Jeff Doolittle will consolidate all of the answers from everyone and put together a plan by the end of the month.

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Transcript

Trimble Financials Payroll - Stakeholder Interview - Transcript

00:00:00

Jeff Doolittle: All right. Hey, Shakima. Glad you made it. So, this is going to be quick. We've got about a half an hour of time. So, Gary, thanks first off for giving us the time. A group of us have been tasked with trying to lead out on getting some scoping around construction payroll for Prism. They want to add beyond just accounting. They want to actually add construction payroll as well. Like many of the projects, it sounds like they've got some tight deadlines. They want to see progress quickly. And so a lot of what we're looking for is I think many of us have experience in payroll of various kinds. I've done a payroll. Gary, you've been working on payroll and construction for a really long time with Vista. Others have with Spectrum. And you know, thanks for your response so far that you gave us with the Google Document. And I really appreciate the attention to detail and everything that's in there. I think if we were just going

to say what does it take to comprehensively build everything that it takes to build a construction payroll system, that would be one conversation.

00:01:01

Jeff Doolittle: I think what we're really looking for is some sense of what I've got on the screen here. And you may or may not have, you know, strong opinions on this, but we we kind of hope you do because we want to get some alignment around some of these things. And since I see you squinting, let me make it a little bit larger so it's easier to read. So, broadly speaking, what we want to do with this time is and then and then I'll get through these questions and if if Shaima has any UX specific questions or if Natalyia has product specific questions. Uh, and then architecturally what I'm looking for is like where are the boundaries of what we're building? How big does it have to go? I think that's going to affect UX as well when we talk about what workflows we want to start with, you know, which target market are we going to go after, these sorts of things. And then that's going to help us scope something and road map something out. We did have a product manager for this who unfortunately left the company about I don't know a month ago or six weeks ago.

00:01:54

Jeff Doolittle: So we're just trying to forge ahead uh with who we have and see what we can get done. Does that make sense? So with that said, um if you could speak first a little bit, I know it's broad, but let's let's give the transcript some content that it can drive from as well. How would you describe the target market for Vista? First off, Gary

Gary Gilmore: Well, uh, Uh traditionally it uh it's been general construction in the uh mid to large enterprise um scale within the US um and then it has extended over time to include Canada and Australia and take on contractors who maybe are working in closely related construction areas but slightly different focus. So by that I mean you know heavy highway folks that are more unit based uh dealing with different types of activities sometimes we service contractors uh that might have unique needs as well but primarily the focus has always been kind of the general the sweet spot has been the the mid the large size general contractors in the US.

Jeff Doolittle: Did it start there for the beginning or did it grow into that?

00:03:14

Gary Gilmore: It did.

Jeff Doolittle: It did.

Gary Gilmore: No, no, it's it Well, I mean, it it evolved.

Jeff Doolittle: Okay.

Gary Gilmore: I mean, you're looking at a product that's 40 years old, so it has it has continued to to grow and and um build out new features and functionality and react to the changing regulatory requirements uh that have happened

Jeff Doolittle: Right.

Gary Gilmore: over those decades as well. So,

Jeff Doolittle: Yeah. So from your perspective for let's say you were you know you were tasked with

building something that was going to provide payroll for Prism and you know partly what we're looking for too is there's the build pieces and then there's the buy pieces. there's you know when where are those integration points but before we get into that which which I've got some questions on here that we will uh that we'll kind of dive into that a little bit more in a bit when we talk about target market what's your current understanding of what the prism project has been trying to achieve as far as target market in the near term and then as far as uh you know where you see that going in the future

00:04:16

Gary Gilmore: Well, only, you know, in conversations with the folks that have been involved in that project, it's my understanding that they're targeting on the SMB market. That's where gold opportunity is. Um and they have generally more simplistic requirements um for payroll in general or just general construction uh sophistication technically and but specifically around payroll.

Jeff Doolittle: Yeah. When you talk about simpler, I know you've got this in some of the document that you sent as well, but just briefly, what is it that makes it simpler for SMB versus a mid to largesized construction company?

Gary Gilmore: Well, I think first of all, they're dealing with a smaller workforce. Um, they perhaps are using um less less union involvement. I uh it it could be that they're you know because of their scale they can uh they're less concerned about some of the the efficiencies that can be gained through technology. They they kind of do things the old school way and so they're a bit more forgiving in that respect. Um, it's also my understanding that we would focus uh just on the on the US market and leave those issues with respect to regulatory requirements that would crop up in Canada and other geos kind of out of the mix.

00:05:47

Jeff Doolittle: Okay.

Gary Gilmore: I don't know Natalya, you've had a lot of experience. I mean, you've you've been in the field far more than than I have. So, you know, feel free to jump in here.

Jeff Doolittle: Well, we're gonna interview her in a different context, Gary. So, this is this is this is the Gary show.

Gary Gilmore: Oh, okay. All right.

Jeff Doolittle: Okay.

Gary Gilmore: Okay. Okay.

Jeff Doolittle: Yeah, Natalya will definitely I mean, you feel free to chime in, Natalya, if you have questions, of course, but we do intend to interview she'll she'll switch seats and and we're going to interview Natalya as well.

Gary Gilmore: Okay.

Natallia Prokin: Yeah, I got that part. Yeah, I'll just uh be a fly on the wall. I'm good.

Gary Gilmore: Okay.

Jeff Doolittle: Thanks, Natalia.

Natallia Prokin: That's it.

Jeff Doolittle: So, let's get to the nuts and bolts of of what I'm looking for out of this conversation, and then I'll turn it over to Shaima and Neil and and see what they're looking for. The real main thing we want to accomplish in the 24 minutes we have left, Gary, is we want to start getting a sense of how big is what we actually have to build.

00:06:44

Jeff Doolittle: And there's a couple of ways to look at that. So we just talked about one you know size of workforce how complicated are the jurisdictional rules or you know if there's compliance related to unions or certified versus non-certified like that we kind of get but then we start looking at and this is where I'm going to look for your expertise on Vista when we look at the the various parts of a payroll flow from you know time and work entry at the very beginning stage which of course there's obviously configuration and setup for that there's employee onboarding You know, there's all those kinds of aspects to it. Then there's collecting the time and work data. Then there's doing all the calculations and the compliance that you need to do. And then there's actually paying them and their pay statements. Can you walk us through with Vista sort of from that start to finish what does Vista do and where does it have either third-party applications or even if that third party application is Excel or or paper, right? And then also when we start getting to things like because I think I know the answer but I again I want to get it into the transcript so we can feed it into you know an LLM later at the other end of the spectrum as well.

00:07:59

Jeff Doolittle: You know when we talk about actually making a direct deposits into people's accounts or or sending them paychecks in the mail or having them pick up their paychecks in an envelope and printing those checks seeing their their earnings reports. If you can walk us through what does Vista do and and then what other thirdparty components or applications or things are involved in that process as well, that would be really helpful.

Gary Gilmore: Well, I actually you've described and touched on a number of those things. I mean we the attempt has always been to uh from from setting up a pay period well even before that the you know the onboarding of the employees capturing that information necessary that's all payroll related uh with respect to pay rates and job classifications and and all of that and then um that all comes up front uh and we do rely to a certain extent on kind outside systems maybe Vista web and HR to help facilitate the you know the initial establishment of some of that information but it's ultimately the payroll manager who's you know vouching for the accuracy of it and then uh certainly the the time collection whether it be in the field and that can be submitted in quite a number of different ways traditionally it's like handwritten time sheets uh collected by a superintendent or foreman turned in through an Excel spreadsheet either manually keyed into the system.

00:09:26

Jeff Doolittle: Okay.

Gary Gilmore: there's there's some process of capturing and then loading that those time sheets into into the payroll system. Part of that uh process also then is identifying all the related um attributes that go with that like you know what state are they working in for tax purposes, what local code, what craft class, what insurance code, all of all of those things that will have um an impact on the deduction and liability calculations and ultimately the the net pay and the burden for that for that uh for that payroll. Uh and then there's the gross net calculation. So you know typically on a weekly basis for many of our contractors they set up a pay period for the week. Uh they'll collect the time cards. Uh then they will per if they're you know

following a good practice they'll do some review editing things like that review and approval and then they will calculate the the net pay. And that's uh that's a bit of a black box frankly for us. It's um but it is something that we inherently do within Vista.

00:10:49

Gary Gilmore: But it's the application the inspection and application of all the deductions all the burden liabilities everything that needs to be calculated um as a result of capturing that time. And then that information then ultimately is prepared and moves on to the other systems like job cost to record the labor and the burden in within that system general ledger so that it's financially un uh reflected on the books. Uh we capture equipment revenue and usage within payroll as well. So that then drives through the equipment module. Um so yeah sure correct.

Jeff Doolittle: Real quick, can I pause there? when you say capture that in payroll um are we saying that while we're doing time entry we're also collecting equipment use logs and then those are being included as part of that process of getting that entered into the system. Okay.

Gary Gilmore: Yeah. So you've got a you've got an operator, you got a a worker who is operating a you know a piece of equipment and that piece of equipment is also being costed to the job but it's generating its own revenue and that's being captured.

00:12:00

Gary Gilmore: So um that's all collected as a part of that um that that d that data feed of information.

Jeff Doolittle: Okay.

Gary Gilmore: Um so so anyway then uh then the once the the net pay for the week is uh calculated then it's the act of paying the employees because ultimately that's what you have to do. That's very time critical.

Jeff Doolittle: All right.

Gary Gilmore: Uh and so whether it's electronically or through a paper check I mean I think it's fair to say most people have moved on from paper checks. Um but there are complications to that process as well. There could be immediate layoff checks and requirements that a check be delivered to the to the job site to the field immediately upon some kind of a layoff situation. So anyway, yes, you still have to handle the checks.

Jeff Doolittle: Yeah. So, we'll still have checks.

Gary Gilmore: Um and then uh once that information is has been processed, the employees been paid uh and then we can go ahead and and move on and you know push it into those other modules that we talked about job cost, GL, equipment and so forth.

00:13:08

Gary Gilmore: But ultimately then there's the um close out of the week and so forth and and then at the back end of that is all the compliance the reporting compliance uh the quarterlys the the union reports um all those things that have to be done on a on a recurring basis and then at year end is W2s or G4s for Canada and things like that. So, yeah, it's uh it's a bit of a monster. I didn't mention the the garnishments that need to be paid out, the um the certified payroll reporting. That's all part of compliance and dealing

with those aspects of it as well. So, uh you you ask about third party integration.

Jeff Doolittle: Right.

Gary Gilmore: Um the largest integration we have right now is with respect to regulatory reporting and electronic filing and that would be our partnership with Atrix. So they are a Atrix.

Jeff Doolittle: What's it

Gary Gilmore: Yeah Atrix it's AAT RIIIX. Uh they are a company that we've been uh partnered with since 2017. They do the regulatory reporting, the quarterly reports and eiling and can handle W2s and so forth.

00:14:26

Gary Gilmore: They uh they fit better with a a smaller to mid-range contractor because of some of their UI limitations and so on. It's a little difficult for some of our larger enterprise customers that may have thousands literally thousands of employees to to deal with them. they they are looking for something more like a an ADP integration with smart compliance and things like that. So which we uh you know which is being worked on. So okay so there you go.

Jeff Doolittle: Okay. So that's in progress. So that there's potential there sounds like where you ended there. There's potential there to offload additional portions to third parties of some of these things.

Gary Gilmore: Yeah.

Jeff Doolittle: Does so we I mean let's let's take the checkp printing thread and and and pull on that a little that thread a little bit here. Do Vista users who use Vista for payroll, do they have an on-site micro printer that they're printing checks themselves and putting them in envelopes or what's really going on there?

Gary Gilmore: Uh some some do.

00:15:29

Gary Gilmore: Yes. And I you know I don't think the maker um thing I think yeah I think that's changed a little bit.

Jeff Doolittle: Sorry.

Gary Gilmore: Um, I mean, we have a relationship with Viewpoint uh business forms uh that provides check uh check stock, but most folks will modify their own version of that, put their own logo on it, do that kind of thing. But I I don't even know. I mean, more and more I hear people just want to get away from that and they will go to just mandate everything is paid by EFT, but once in a while they're going to have a printed check.

Jeff Doolittle: right?

Gary Gilmore: So, I mean, again, Natala can probably speak to that a little bit more directly than than I can.

Jeff Doolittle: Yeah.

Gary Gilmore: I try to

Jeff Doolittle: Yeah.

Natallia Prokin: Jeff. Um I'm going to actually interject here. So uh maker is no longer required um because um most banks nowadays have optical scanners.

Jeff Doolittle: Okay.

Natallia Prokin: They're not magnetic.

Jeff Doolittle: Great. Good to know.

00:16:24

Natallia Prokin: So um it's actually so most of the customers nowadays that have to print checks, you know, here and there will get a regular check stock from their supplier and that that check stock is not preprinted.

Jeff Doolittle: Yeah.

Natallia Prokin: So it's just um colored piece of paper and then um they are printing a maker font using regular ink.

Jeff Doolittle: Okay. Right. Okay. Got it.

Natallia Prokin: Yes.

Jeff Doolittle: That makes sense. Thanks for that clarification. And then with that, when it comes to the EFT piece, is Vista itself posting those transactions for AC and managing all of that flow or do we off some of that?

Gary Gilmore: Well, we we create the file. So, there's a a universally accepted um format for that.

Jeff Doolittle: Right.

Gary Gilmore: So, we'll create the file. It's the responsibility of the payroll department at the construction company to upload that to their bank.

Jeff Doolittle: Oh, okay. So, they do they literally download it and then upload it themselves as a separate process.

Gary Gilmore: Yep. Yep.

00:17:28

Gary Gilmore: They they save it off locally somewhere. And um of course there's security implications around that. We've taken some steps to deal with that. I I just have to say we do not do a very good job of protecting PII. uh it's it's not obscured or or obiscated at at rest uh within Vista.

Jeff Doolittle: Yeah. Okay.

Gary Gilmore: I think Spectrum does do some of that, but uh that's certainly a concern. I'm surprised it's not more of a concern for for our customers, but once in a while they raise it, but not not frequently.

Jeff Doolittle: Yeah. Well, and I think it will be as we move more towards SAS type systems as opposed to, you know, onrem or at least on-prem in the cloud, which, you know, you can kind of think of Vista, it's still

Gary Gilmore: Yeah.

Jeff Doolittle: their environment. It just happens to be clouded.

Gary Gilmore: Right. It's still tenant that they Yeah, they can

Jeff Doolittle: So, Right. Right. But we'll definitely have to take that under consideration.

00:18:21

Jeff Doolittle: And and I've got one more question, then I'll hand it over to Neil and Shaima. Is there any other place where you would say if some if a team was trying to, you know, get a payroll system built? You know, we've talked about maybe, you know, lower market, fewer jurisdictions, not worrying about union upfront, for example. There's ways to scope this down. Are there other places where you could see that Vista, for example, or a payroll system generally could possibly lean on third parties more rather than necessarily building everything itself? Does anything come to mind?

Gary Gilmore: Well, I mean that that's exactly why we went with ATRIX uh because we recognize trying to

keep up with the regulatory reporting as quickly as it changes was uh just beyond the the capability of our of our current

Jeff Doolittle: Yeah.

Gary Gilmore: teams. Um so what else could we offload? Um yeah.

Jeff Doolittle: Payroll tax calculations. I know there's third parties that provide that. Uh but maybe that doesn't work for us. I I don't know.

00:19:25

Jeff Doolittle: That's the kind of stuff for

Gary Gilmore: Yeah. Yeah. I I we've never really seriously investigated whether or not that that could work. uh we'd have to fully understand you know h how to integrate with that properly but it seems like every system I've seen even you know even one as sophisticated as ADP they they don't really get construction payroll you

Jeff Doolittle: right.

Gary Gilmore: know they there are a lot of items there's a lot of important considerations they just don't deal with um and that's why they really haven't been a strong competitor of ours directly but I know that many of our

Jeff Doolittle: Yeah.

Gary Gilmore: contractors have expressed the desire to offload payroll if they could if they if it gave them everything they need. Um because it's it's a monster and um they you know if they could rely on somebody doing their payroll for them and giving them what they want and providing the job cost feedback and the equipment revenue information and updating their books. But it's almost an it has to be so deeply embedded and integral to their ERP that it's just it's you know you're pulling the heart of it out and I don't know that it can be easily offloaded to

00:20:41

Jeff Doolittle: Yeah.

Gary Gilmore: any other partner.

Jeff Doolittle: Okay, Neil, I'll hand it over to you and Shakima.

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah. Yeah. Uh Gary, uh I just wanted to ask a quick I don't know if it's a quick, but the question I've got is really kind of around um early on in the process after uh an estimate is created where they're filling out what is the um like job phase codes and all of that, you know, building it out. How does Vista import that to understand? Hey, when that if that's accepted as a job now those become um the uh inputs into you know your time card so that you're filling out all of these things correctly. So you're you're billing getting build correctly and you're getting paid correctly.

00:21:37

424 - Fields Park (USA - OR - Lake Oswego, 4): How does that process work?

Gary Gilmore: Yeah. Well, you know, you're talking about the budget, the labor budget primarily, and that's being developed uh, you know, by the estimators, by those that are looking at, you know, at the project and potentially trying to arrive at, you

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah. Exactly. Yeah.

Gary Gilmore: know, what's a what's a reasonable bid on it. Um but they're estimating labor hours and ultimately labor dollars and that's all being captured uh and stored in job cost. Um payroll payroll we traditionally look at that as just the act of collecting the actual time spent on the job and so on. We leave it to some job cost reports to for those in a management position to be looking at okay how are we tracking with respect to our productivity on the particular work activity or phase are we ahead of schedule behind schedule and so that's that's kind of a operational aspect that's being handled by the operational folks but the daily collection of you hours worked on a job on a particular phase of work is being you know that's that's reality that's what they have to record and that's what they have to ultimately pay their employees for.

00:22:55

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah.

Gary Gilmore: So, so I don't know Neil if that really gets at what you're looking at, but it's, you know, it'd be a project manager on the job who would be looking and say, "Hey, is my how are my crews tracking? Um, do I need to shift resources around? Do I need to add equipment? Do I need to schedule this differently?" So,

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah, it was really more about making sure that if you know as they're filling out their time, you know, cuz you all had also mentioned like, you know, as they're doing their time, they're also doing in their class craft, you know, uh adding in any other equipment usage and just making sure that, you know, any time recorded is matching with that budget. And so, you know, just making sure that all of that's in sync and and and matching.

00:23:49

424 - Fields Park (USA - OR - Lake Oswego, 4): And that's all I'm just trying to get at is how do we keep that in sync?

Gary Gilmore: Yeah. Well, one's and one is is the reality of what's actually happening. And that may be a a point at which AI or some kind of investigation could say, hey, how are we tracking here? And raise awareness of the fact that, hey, I estimated that it was only going to take three guys two weeks to do this job and they've been on it for the last six and you know, and I've just blown my labor budget. So that's that's the kind of thing that I think you know we can help contractors um identify and that's you know again I think Natalia can probably speak to some of that but that's that's an operational thing. If I'm in the payroll, if I'm a payroll person, I'm I'm making sure that I recorded the guy's crafting class accurately in this number of hours and I got him working on the right phase. Uh, and that his pay rate is correct and I got the right liabilities and deductions all lined out for this guy so that the check I give him at the end of the week is is accurate.

00:25:03

424 - Fields Park (USA - OR - Lake Oswego, 4): Okay, great. Do you have any questions?

Shakyma Edwards: Yeah, I guess it's also centered around that. Um, and I I'm assuming that this is set up at the onboarding and I'm completely new this so I don't have a lot of experience at all. I'll just put that out

there. But, uh, around like the different state mandates and payroll compliance, they have like different laws, right, and regulations plus like tax compliance. How do you address do you address that for all the states within the application? So like how is that set up during is that set up on the onboarding process when you like create your account? Um how do how do we kind of identify those?

Gary Gilmore: Well, there's the Yeah.

Shakyma Edwards: Yeah.

Gary Gilmore: I mean at uh at at certain jurisdictional levels if you will at the federal level, the state level or local level, you can identify the expected uh deductions. For instance, what what taxes are going to be collected when an employee is subject to that jurisdictional um you know compliance.

00:26:10

Gary Gilmore: Uh so you have kind of that configuration that is specific to those jurisdictional um territories if you will and that could be you know that could be provincial um provinces in Canada or states in Australia or what have you. So that's that's set up that's independent but then the employee uh themselves are typically you know residents of a particular state a job may be uh located in another jurisdiction and so uh each of those would identify okay this job's in Ohio so these are the rules and and uh state taxes and so on that are going to apply when an employee is working on that job. Um and then there's all kinds of reciprocity uh with respect to state um taxes and things like that. So you capture it, you have configuration both at the employee level and at the jurisdictional level. And those two come together on a time card when you say, "Okay, this guy worked eight hours today on this job in this jurisdiction." Uh and then that's going to help determine what deductions what what liabilities need to be processed on behalf of those earnings.

00:27:33

Gary Gilmore: Does that does that help? Does that answer your question?

Shakyma Edwards: Yeah, it does. I was just also curious um how long like if you were to estimate how long it would be for us to understand all that and like make sure that those calculations and things are all applied because there's over 50 states. Do is that do you think that's like a pretty large initiative or is there ways to like tie into that automatically through like you know public databases?

Gary Gilmore: Well, uh, yeah.

Shakyma Edwards: Maybe that's just a All

Gary Gilmore: I, you know, how long to what to what level of understanding? uh you know you want to achieve it's difficult to say but I mean I've been working at this for 40 years so um and design the current version of payroll that's being used in Vista so but and I've forgotten tons of it too because it just kind of spiderwebs out into so many different areas um and it's con it's not static I mean it every every six months or so we're updating tax routine and always on

00:28:37

Shakyma Edwards: right.

Gary Gilmore: the lookout for regulatory changes that we have to adapt to. So, um, so anyway, that's it's a impossible question to answer.

Jeff Doolittle: Yeah, I'll chime in there and see where Yeah, we're coming up on time.

Shakyma Edwards: Yeah, I could only imagine.

Jeff Doolittle: Yeah, I think Shaima what a lot of what it comes down to is you break it down into some parts that are kind of consistent like across different jurisdictions and and maybe you know there's different ways of calculating uh like by ranges or tables or lookups or these kinds of things but then they'll they'll blow it up and they'll throw in peace calculations like California did 10 years ago and then you have to redo everything and

Shakyma Edwards: Okay.

Jeff Doolittle: and and they sometimes do peace work in construction. So, you know, there's things like that we'll have to consider as well. Um, thank you, Gary. I want to respect everybody's time, so I think we're coming right up on time. And we may have a few more questions for you later, Gary. But again, we're going to circle back around at the end of the month and consolidate all of the answers from everybody and basically put together a plan. So, appreciate your input so far and uh you'll hear from us again in the near future. Thanks a lot.

8/4

Trimble Financials Payroll - Stakeholder Interview

Invited Shakyma Edwards Natallia Prokin Neil Cadsawan Geoffrey Falk Jeff Doolittle Matt Thurber

Attachments

Meeting records

Summary

Jeff Doolittle introduced Shakyma Edwards and the Prism project's expansion into payroll, emphasizing the need to scope the ambitious mandate to build all payroll aspects across jurisdictions within three months, leveraging existing expertise. Geoffrey Falk provided a detailed overview of Spectrum's construction payroll, highlighting its complexities, regulatory challenges, and internal processes, including handling certified payroll and various payment methods. Neil Cadsawan inquired about tracking equipment costs and the unique needs of the SMB market, with Geoffrey Falk cautioning against relying on third-party solutions like ADP for certified payroll and discussing the potential for a gross-to-net solution for SMBs.

Details

- Introduction to the Meeting and Project Scope Jeff Doolittle initiated the meeting by introducing Shakyma Edwards and explaining the context of the Prism project, which is expanding into payroll aspects (00:00:00). He emphasized the need to frame the scope due to the absence of a dedicated PM and the ambitious mandate to build all payroll aspects, including certified and union payroll, across all jurisdictions within three months (00:00:58). The goal is to achieve stakeholder alignment and leverage existing expertise from Vista and Spectrum (00:01:56).
- Spectrum Payroll and Target Market Geoffrey Falk detailed Spectrum payroll, highlighting its specialization in construction payroll, which acts as a significant barrier to entry for competitors (00:01:56). Spectrum handles both large and small companies across multi-state, US, and Canadian jurisdictions, dealing with various payroll complexities. Geoffrey Falk explained that construction payroll's unique challenges include job costing, a highly transient workforce, and compliance with various state, county, local, and federal rules, particularly regarding certified payroll (00:02:55).
- Certified Payroll and Regulatory Complexity Geoffrey Falk provided historical context for certified payroll, originating in the 1800s to ensure accountability for public works projects. He explained that regulations like the Davis Bacon Act (federal) and prevailing wage (state/local) mandate specific pay and

benefit structures, with complexities arising from the ability to reduce cash fringe payments based on existing benefits like 401k (00:05:05). Geoffrey Falk also highlighted the constant changes in regulations, such as the segregation of overtime premiums on W2s due to federal law (00:06:17).

- Payroll Process in Spectrum Geoffrey Falk described the payroll process within Spectrum, starting with employee onboarding, which involves extensive paperwork, especially for transient union hall hires. Time collection is flexible, with options ranging from paper to Spectrum's mobile apps (Tracker) and spreadsheet imports (00:08:12). Payroll is typically processed by batch code, allowing for booking to specific jobs or equipment. Spectrum also handles various deductions and garnishments, which are common among construction workers (00:09:18).

- Payment Methods and Integrations Geoffrey Falk clarified that Spectrum handles all payment processes internally, including generating files for bank transmission for ACH payments (00:10:17). He noted that direct deposit is less common in the construction industry, with a strong preference for physical checks among employees. Compliance reporting, such as OSHA, is largely a manual process within Spectrum (00:11:14). Employee statements are provided, which is good business practice and often a legal or union requirement (00:13:17).

- Simplifying Payroll for Stakeholders Geoffrey Falk acknowledged the difficulty in simplifying the payroll process due to its inherent complexities and the detailed knowledge required from payroll personnel (00:14:11). He expressed doubt that significant simplification is possible given the numerous state, county, local, and federal tax regulations (00:15:12).

- Tracking Labor and Equipment Costs Neil Cadsawan inquired about tracking equipment costs alongside labor. Geoffrey Falk confirmed that Spectrum allows tracking both simultaneously or separately, depending on the client's needs. He explained that an employee's pay rate can change based on the equipment they operate or the phase of work, and Spectrum tracks both regular and overtime costs for labor and equipment, accruing them to the job (00:16:22).

- Third-Party Integrations and SMB Market Considerations Geoffrey Falk cautioned against relying on ADP for certified payroll reports, stating that their capabilities are often overstated, especially concerning job and cost type tracking (00:18:51). He suggested that ADP could potentially handle gross-to-net calculations, which would alleviate the burden of managing tax tables (00:20:00). Neil Cadsawan asked about the unique needs of the SMB market for Prism compared to Spectrum. Geoffrey Falk believes the needs are largely the same but smaller, noting that smaller clients may be less likely to be unionized unless geographically mandated (00:20:57). He reiterated the potential benefit of a third-party gross-to-net solution for SMBs but warned that clients remain responsible for tax accuracy even with third-party providers (00:22:11). Certified payroll is primarily required for government work, regardless of company size, and involves complex calculations based on stated fringe and pay rates (00:24:05).

- Future Scope and Insights Jeff Doolittle concluded the discussion by outlining the plan to initially scope Prism's payroll expansion to allow for future growth across jurisdictions and union/certified requirements (00:24:55). He emphasized the importance of insights regarding effective third-party integrations and those to avoid. Geoffrey Falk reiterated the challenging nature of payroll due to compliance levels, drawing parallels to agricultural payroll complexities (00:25:51).

Suggested next steps

No suggested next steps were found for this meeting.

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Transcript

Trimble Financials Payroll - Stakeholder Interview - Transcript

00:00:00

Jeff Doolittle: going to get as much done in a half an hour as we possibly can. So, first off, first off, thanks Jo for taking the time. I'm pretty sure you know Neil. I don't know if you know Shikima, but well, you want to do a quick introduction.

Geoffrey Falk: I don't but I know Neil. Nice to see you again, Neil.

Shakyma Edwards: Hi, sure.

Jeff Doolittle: Shakima

Shakyma Edwards: Um, I'm Shima, UX manager of project site in the platform team, T. Um, that kind of stuff.

Geoffrey Falk: Awesome.

Shakyma Edwards: And I'm switching projects with Neil. So, he's going to be taking over a project site and I'll be taking over Prism. So, yep.

Geoffrey Falk: Okay, sorry.

Jeff Doolittle: And hopefully it's clear, but in case it's not, the, you know, prison project, as you know, has been going on for a while. They've been mostly focused on accounting, and now they want to start building out the payroll aspects of it. And that's where this conversation comes in because something tells me you know a few things about building and managing payroll systems and we want to glean from you.

00:00:58

Geoffrey Falk: Just a bit.

Jeff Doolittle: Yeah.

Geoffrey Falk: Yeah, just about a bit.

Jeff Doolittle: Yeah. So, first off, I saw you responded to the questionnaire I sent out and we've got a lot of a lot of what we're trying to do here in this conversation is try to help frame scope. We don't have a dedicated PM yet. We have one, but they quit. And so, but we can't wait like the UX team and the architects were like, we got to figure out some sort of scoping because if the mandate is build everything for all aspects of payroll and do it in three months, uh, you know, including certified and union and peace work and all, you know, and every jurisdiction imaginable. That's never going to work.

Geoffrey Falk: Yeah.

Jeff Doolittle: And so, that's partly where we're going to lean some on your your thoughts and your expertise. We're also trying to get stakeholder alignment so that when we decide what we meaning us as CMS are going to do. We don't have, you know, 10 different stories from 10 different people or 15 different stories between you, but we're all like, "Yep, we understand what we're doing. We

00:01:56

Jeff Doolittle: see how this where that's going to go." Uh, and we want to leverage the expertise we have because we've got Vista, we've got Spectrum, they've been very successful, they continue to be. And so we we want to make sure that we glean the expertise that we have and not neglect that amazing resource that we have access to.

Geoffrey Falk: Okay, sounds good.

Jeff Doolittle: All right. So, first let's start out with a little bit about Spectrum because we talked to Gary earlier today about Vista and kind of where Vista sits in the market as far as target market and things of that nature. So, if you could do the same for us with Spectrum, give us a sense of target market and what maybe distinguishes the Spectrum target from payroll for either smaller companies or larger companies?

Geoffrey Falk: Well, I guess the the unique thing about Spectrum payroll is first of all, it's construction payroll. That right there is the biggest hurdle. We have been slotted into the midmarket um only because we were acquired by Viewpoint and their baby does really well with big companies, but we were eating their lunch before we were acquired.

00:02:55

Jeff Doolittle: Yeah.

Geoffrey Falk: So, so we handle large companies, we handle small companies, uh, multi-state, the US, Canada, and you know, we deal with all of the different issues that arise with payroll.

Jeff Doolittle: Okay.

Geoffrey Falk: Now, uh, again, like Vista, we've been around for 40 years and so we've learned a bunch of stuff over that time frame and you know, and so, so it is, as I think I said to you, Jeff, if it wasn't for construction payroll, we would have more competitors in our space, but this is a barrier to entry.

Jeff Doolittle: Yeah, give us a little bit of flavor. I know you already answered the questionnaire, but again, we're also transcribing this, so it'll be helpful if we have.

Geoffrey Falk: Okay.

Jeff Doolittle: What is it about construction payroll specifically that makes it such a difference from, you know, just general payroll?

Geoffrey Falk: Well, it's sure sure it's construction payroll and job costing because we not only do we have to hit the GL, the general ledger, but we also need to be able to hit the job appropriately. Uh, and and most accounting systems don't do that well.

00:04:04

Geoffrey Falk: That's part of it. Um, but then construction payroll, we've got our own issues that we have to deal. We have a highly transient workforce in that they you might get them from the union hall. So you go down and get 20 folks, they work for you for the two weeks and then they go back to the union hall and you need more and you get another 20 and they just float through. Um this is a unique type of industry where others don't have that. Now, some of our clients that are uh are union, they keep their people. You know, they're not going down to the union hall and getting another, you know, 20 journeyman type thing. But that is an option that is out there. So, you're dealing with people that are highly transient and they can work everywhere. You've got the state, county, local, federal rules. Um, and then you've got to also deal with this thing called certified payroll, which is really uh Well, I guess it you can many many ways of looking at it.

00:05:05

Geoffrey Falk: The first certified payroll was in the 1800s because New York State was upset that people

would build a bridge and then they would the company would be formed. They would build the bridge and then they would disappear after the bridge was built and there was nobody to fix it or maintain it. So they thought it would be in the public's interest to pay more to help raise this business up. So in the late 1800s they had their first certified type payroll job. Now with uh FDR and and the great great depression they codified a lot of these things. So you'll hear things called the Davis Bacon Act.

Jeff Doolittle: Yeah.

Geoffrey Falk: That is a federal project. Prevailing wage will be a state, county or local project. But the rules are there are you have to pay something. you have to pay X and you have to give them Y of benefits. Now, these can be there's many different ways. It can be as simple as you're going to you're going to pay the employee 65 bucks an hour and a \$20 amount an hour for fringes.

00:06:17

Geoffrey Falk: Okay? So, that's cool. Except if you already give them fringes. If you are already giving them 401k, you get to reduce that fringe that you pay in cash by the dollar value of what you've given them. And this is where a lot of confusion comes in. Natalia and I know this very, very well because it's one thing that Vista and Spectrum do is handle these things.

Jeff Doolittle: Yeah. Right. And you mentioned before it's US and Canada currently, right? And then it covers all it covers all those crazy things we just said which fortunately are static and never change, right? Like you know every year it's the same.

Geoffrey Falk: Yeah.

Jeff Doolittle: Yeah.

Geoffrey Falk: Yeah. Well, no.

Jeff Doolittle: Right.

Geoffrey Falk: I mean, this year we've got the and I'm sure Natalia's in the same boat we are, is how do you deal with the fact that you have an overtime premium that has to be segregated on the W2, but because it's a federal law, it is overtime as defined by the Fair Labor Standards Act, which doesn't care that you worked over eight hours a day or what your union and what you negotiate.

00:07:18

Geoffrey Falk: the guy still gets paid these overtime rates, but when it comes time to taking the tax credit, it is it is kind of like an accounting fiction. And it's going to be really painful for our clients to explain this to their employees.

Jeff Doolittle: Yeah. Okay. Let's talk a little bit about the process of payroll from from start to finish. So, you know, up front there's obviously configuration that needs to happen. There's onboarding employees that needs to happen. As you just mentioned, that can be very fraught with transient employees. But if you could talk through that piece and then of course the time collection you the work log collection piece. How does that work with Spectrum? Does Spectrum offer you like are they using Excel and paper or does Spectrum have an app for that?

Geoffrey Falk: Yeah, you can use all sorts.

Jeff Doolittle: and then all the way.

Geoffrey Falk: Yeah, just like Yeah.

Jeff Doolittle: And yeah,

Geoffrey Falk: Um, so onboarding the employee, I mean, in the simplest sense, they are hired.

00:08:12

Geoffrey Falk: So, if they come from the union hall, you have to onboard them. You have to give them whatever rules or whatever your union agreement says. They have to know about all the stuff, tons of paperwork to fill out, etc. They um and then when it comes time to paying an employee, they collect their time in a variety of ways. Paper is the most common, although our clients are getting smarter.

Jeff Doolittle: Okay.

Geoffrey Falk: Remember, construction is at the tail end of the adoption curve. Always had, has, and always probably will be.

Jeff Doolittle: Yeah.

Geoffrey Falk: Um, so Spectrum and Vista, we have apps that we can use to collect payroll time in the field. We both can bring it in from a spreadsheet. Uh you can type it in directly into the system. Um there's there's a variety of of things that we do once we get that in. It depends on how big you are and how complicated your setup is. We typically process payroll in and this is a loaded word for Vista because it means something different to them, but we process payroll by a batch code which is just a group of transactions.

00:09:18

Geoffrey Falk: Okay? So, I might do my Northeastern payroll and it's a batch of time cards and then I can book them to the job, to the piece of equipment, to everything, anything that needs to happen. Um, and then of course you have to pay them and you have to pay them. You have to take out the right taxes and you have to take out the right deductions and garnishments and that is another nightmare. These folks, the folks that can lay the best concrete typically do not do well in their personal lives and they've got lots of garnishments to pay for the children they have around.

Jeff Doolittle: Yeah.

Geoffrey Falk: And so that's a real big common thing.

Jeff Doolittle: So you mentioned before that so there is an app for spectrum for actually doing the time card collection as well.

Geoffrey Falk: Tracker.

Jeff Doolittle: Yeah.

Geoffrey Falk: Yeah. And we had and we had we had others that were not as good but but people use anything from a spreadsheet.

Jeff Doolittle: That's what Yeah. Right. Right.

Geoffrey Falk: They use web services to sync it in. They can import a comma delimited file.

00:10:17

Jeff Doolittle: Yeah.

Geoffrey Falk: They can type it in the system. They can enter it into the system. Um you there's a lot of flexibility.

Jeff Doolittle: Yeah.

Geoffrey Falk: The the problem with payroll or time entry is that if you come up with 10 ways to do it, you

need 11. And if you come up with a hundred, you're going to need 102. And so

Jeff Doolittle: Yeah. Sure. Sure. Are there any integrations with other systems? For example, in in the payroll calculation or compliance pieces or in the payments piece where you actually sending out, you know, a transactions or things like that like where are the lines between where Spectrum, you know, sort of hands something off or does Spectrum just do all of that itself?

Geoffrey Falk: we do all of it oursel. If you're paying somebody using AC or the notches system, um, which has been around since the 70s, uh, we create the file that you then transmit to the bank.

Jeff Doolittle: Okay. Mhm.

Geoffrey Falk: You can transmit it to the bank however you see fit.

00:11:14

Geoffrey Falk: Um, but that will then pay the employees usually on a two-day turn because you get better prices. If you have to pay them the next day, it costs you more from a bank fee situation. Um, as far as as far as other things you can hook into, you know, there's the OSHA reporting that still is a relatively manual process. There aren't I mean, you might have some apps out there that do a little bit of this. Um, uh, but for the most part in Spectrum, that is all just manual reporting.

Jeff Doolittle: Okay. And then at times there's I you know I imagine most of the time people want to get a direct deposit but occasionally you still have to do manual check printing.

Geoffrey Falk: No, you have it the other way around. Most of these people want to have a live paper check.

Jeff Doolittle: Oh, interesting.

Geoffrey Falk: And this is going to sound very sexist, but this is the fact of life is they will take the they will go to the bank and they will give their significant other spouse whatever money they need to have and they don't need to know how much money the construction employee makes.

00:12:16

Geoffrey Falk: And this is the way it has been for the last 50 years.

Jeff Doolittle: Interesting. So there's a lot of manual checks then.

Geoffrey Falk: So yes and and or computer checks or however you want to put them but the the it is very typical depending on who the workforce is that they will want it in check. So they will go to the bank and you will go to the the the c our customer whatever bank is on that check they can go there and as long it says payroll the bank will honor it typically.

Jeff Doolittle: Okay. H. Okay.

Geoffrey Falk: If not, the bank will not honor it or or they'll put a hold on it, but then they will give them cash right there and uh they will take whatever they give to the household and they keep the rest because it's not the it's not their spouse's business how much they make. It's a very weird world.

Jeff Doolittle: Interesting. Okay. Um, and then you said a lot of the other stuff like for compliance and things like OSHA or whatever else is is fairly manual at this point.

00:13:17

Geoffrey Falk: Mhm.

Jeff Doolittle: Okay. Okay, great. Uh, and then for those I guess for like employee statements or things like

that, those are just connected payubs to that check that they get printed out and they just do what they want with it. They probably maybe based on what you said, I don't know, they maybe they just throw it away. It does probably doesn't matter to us, but they could do whatever they want with it.

Geoffrey Falk: Well, no, but they they take that statement and they and whether or not they keep it, I I have no idea, but we give you but you that will be first of all, it's it's good business practice.

Jeff Doolittle: Right. That's fine.

Geoffrey Falk: I believe it is in the law somewhere that you have to give them a remittance. And there's also um you might be a union requirement. One thing that if you lay a union member off, you have to pay them by a certain point in time. Or if your payroll is late, even if you didn't lay them off, if if payroll is due by five o'clock on Thursday, every minute you don't pay them after five is overtime.

00:14:11

Geoffrey Falk: You have to pay them overtime or double time depending on your contract.

Jeff Doolittle: Okay.

Geoffrey Falk: And so it is very common that that clients will create a layoff check where they it's basically they put in what the guy's hours are for the week or we you know or however and then they tell the

Jeff Doolittle: Right.

Geoffrey Falk: the the person in the field write him a check for \$250.37 and then they email them the remittance or they mail them the remittance in the mail.

Jeff Doolittle: Okay. What are the what are the areas where you think things could be made simpler for some of the key stakeholders in this process particularly like payroll clerks or payroll supervisors or maybe field you know supervisors out in the field? Are there particular things that you feel are painful for them right now that could possibly be made simpler?

Geoffrey Falk: I would love for them to be simpler and if you could figure this out that you would be you would kind of be the first.

Jeff Doolittle: Well, us figured it out.

Geoffrey Falk: Typically what happens?

00:15:12

Jeff Doolittle: But yes.

Geoffrey Falk: No, but typically your payroll person is a giant in the corporation. They know that on this job Johnny gets \$45 an hour, but on Tuesdays it's 63 and they just deal with all of the idiosyncrasies. Um, it is really hard. I mean, you can set all this stuff up, don't get me wrong, but but there is so much minutia. The guys in the field, they are mathematicians when it comes to their paycheck, but they barely can get their time cards in. So, I don't know what you could do to make it easier other than if we could get away from our state, county, local, federal taxes and have one tax, but we're not going to.

Jeff Doolittle: Yeah, not going to solve that one.

Geoffrey Falk: So, Sure.

Jeff Doolittle: Okay, it's good for me. Let's hand it over to UX Neil and Shaima.

Neil Cadsawan: Yeah. Um just wanted to kind of round out uh the collection of time uh in not just in terms of labor but also of equipment. Is that you know how is that captured as well uh in spectrum?

00:16:22

Neil Cadsawan: Is that captured alongside labor or is that considered something like kind of severed or that

Geoffrey Falk: Okay. It can be done a long time payroll or it can be done outside of payroll. It's it's completely up to each client and what makes sense for them. Um the common it is we have seen that it's common that a guy is using a backhoe and again let's talk about pay rates. I'm a journeyman electrician and let's just say for fun I make 45 bucks an hour. The minute I jump on the back hoe I'm now an operator and I make \$82 an hour. Okay. So the system has to know that I've touched this piece of equipment or I've touched this phase of work. Therefore, my labor category, however you want to call me, has changed and I get paid more. So, in Spectrum, you can track an employees time and you can also track the equipment that they worked on at the same time. You know, we've got regular overtime, double time. You can use er equipment, regular equipment, overtime, equipment, double time.

00:17:30

Geoffrey Falk: you pay the employee whatever regular overtime double time they get but you're also acrewing those equipment costs to the job and so or you can do them you can just load them in directly straight into payroll or into the equipment modules but that it really depends on your facts and circumstances. If you're a heavy if you're a heavy freeway heavy highway kind of person you probably would do that. If you're not if if maybe your uh other kinds of shops and the equipment isn't more of an afterthought, you would do it on a separate process.

Neil Cadsawan: Great. Thank you. She came in. Did you have any questions?

Shakyma Edwards: No, nothing at this time.

Jeff Doolittle: Do you think there are opportunities where let let's say someone like some of the people in this room for example um were tasked with giving pay you know expanding prison which I think they're now calling triple financials um

Geoffrey Falk: Mhm.

Jeff Doolittle: expanding that to include food payroll and of course they want to do it you know as fast as possible. Uh what what is your understanding of possible maybe thirdparty integrations or other providers that could possibly be used to leverage that and help that go faster?

00:18:51

Geoffrey Falk: Okay. Um, first of all, ADP is going to lie to you and say they can do these things. This thing called a certified payroll report.

Jeff Doolittle: Yeah. Uh, all right.

Geoffrey Falk: Okay. First of all, everybody needs to understand what does the word certified mean. Okay, certified means the same thing with a certified public accountant. Someone signs their name and says this is what I believe. So the payroll clerk once a week signs this report saying this is we paid them accurately best to my ability blah blah blah. The certified payroll report is incredibly complicated. It's incredibly detailed. You showed all the fringes you pay all this kind of stuff. The only way we've been able to make spectrum work with an ADP is you still run it through Spectrum and then when it goes time to calculate the taxes, we send that to ADP and they return back the gross to net and then we deal with the rest of it from there because they don't have the ability ADP especially they can track things at the job

level and they might be able to track them at the cost type level but they don't have a phase.

00:20:00

Geoffrey Falk: They they they and they will lie about it. They have. It's been my experience in the last 30 years that they've lied about it every five years. They come back and say they can do all this stuff and it doesn't work.

Jeff Doolittle: H. Hm.

Geoffrey Falk: In fact, I just had a client that stopped their implementation on payroll with ADP because everything they said was not true.

Jeff Doolittle: Okay. Now that's 80p. Now you so you mentioned there is an opportunity potentially for the gross to net to offload that piece.

Geoffrey Falk: Yes. And so that and that's awesome and that is beneficial because then if you you know let's just say in the perfect world if you did offload that to ADP then I don't have to worry about the tax tables because somebody else is dealing with those. Awesome. Um and that is a benefit and that would be a benefit. Now ADP today only for spectrum anyway I think you have to have 250 employees and a certain dollar spend a week before they will talk to you.

00:20:57

Jeff Doolittle: Okay.

Geoffrey Falk: So but but in theory we have competitors foundation they do payroll um and and so you know there are situations people that that do these things I mean there's also payor pay lossity all these guys um whether or

Jeff Doolittle: Yeah.

Neil Cadsawan: Here's another question for Angela.

Geoffrey Falk: not they're construction or not you know I mean foundation is but but that's a different but that's just because they're also an ERP Mhm.

Jeff Doolittle: Okay.

Neil Cadsawan: Since Prism is targeting the SMB market and Spectrum is more of the mid to larger market, do you see the SMB market having any uh needs that are just different like truly different or unique to the SMB for

Jeff Doolittle: He

Neil Cadsawan: Prism versus what Spectrum might or are they the same but just smaller?

Geoffrey Falk: The only thing I could see, I think it's the same but smaller. But if you're a small mom and pop shop, you may or may not be union. I mean, unless you absolutely have to because it's expensive and it costs it. It it takes time to report all the union fringes and all that jazz.

00:22:11

Geoffrey Falk: Um, you know, if there was a way to do the gross to net in a third-party solution that that paid the employee however they wanted to be paid, that would be awesome. Um, yeah, I mean, you still have to get the dollars in there or the information in there to do your job costing, your certified payroll, and all that kind of stuff. But in theory, that would be that would be a benefit. Um, unfortunately, small clients

think that if you're using ADP, they know what they're doing, so they're doing it right. Well, they know what they're doing based on what you've told them to do. So, if you tell somebody, if you tell ADP that we're in Ohio, and we're only going to pay the state tax, state withholding tax, well, they're not going to tell you, "Oh, by the way, there's also a county and a school district tax." So, I mean, you still are on the hook for these mistakes, which a lot of the smaller clients think they get away from, and there's never going to be that case.

00:23:04

Jeff Doolittle: Right. Interesting. Real quick clarification on that. So you mentioned like a smaller may not be union. They might they might have to be union, but there's maybe less union in the SMB. As you move up market, you're going to tend to probably get get more union.

Geoffrey Falk: It really, it is geography. I mean, let's say if you're down in Florida, non-union, Texas, non-union.

Jeff Doolittle: Okay. Right.

Geoffrey Falk: If you're in Minneapolis or New York, Detroit, highly union.

Jeff Doolittle: Highly.

Geoffrey Falk: So, it really does matter on the geography, but if you're a small small shop, you might be non-union just because you've got five folks, you're employing five employees.

Jeff Doolittle: Yeah. Yeah.

Geoffrey Falk: And you know that the cert it's required by your customer and that customer if the customer is a federal government, state, county, or local government and it exceeds \$2,000 or something

Jeff Doolittle: And and where does cert is does certified also tend to become more prominent at the size of company or does it is there a different factor that determines whether or not you certify or not and why you have to.

00:24:05

Geoffrey Falk: like that, it's a it's a low threshold. So if you take on government work, you're going to be doing certified payroll.

Jeff Doolittle: Oh wow. Okay.

Geoffrey Falk: If you work for private companies or private individuals, you will never do certified payroll.

Jeff Doolittle: Got it. Okay. So, it's only for and that's federal and state depending on the state, right?

Geoffrey Falk: Federal, state, county, if you you could work for Clackamas County and and you would do certified payroll and prevailing wage.

Jeff Doolittle: And that's where things like you mentioned before would come in like prevailing wage and and things of that nature. Yeah.

Geoffrey Falk: There can be a stated fringe and stated rate. You're going to get paid 20 bucks an hour with \$5 fringe package or you're going to be paid Washington State is fabulous for saying you're going to make \$65 and that includes fringes. So you could if you theoretically paid \$65 of fringes, you could pay the guy zero. Nobody is. But but but that I mean but there are different ways of calculating this that have to be supported.

00:24:55

Jeff Doolittle: I'm afraid.

Geoffrey Falk: So you have stated fringe, non-stated fringe.

Jeff Doolittle: Yeah.

Geoffrey Falk: You've got to be able to deal with the different pay rates based on the activity they're working on. Are they using a piece of equipment, you know, and these there's all these different hierarchies that have to be managed and you just have to give them I mean I don't I I know Vista does it well. I don't understand how it works. We do it a different way and it works. It just has to be something that the client can understand and then they will make it work for them.

Jeff Doolittle: Yeah. Okay. Well, we're coming up on time. So, thank you, Joff. This is very helpful. And we're going to keep we've got about a dozen more of these to do over the next few weeks.

Geoffrey Falk: Cool.

Jeff Doolittle: So, uh, ultimately what we're going to look for, and we'll come back with more details on this later, but you know, we're not going to build every jurisdiction all at once for federal, state, and local for all union

00:25:51

Geoffrey Falk: Sure,

Jeff Doolittle: and all certified. So, what we'll start looking for is to scope this down, figure out an initial release, but do it in such a way that it can extend and expand over time, you know, to accommodate more over time. Um, and then any other insights you have about opportunities to potentially work with third parties or which ones not to work to, which is also important to to understand. Uh, any other insights you have in those areas will be really helpful for us as well. But thanks for your time so far. We really appreciate it.

Geoffrey Falk: perfect. happy to help.

Neil Cadsawan: Yeah, thank you.

Geoffrey Falk: It is a nightmare. As Natalia knows, she comes from the payroll background. It is a challenge. It's just challenging just the level of compliance you have to go through.

Jeff Doolittle: Yeah, I did agricultural payroll before this one and it's got its own complications and weirdnesses and you know when when they introduced peace rate in you know minimum wage with peace rate in California was that 10 years ago

Geoffrey Falk: Right.

Jeff Doolittle: or something like that.

Geoffrey Falk: Yep.

Jeff Doolittle: I imagine there's some peace rate in construction as well at times.

Geoffrey Falk: There is there is Well, your billing electrical drops.

Jeff Doolittle: Go build me 20 trusses or something like that.

Geoffrey Falk: It's the box, the type, and you get paid so many drops or minimum wage, whichever is greater.

Jeff Doolittle: Uh, got it. Yes, that's right.

Geoffrey Falk: Yeah.

Jeff Doolittle: That's right. Yeah. And the people who are getting minimum wage probably don't last as long as the ones who are exceeding it.

Geoffrey Falk: Although in the non-UN states like Florida, their pay is really low and so they're almost

making minimum wage as a journeyman electrician.

Jeff Doolittle: Wow. Okay

8/5

Trimble Financials Payroll - Stakeholder Interview

Invited Shakyma Edwards Natallia Prokin Matt Thurber Neil Cadsawan Barb Canady Jeff Doolittle

Attachments

Meeting records

Summary

Jeff Doolittle initiated a discussion with Barb Canady to scope an initial delivery for construction payroll for small businesses, with an eventual plan for growth. Barb Canady, with extensive experience in construction payroll, including as a former Vista user, explained the evolution of time collection from manual entry to Excel imports, highlighting the straightforward payroll processing in Vista. The most challenging aspect identified by Barb Canady and affirmed by Natalia Prokin was the setup of certified payroll due to its complexity, leading Jeff Doolittle to suggest AI for simplifying the extraction of requirements from certified and union documents, a possibility Barb Canady agreed could automate parts of the setup. Key talking points included the challenges of certified payroll setup, the potential of AI in streamlining this process, and the future of time card entry and approvals via mobile applications.

Details

- Meeting Introduction and Participant Backgrounds Jeff Doolittle initiated the meeting to discuss scoping an initial delivery for construction payroll for small businesses, with an eventual plan for growth (00:00:00). Barb Canady, a former Vista user and current QA team member focusing on payroll, shared their extensive background in construction payroll, including experience as a customer and in support for almost eight years, processing payroll for Greenberry Industrial which grew from 200 to 2,000 employees (00:01:06) (00:03:10).
- Time and Work Collection Evolution Barb Canady explained that as Greenberry Industrial grew from 200 to 2,000 employees, the company transitioned from manual time card entry to importing time via a macro Excel timesheet (00:03:10). This process involved project managers filling out Excel sheets which Barb Canady would then import into Vista, significantly streamlining data entry compared to their initial year of manual input (00:04:08).
- Payroll Processing and Vista's Effectiveness Barb Canady found the payroll processing in Vista to be straightforward, including posting batches, reviewing the payroll register, and printing checks or processing EFT payments (00:06:57) (00:15:30). They emphasized the importance of reviewing the payroll register before printing checks or sending EFTs to ensure accuracy, a practice they stressed in their support role (00:16:25).
- Challenges with Certified Payroll Setup Barb Canady identified the setup of certified payroll as the most challenging aspect within Vista due to the numerous entities and specific requirements involved, such as craft, class, and template setups, as well as fringe benefits and deductions (00:06:57). Natalia Prokin affirmed that the complexity is inherent to certified union jobs, which require managing bargaining agreements and wage decisions, making the setup process inherently painful despite Vista's comprehensive functionality (00:12:11) (00:14:31).
- Potential for AI in Certified Payroll Setup Jeff Doolittle raised the possibility of using AI technology to help extract requirements from certified and union documents like collective bargaining agreements to simplify the setup process. Barb Canady agreed that it is possible, suggesting that AI could help automate parts of the setup, though a human would still be needed to verify accuracy (00:17:26).

- Interaction with HR and Accounting Barb Canady clarified that their role focused on payroll processing rather than HR onboarding, although they verified HR inputs for payroll accuracy (00:18:20). Barb Canady also explained their daily interaction with the accounting side by performing PR ledger updates with only the job cost box checked, allowing project managers to monitor updated costs and labor hours for budget management even before payroll was run (00:21:47).
- Payment Methods and Manual Checks Barb Canady explained that the payroll process in Vista was largely manual, though they transitioned from live checks to direct deposits and pay cards, especially after acquiring operations in Louisiana (00:14:31). However, Barb Canady noted that manual checks were still necessary for one-off situations like terminations, and emphasized that state regulations, such as California's 24-hour payment rule for terminations, often necessitate immediate physical checks rather than pay cards which can take longer to process (00:15:30) (00:24:07).
- Future of Time Card Entry and Approvals Barb Canady expressed a positive view on moving towards mobile applications for time and work tracking in construction projects, believing it would be more efficient and reduce data loss. They also agreed that it would be better for project managers to approve time cards electronically before they are sent to payroll, streamlining the process and ensuring accuracy from the outset (00:25:01).

Suggested next steps

No suggested next steps were found for this meeting.

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Transcript

Trimble Financials Payroll - Stakeholder Interview - Transcript

00:00:00

Jeff Doolittle: Okay, thanks everybody for being here. Barb, thanks for taking time to fill in the questionnaire. Apologies on the content limit, but appreciate you putting a document together. What we wanted to do is follow up and get some more insights from you on some of the details. So, you know, you've been working on Vista for a while now. you're really familiar with construction payroll and uh you know we have here you know Matt representing our product team we've got Shaima and Neil from our UX team and then me uh from the software architecture side of things and what essentially we're tasked with doing along with Natalia is coming up with a scope for an initial delivery for construction payroll that would start for small small business but would eventually grow to accommodate more and then we also have to scope it down to well, that's what we're going to talk about, right? How to scope this down to something that's that's feasible. And so some of these questions may be more or less relevant to to you from your particular perspective.

00:01:06

Jeff Doolittle: But before we dive in, can you just or to educate everybody in the room who may not know you, let us know what your involvement is with construction, payroll, and related products here at Trimble. Barb Canady: Okay. So, I was first a user customer. Um, I started at Greenberry doing construction payroll. Um, I did that for about six and a half years in Vista. So, I did a lot of the the time card entries. I did a lot of

the I did the processing, paying out people, doing weekly taxes and everything for them. Um I didn't enter anything in HR, but I did a lot of the payroll stuff. So, um that's what I did as a customer. And then, um I moved over to Viewpoint. I had a friend say, "Hey, Viewpoint could really use you, you know." So, then I went and applied and got a job here. And I've been here almost eight years. So I started out in support um for seven almost seven and a half years.

00:02:08

Barb Canady: Um and then I did payroll, HR and AP over in support. I supported all those modules and then April 1st I came over to QA which is quality assurance. I'm on best team now and then I'm helping with smart payroll um as well as QAing for all the rest of the people. Um mainly focusing on payroll. So that's where I'm at.

Jeff Doolittle: Okay, awesome. Can you give us a sense of the size of the I forgot the name, you just mentioned it before, but when when you worked at a company that was a Vista user, can you give us a sense of the the type of construction they did and maybe the size and scope of the of the company?

Barb Canady: Yeah. So it's Greenberry Industrial. Um they're located their main office is in Vancouver. Um but they did a lot of shop. I mean, we did union payrolls, we did certified payroll, prevailing wage. We also did shop, they had two different shops in Oregon, but then they also bloomed out to Louisiana, so we had Louisiana payroll.

00:03:10

Barb Canady: Um, so they just uh either their fields, so they'll go to different sites on the field. Um, or they'll go to prevailing wage. I mean, they did a lot of stuff in the um uh Columbia River and all that. Um and then as well as all different like Shell um I mean they had all different companies. Um started out I actually manually entered in the time guards for them starting out about um about 200 people. Um that was back in 2017 or I'm sorry 2011. Jeez, where's this time going?

Jeff Doolittle: Okay. Yeah.

Barb Canady: Um and then uh when I left the company, it was way over almost 2,000 employees between the all the field employees, the the um office employees. Um because we were we had different stations everywhere. Um Louis, like I said, Louisiana, Oregon, Washington, we had all different kinds of sites. So yeah, and I did payroll for all of them except for uh I had one person that was underneath me that did the Louisiana payroll, but I did all the rest.

00:04:08

Jeff Doolittle: Okay. And Okay. What changed about time and work collection and entry when you went from 200 to 2,000 people?

Barb Canady: So then we learned so with Vista, we actually hired um someone to set up a macro time sheet to where we could import the time. So the uh I would I would build the time sheet, help build the time sheets for each of the fields, send those out, they would fill them in, they would send them back to me, and then I would import them into Vista, which is a lot easier than manually entering them in. Yeah.

Jeff Doolittle: Oh, right. Was it a Excel or Got it.

Barb Canady: Excel.

Jeff Doolittle: Okay.

Barb Canady: Yep.

Jeff Doolittle: So, you'd give them an Excel and then they would give you back the Excel with the filled in time card data and then all you had to do was validate, review it, and import it.

Barb Canady: Limited. Correct.

Jeff Doolittle: Okay. Interesting. Um, okay.

Barb Canady: But yeah, my my Yeah, but my first year my first year was spent all manually entering in time.

00:05:10

Jeff Doolittle: And you already covered a soar.

Barb Canady: So that was a lot of fun.

Jeff Doolittle: Yeah. Uhhuh. A lot of fun. Sar. I don't know if the LM's pick up sarcasm, but that I think was meant to be sarcastic. Let's talk. I know you mentioned you didn't do a lot of this or at least I think you said that, but going back to the very beginning of the process. How was employee onboarding for this company? Uh, you know, did people come and go a lot? Did they have a lot of permanent employees? Was it a mix? give us some of the flavor about the employee onboarding processes, right?

Barb Canady: So I didn't do a lot with the onboarding because that we had a whole separate HR department for that. Um but they did you know we had a lot of office employees as well as field employees and shop employees. Um so it was a whole mixture. When I first started, we were basically only in Oregon and Washington and then we spread our wings.

00:06:04

Barb Canady: We actually even went out to Canada as well and Montana and all that.

Jeff Doolittle: Okay.

Barb Canady: But yeah, I didn't do a whole lot of onboarding.

Jeff Doolittle: Yeah.

Barb Canady: I did make sure that their payroll was correct when HR input them. Um, so I had sheets to compare that, you know, their their um their on paperwork. I had to compare and make sure that their rates were incorrectly.

Jeff Doolittle: Okay. So let's talk about how Vista both helped you in some of those processes and then maybe areas where you felt like you wish it could have been improved. So let's start with the with the good news. You know once you got past the pain of manually entering everything yourself but now the data is in. So uh talk us through you know a day in the life of you taking that data and getting it all

Barb Canady: Yeah.

Jeff Doolittle: the way through to payroll. What did what did you have to do to validate it, verify, make sure it was good? And then again, what what did Vista do really well?

00:06:57

Jeff Doolittle: And then what do you wish it could have done better?

Barb Canady: So, the processing wasn't so bad. So getting the time cards entered in, you know, and

posting the batches and then going through the payroll process of uh, you know, making sure everything was in um the system when you imported your time and or manually. I actually did both. I manually and imported both um even to the day I left. Um, and then you would go in and you would uh process your payroll. From there, you would um look at your payroll register, make sure everything was correct before you actually printed checks. All of that was pretty simple. Now, um and then paying taxes and stuff, that whole shebang, that's all easy. The the main setups there, the setup that was the hardest was a certified payroll setup. Um, so when we would have cert certified prevailing wage jobs, it was a whole one person had to had to was there we only had one person that would set up certified payroll. Um, I was never taught how to do it because she wanted to keep doing it.

00:08:04

Barb Canady: But that whole process when I had to set up one was a lot of work and that was the the the hardest thing in Vista to do because there's so many entities to to make sure you got it all put into one and and then it all calculates correctly.

Jeff Doolittle: Can you describe what those entities are that you're descri like what makes the setup so difficult?

Barb Canady: So depending on what kind of a job, if it's a certified prevailing wage union job, I mean, you've got your craft setup, you've got your craft class setup, you got your craft templates, you got your craft class templates.

Jeff Doolittle: All

Barb Canady: I mean, depending on the hierarchy, uh, and what kind of job it is, um, you had to make sure that those were all up to par and all the rates were incorrectly.

Jeff Doolittle: right.

Barb Canady: You had to make sure your craft classes were set up on those templates, um, all of those.

Jeff Doolittle: Sure.

Barb Canady: And then then if you had fringe benefits, if if you had deductions like health benefits and all that, uh 401k, it's all of that.

00:09:04

Barb Canady: You had to make sure it was all set up correctly because they are um uh fined if you if if they're paid incorrectly.

Jeff Doolittle: Yeah, absolutely. So, is that just inherently challenging or did you feel like Vista was making it challenging or is it just the nature of it that it's just Okay.

Barb Canady: It's the nature. It's the nature of it. But Vista is very challenging when trying to get certified payroll set up.

Jeff Doolittle: Can you explain maybe why that is?

Barb Canady: Um, so if Vista had an automation pro process, it would be a lot easier, but you had to actually go into all these different um, uh, forms to get things set up. So, you'd had to go in, you'd have to get the craft set up, and then you'd have to get the craft template set up, and then you'd have to get the class set up, and then add that class

Jeff Doolittle: Right.

Natallia Prokin: Brother

Barb Canady: to your craft setup or your craft template or your craft class template, and then on top of

that, then you'd have to go in and individually add the rates, and then you'd have to go to individually added your

00:10:02

Jeff Doolittle: Right.

Barb Canady: deductions, your fringe benefits. It's just a whole lot of going here, there, there, and making sure that you've gotten everything the what's set up from the their um certified report to make sure you got it entered into Vista correctly.

Jeff Doolittle: Right. What might have helped make that easier in your mind?

Barb Canady: Um maybe a little more automation or not having to go through so many forms to make sure.

Jeff Doolittle: Like a walk through maybe like a guided or something or Okay.

Barb Canady: Um, yeah, but still there's still a whole lot of entities to fill in for certified payroll.

Jeff Doolittle: Okay. Do you think Oh, yeah.

Natallia Prokin: Barb, so sorry I wanted to ask a clarifying question.

Jeff Doolittle: Go ahead, Natalie.

Natallia Prokin: Before using Vista for data statement, have you used or prevailing wage uh setup I should say? Uh have you used any other software to do the same thing?

Barb Canady: Um, when I first Yeah. When I first started with Greenberry and it was only for a couple months, we used American Contractor.

00:11:05

Barb Canady: Um, so I never had to do that because there was a payroll manager that handled all the certified.

Natallia Prokin: And then how how was that in terms of um prevailing wage setup and did it offer all the options that Vista does.

Barb Canady: I did all the field um the regular field and the regular shop employees. Um, someone else did the certified payroll.

Natallia Prokin: Okay. So really no comparison. The reason I made that statement as a user when I switched to Vista, I switched u specifically on the payroll side uh from JD Edwards and yes uh I was first of all I was blown away with functionality

Barb Canady: No. Right.

Natallia Prokin: Vista had and the setup on JD Edwards and the amount of um checking after that setup was not any better.

Barb Canady: Yeah.

Natallia Prokin: just you know to add so uh going back to original Jeff's question and I'm going to shut up here in a sec. Um so it's it's the nature of it and the it's the amount of variables that you have to look at when you deal with certified especially certified in a in a non-union environment is easier but when you lay

00:12:11

Barb Canady: Yes.

Natallia Prokin: an an additional layer of complexity that's union it's it's a beast.

Jeff Doolittle: Yeah.

Natallia Prokin: So there's nothing you can do about it. It's very complex and yes, guided workflow would be great. Um, but it's still going to be pretty involved no matter what we do.

Barb Canady: Yep.

Jeff Doolittle: What's the artifact or artifacts that you receive to tell you what the requirements are for a certified union job? What do they give you that you have to, you know, conform to?

Natallia Prokin: U so there's there's two things when you are working um with a certified job in a union environment you get a bargaining agreement that comes from the union and it's just a requirement from the union on any job and then when you go um when as a contractor with these union employees you step in on a job that's federally funded or government funded then you also will get a wage decision, which is a standard wage decision by county regardless of if you do a state job, a federal job, or a county job.

00:13:23

Natallia Prokin: It's still a county that's going to govern your your your uh wage decision. So, you're going to get your wage decision and then you have to deal with your mapping of classifications because the wage decision is not necessarily going to have a onetoone ratio of classifications to your union folks. So you got to marry them and that's where the complexity comes into play. And then also on top of that keep in mind that there in situations where you have um it's not necessarily going to be prevailing but it's going to be also template driven job where you have two unions. They both work on one job but one union is going to govern the job. So there are going to be even so now you have two unions and you're still going to report your folks to two different unions but one union is going to dictate the rules on that on that job. So that's another added layer of complexity and like I said Vista handles it all every single aspect of it and the calculation if set up properly are going to be right where they need to be but the setup

00:14:31

Jeff Doolittle: Yeah.

Natallia Prokin: is painful and complex.

Jeff Doolittle: Yeah.

Barb Canady: Yes, it's the setup part of it. Yep.

Jeff Doolittle: Okay. Makes sense. Let's talk about other aspects of the process. So you said you said that you know once the setup is done and you get the time card data in those are really painful but it sounds like you said the actual processing and calculating was pretty straightforward. Once we get past that though tell us a little bit about how you actually paid people and maybe a bit of you know from your best recollection how many people were getting manual checks on a regular basis versus how many people were getting direct deposit and sort of how you facilitated that process like what was automated and what was manual. for example.

Barb Canady: So nothing's really automated when you go to process any process anything through payroll.

Jeff Doolittle: Okay.

Barb Canady: It's all done by one one per it's all done manually by yourself.

Jeff Doolittle: Yeah.

Barb Canady: Um, so in my perspective, I mean, we tried to get away from a whole lot of live checks.

00:15:30

Barb Canady: So, um, my first year there, we did a lot of live checks and direct deposits, but once we acquired Louisiana, we actually integrated, uh, pay cards. I don't know if you've heard about pay cards, but they're like prepaid cards that have that are debit. Um, so we anybody who didn't want a check or I mean anybody who didn't want to do direct deposit automatically got a a pay card. We we went away with doing live checks unless it was a one-off like if they were, you know, getting terminated or laid off or what have you, then we did live checks.

Jeff Doolittle: Right.

Barb Canady: Um, but the process of of printing checks and and and mailing them out and doing the EFT payments and sending that file over to the bank and then creating your direct deposits and your direct deposit payubs. All of that was pretty uh simple to do. I mean, I can say that because I did it for so long, but you know, but it it was a it was a it was a pretty simple process to follow.

00:16:25

Jeff Doolittle: Right.

Barb Canady: Um because once you got your payroll processed then you go in you you do your um leave accrual usage if you do leave there and then after that then you run your check print I mean that but but

Jeff Doolittle: Okay.

Barb Canady: in the meantime you still need to look at your payroll register to make sure you don't have anybody out of out of sync you know like this person's got paid double where this person you know didn't get paid enough. So that that's an important process to always look at your payroll register before you print out checks or send over EFTs. And I always stress that here as a support person because I I would have a lot of customers like, "Well, we don't ever look at our payroll register before we print out checks."

I'm like, "What? Are

Jeff Doolittle: Whoa.

Barb Canady: you kidding me?" I said, "That was part of my process when I process payrolls. You soon as you were done processing payroll, print the register out and look at it, you know." So

00:17:26

Jeff Doolittle: Yeah, at least sanity check it, right?

Barb Canady: yeah, exactly. Exactly.

Jeff Doolittle: Okay, on that note and then I'll hand it over to to Neil, Shaim or Matt if they have any other questions, I think I don't need to I don't really need to ask the question about whether AI is useful for what you just described because literally Yumi and Natalya are working on that project, but I want to go further back and say, do you see a potential space for using AI technology to possibly help with going through those certified and union type documents? you know, the the collective bargaining agreements like Natalia mentioned, you know, the those sorts of things and and possibly helping extract the requirements from those to make the setup simpler. What are your thoughts on that?

Barb Canady: Um, it's possible. I mean, you'd have to make sure you entered in what you're looking for, you know, that and that would be a good thing to test. Um, especially nowadays.

Jeff Doolittle: And we still need a human in the loop obviously, right?

00:18:20

Jeff Doolittle: You got to make sure it's correct.

Barb Canady: Yeah, exactly.

Jeff Doolittle: But as far as maybe helping helping do a portion of the work perhaps, sure.

Barb Canady: Like, right. Like maybe some of the setup, you know, go here and then go there. But I mean, it would actually need to know what Vista is like to be able to tell you what steps to do, you know, be afraid I don't bite.

Jeff Doolittle: Yeah. Yeah. Absolutely. Okay, that's good for me. Neil, Shaima, Matt, Natalia. Any other questions for Barb?

Barb Canady: Unless you're in the office.

Jeff Doolittle: Yeah. Well, I am, but apparently you're not.

Neil Cadsawan: Yeah.

Barb Canady: I'm in the office.

Jeff Doolittle: Oh, you are. Okay.

Barb Canady: Yeah, I'm sitting down here with my teams.

Neil Cadsawan: So this um uh question about your uh experience. You're looking at payroll from an HR point of view, correct?

Barb Canady: No, I was actually processing the payroll.

Neil Cadsawan: No. Okay.

Barb Canady: I I I didn't enter the the I didn't enter in new employees in the HR when I worked at Greenberry.

00:19:21

Barb Canady: Um I did all the payroll processing, but I also verified what they put in. So I had their packets to verify what was in Vista compared to what they put in the system.

Neil Cadsawan: got. Okay. Okay. So, I will the question I I think still still works. doesn't matter which way, but tell me about how you did work with HR in understanding and and tying a lot of these connections together of hey, we have money here in some accounts. We have people who've registered labor costs and now you have to cut a check. Knowing all of those connections, what you know were the pain points that you experienced and do you have any ideas of how something might be better?

Barb Canady: H. So I'm I'm trying to understand. So are you talking on the payroll side? I mean, did I communicate? So, how did like I find out if someone was being termed or processing that or yeah um not

Neil Cadsawan: Yeah. Yeah. I mean, yeah, just like in your work, you know, there all these things coming in. I'm just kind of wondering like, hey, if there's Did you ever experience anything that you're like, hey, there there could be a better way that this could be done.

00:20:43

Barb Canady: really. I mean obviously you know HR will let you know hey you need to term this person so you have to gather their past you know their their time cards and stuff and get that entered in um into the

system and then be able to create a live check. You you also got to know the background is it California that has to be paid right away. You have to know those different aspects of it. I mean, it does help to have like um validation um for, you know, is this person being paid on time? It would be nice to know how many how many days do I have to pay this person? You know, like Oregon has to be paid within so many days. California within 24 hours, you know, you it'd be nice to have some of that validation to know when you need to pay these people right away, especially on a payroll process. You know, generally you should know that stuff, but if someone new is coming in and they don't know that, it would be nice to have a validation part of that to know, you know, when when you need to get things paid out for a termed employee.

00:21:47

Matt Thurber: And those are

Jeff Doolittle: Can I lean into that a little bit, Barb? Where how how is your interaction with the accounting side of things? because you know obviously as we're collecting time and work uh and I'd be curious to know how this worked out at the company that you worked at but you know if we're also tracking equipment things of that nature and then that's eventually going to hit you know the accounting part of Vista um can you describe some of that interaction and how you work with the accounting department to make sure everything lined

Barb Canady: Yeah. Yeah. So you have obviously a lot of it comes from your your time card entry and and posting the batches. So on a daily basis when I was working there, I had to do um the what is the PR ledger update. So I only had I didn't have all the boxes checked. I only had the job cost box checked just so um my project managers could have their updated costs per day. So, I would do the ledger update and post it for job posting.

00:22:41

Barb Canady: And then they could go in and run a report to see how many hours they had for that day or for that week, you know, or whatever they've got to help with their budget to know what their that the costs are going through. Um, but I would run that process for them daily. Um, not a whole lot of companies do that, but we our our project managers required it.

Jeff Doolittle: Wow. Okay. So, you were extracting job co job cost data from the time cards even before you ran payroll.

Barb Canady: Yeah.

Jeff Doolittle: You weren't waiting to run payroll to get that data in. Interesting.

Barb Canady: Right. Correct. I did that on a daily basis. And then that way they had their job costs and know their labor hours and and you know what costs are coming out from their their projects.

Jeff Doolittle: Yeah. Were there ever potential adjustments or things like that? Like you Okay.

Barb Canady: Oh, of of course. Yeah.

Matt Thurber: Yes.

Jeff Doolittle: Yeah.

00:23:26

Barb Canady: Yeah. Hey, I need to go from this job to this job or this person had the wrong phase, so you

got to pull the time cards back in and change it and all that.

Jeff Doolittle: Yeah.

Barb Canady: Yeah, that was Yeah.

Jeff Doolittle: Okay. I figured, but I didn't want to assume. So, that makes sense.

Barb Canady: Yeah. And certified was the hardest. Yeah.

Jeff Doolittle: Yeah. Yeah. Because you got to get everything dialed in. There's so many moving parts for that.

Barb Canady: Yep. Yeah.

Jeff Doolittle: real quick question going back something you said before kind of a twofold from a from a where you see things going from a technology standpoint you know you mentioned you switched to pay cards instead of manual checks is is there a world and maybe this is a naive question I don't know but is there a world where we could get rid of manual checks even for terminations and just give people pay cards or are we always going to be stuck with manual checks ah Yeah, it has to be a check though.

00:24:07

Barb Canady: Well, depending on the state, you know, you know, like California has to be paid within 24 hours. They have to have their check in their hand.

Jeff Doolittle: It can't be like a pay card.

Barb Canady: Well, those take long. Sometimes it takes longer. you're relying on the bank versus, you know, overnight FedEx package to the project manager and they hand in their check, right, the day that they're actually releasing them.

Jeff Doolittle: Got it. Yeah, makes sense. Or courier actually from the payroll company.

Barb Canady: Yeah.

Jeff Doolittle: Yeah. Yeah.

Barb Canady: Yep.

Jeff Doolittle: Okay. I just checking. And then on the on the front end side on the time card entry, you know, you you moved from manual, they're you know, they're handing you chicken scratch pieces of paper, I imagine, you know, have coffee stains and

Barb Canady: Yep.

Jeff Doolittle: tobacco stains and then they at least you got them to switch to Excel. But what's your sense of the appetite for companies to move towards more like, you know, using a mobile phone or or things like this to actually start time and work tracking for construction projects?

00:25:01

Barb Canady: I think that's a better move. I mean, because then at that point it's it's all on the uh your superintendent, your your foremans and everything to make sure all the time's entered in correctly. And once they get that into their app and then they push it over to payroll, then, you know, we'll have to look at it. Um, but I think it doing the time cards out there and and having them automatically come into the system is a lot easier and things don't get lost. You know, you just got to rely on them to make sure everything's correct on the outside.

Jeff Doolittle: Right.

Matt Thurber: Yeah. Yeah. I was going to ask in the process you described, it sounded like the approval was really being done after you did the processing and then you're fixing it after. So like the would it be

better if like I said it was electronic, the project manager actually approved it before it's it's it's actually accounted for cost.

Barb Canady: Yeah. So, they Yeah. So they would need to look at their before they sent it over to payroll.

00:25:54

Barb Canady: They would want to look at the time cards and and you know what was put put in and in in the system and then push it over and approve it. So once that's approved then we just post the batch.

Matt Thurber: Yeah, it's proved ahead of time and it should be what percentage if you had to guesstimate like percentage of accuracy was it 50 60 70 80 90 like of of like how many entries had to be corrected on

Jeff Doolittle: Okay.

Barb Canady: Mhm.

Matt Thurber: a on those daily and weekly basis like either pre or post payroll as well because there's always like you don't catch what someone gets paid. Now you have to redo a whole you know a whole pay for them.

Barb Canady: Yes.

Matt Thurber: But also

Barb Canady: Yeah, that happened a lot with certified payroll when they didn't give us the uh the the update of the hey this rate has changed. So certified was the hardest. I mean I at at one point I had a hundred 100 employees I had to do for six months and the paying on a weekly basis and then you have to do the difference in a each weekly check.

00:26:50

Barb Canady: You can't do it all in one check. It has to be each Yeah.

Jeff Doolittle: Oh.

Matt Thurber: would you say it's like uh and what would you say was the percentage of errors like If just as a generalization at any stage point in time like how many corrections was it?

Barb Canady: Um there wasn't a whole lot of correction.

Matt Thurber: Five.

Barb Canady: I mean, all you got to remember at first there wasn't hardly any because there were so few employees. Um, but once it got into bigger, yeah, they had problems. You know, either their time sheets didn't get in or they missed time, you know, but it wasn't a whole lot. Um, not compared to, you know, the project manager not sending in the certified payroll in time. That was one of our biggest ones, but there wasn't a whole lot of corrections only because our process doing man or the micro or macro time sheets, it automatically brought it in. Now, unless they did something didn't input it in correctly, that's their that's on them. And then they would come back and say, "Hey, you know, I accidentally put it this way." But it I I had my my team so whipped into shape, they knew if I was con, they were in trouble.

Jeff Doolittle: You said you don't bite. All right. Well, we we're at time. So, thank you so much, Barb, for your time. We really appreciate it.

8/6

Trimble Financials Payroll - Stakeholder Interview

Invited Shakyma Edwards Matt Thurber Neil Cadsawan Jeff Doolittle Natallia Prokin

Attachments

Meeting records

Summary

Someone in 453 - Forest Park (USA - OR - Lake Oswego, 4) welcomed Matt Thurber, who presented Traxxas, an internal project application started in 2015 for electrical contracting businesses to manage timesheets, equipment hours, and expenses, serving as a mini HR and job costing system. Matt Thurber explained Traxxas's evolution from serving small to large businesses, emphasizing its deep integration with Spectrum for timekeeping and compliance, particularly for complex payroll requirements across multiple states. Matt Thurber highlighted the importance of simplifying the interface for field workers and focusing on a narrower scope for faster scaling, advising the future development of more expandable data collection systems.

Details

- **Introduction to Traxxas** Someone in 453 - Forest Park (USA - OR - Lake Oswego, 4) welcomed everyone and introduced Matt Thurber, emphasizing the need for different perspectives on building Trimble Financials payroll. Matt Thurber was specifically asked to share their experience with Traxxas, its fit within the scope of Trimble Financials, and the business processes Traxxas addresses, along with system integrations (00:00:00). Matt Thurber provided a 60-second pitch, explaining that Traxxas started in 2015 as an internal project application for electrical contracting businesses, managing time sheets, equipment hours, expenses, and serving as a mini HR and job costing system for small to medium businesses (00:00:44).
- **Growth and Evolution of Traxxas** Matt Thurber explained that Traxxas initially focused on companies with 5 to 80 employees, later expanding to hundreds. They discovered the ERP system Spectrum when a customer migrated from Sage, which allowed Traxxas to serve larger companies with headcounts of 500 to 1,000. Traxxas developed a thorough integration with Spectrum from 2018 until its acquisition by Viewpoint in 2023, deepening their understanding of timekeeping needs (00:01:49). Matt Thurber further clarified that Traxxas doubled down on being a time sheet system, rather than an all-in-one platform, as this was where they found the most traction, particularly with the Spectrum market (00:03:13).
- **Complexity of Timekeeping and Integrations** Matt Thurber detailed that Traxxas handled time, equipment, and expenses, evolving to address complexities like certified payroll, prevailing wage, union codes, and overtime/double time rules, especially for larger companies operating across multiple states with various unions or in states like California with unique requirements (00:03:56). Someone in 453 - Forest Park (USA - OR - Lake Oswego, 4) confirmed that Traxxas focused on exporting time card and log data, not payroll processing itself (00:03:13). Matt Thurber added that the integration with Spectrum facilitated capturing detailed information, synchronizing data from the ERP for use on time sheets, and exporting into modules for job cost transactions and planned maintenance work orders (00:03:56).
- **Data Collection Process in Traxxas** Someone in 453 - Forest Park (USA - OR - Lake Oswego, 4) inquired about the data collection process, including the tools used and the flow of data from the ERP to the application for validation, and where it ultimately lands (00:06:02). Matt Thurber explained that Traxxas covered both the "collect" and "approve" stages, with the process being "one, two, three": collection, manager approval, and syncing with the ERP for payroll. Data like employee information, equipment, job numbers, and cost types were synced into Traxxas (00:07:40). Field staff collected time daily or weekly using phones, tablets, laptops, or time clock kiosks with PIN, RFID, or facial recognition. This electronic system replaced previous manual methods like spreadsheets or paper, significantly improving accuracy and saving time for payroll processing by providing pre-approved data (00:08:34).
- **Compliance and Error Prevention** Matt Thurber elaborated on how Traxxas helped identify missing or incorrect time through anomaly reports and flags. The system included a rules engine to flag compliance issues, such as overtime rules for specific unions or jurisdictions, or work exceeding consecutive days in

California. Someone in 453 - Forest Park (USA - OR - Lake Oswego, 4) noted that Traxxas leaned into compliance before data even reached the ERP (00:11:01). Matt Thurber highlighted the value of catching mistakes early in the cycle, ideally at the point of entry by the employee, or by the project manager, to prevent incorrect payments, fines, and employee dissatisfaction (00:11:53). While Traxxas could flag potential prevailing wage issues and union/wage codes, it did not handle exact pay rates or the full payroll math, as it was not the payroll system itself (00:13:49).

- **System Design and Scalability Challenges** Someone in 453 - Forest Park (USA - OR - Lake Oswego, 4) asked about back-office applications for job setup to reduce options for field staff, and Matt Thurber clarified that Traxxas aimed for maximum automation rather than strict access restrictions, due to the dynamic nature of construction work where employees often move between multiple projects (00:15:18). Someone in 453 - Forest Park (USA - OR - Lake Oswego, 4) then posed two key questions: what Matt Thurber would have told their past self when Traxxas was a small company to better address small businesses, and what they would have done differently in the early days to facilitate scaling to larger companies (00:17:53). Matt Thurber's first point was to simplify the interface even further, making it "dead simple" for field workers who operate in challenging conditions and have limited time for complex technology (00:19:14).

- **Focus and Expandability for Scaling** Matt Thurber addressed the second question, stating that to scale faster, Traxxas should have focused on a narrower scope initially, rather than trying to do "everything all at once". Their success came from doubling down on time sheets and integrating deeply with a specific ERP like Spectrum, instead of trying to be great at many things across various accounting platforms (00:20:55). For larger companies, the key was providing 90% of their checklist needs for time sheets, as they typically already had other systems for safety, equipment maintenance, and document management (00:21:50). Matt Thurber also mentioned that they could have built more expandable and flexible features from the outset, like handling per diem in multiple ways, to avoid extensive rework later (00:22:45).

- **Dynamic Data Collection and Future Considerations** Matt Thurber identified the need for "further depth to the collection of data" as a persistent challenge, noting that some complex industries required collecting numerous fields (e.g., 16 different fields for power line companies) for payroll processing (00:23:33). They wished they had built a continuously expandable field system, allowing customers to add their own fields for various data points like work order numbers, travel, or mileage (00:24:17). While Traxxas was dynamic in configuration, allowing different time sheet screens per user, it was not perfectly dynamic (00:25:14). Someone in 453 - Forest Park (USA - OR - Lake Oswego, 4) emphasized the importance of designing systems that can accommodate differences across customers and changes over time without breaking existing functionalities, leveraging lessons learned from previous builds like Trackx Spar, Spectrum, and Vista (00:26:59).

Suggested next steps

1 Matt Thurber will brainstorm with the other guys around the office to create a list of stumbling points related to PDM, union codes, wage codes, and rate levels for payroll.

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Transcript

Trimble Financials Payroll - Stakeholder Interview - Transcript

00:00:00

453 - Forest Park (USA - OR - Lake Oswego, 4): All right, welcome everybody. Thanks Matt for being here. Ah, Sha, looks like you just showed up too. That's great. Okay, so I think everybody knows the drill at this point. A lot of what we're looking for here is to get good transcripts of different perspectives on what we have to build for Trimble Financials payroll. And you know, having done a few of these interviews so far, you know, hopefully we've got a sense of how this is going to go. Matt, specifically with you, because of your experience with Traxxas, we want to get your perspective on where Traxxas fits in the whole, you know, scope of this thing.

00:00:44

453 - Forest Park (USA - OR - Lake Oswego, 4): Um, and then also want to get your perspective on the business processes involved that Traxxas has been addressing and other systems you've integrated with, etc. So why don't you start by giving us a brief overview of what Track Spirit is and what your experience has been there and then we'll start talking about how that relates to Trimble Financials payroll.

Matt Thurber: Yeah, for sure. I'll dive right in. Uh so the I guess the the 62nd pitch on what TXA uh was and is now is uh we started in uh it spun out in 2015 spun out of a group of electrical contracting businesses that essentially was an internal project application for their companies that um not only ran their time sheets but their equipment hours, expenses um employees, equipment like almost like a mini HR system, mini job costing system um for for small medium business. We we took that to market. We started selling it to other small medium business and the um we always sized companies based on the not the the the gar, but the um basically just the headcount was was how big of a company and that's what we cared about because that's how we priced it.

00:01:49

Matt Thurber: So you're either you know maybe you have five or 10 employees, maybe you have 20 or 80 or 100. So we really started off in the kind of the five to five to 80 employees range and we grew into the you know into the hundreds. Later on in our in our journey down this trying to to find our place in the market as a as a a startup you know construction management platform quote unquote um we discovered uh an ERP called Spectrum because one of our customers was was migrating from Sage to Spectrum. Previously, most of our customers had used like QuickBooks and Sage, one of the three Sage versions or some other, you know, accounting software, but uh we discovered this um you know, enterprise tool called Spectrum and that got us into a bit higher of a headcount. So, it broke us past like the 200 headcount, which is, you know, that's um roughly a 40 or \$50 million company. all of a sudden we're talking to companies with headcounts of like 500 and a thousand. Um so we built a a very we started building a very like uh thorough integration with that platform in 2018 through to when we got acquired by viewoint in in uh 2023. So we really went pretty deep with our integration and learned a lot about the the needs of timekeeping.

00:03:13

Matt Thurber: We really double down as more of a more of a time sheet system than this all-in-one platform. We started up trying to do safety and equipment and employees and certifications and all these

other things. Um we kind of doubled down in 2018 2019 to be more time focused because that was the need of the the spectrum market which was um where we saw the most traction. Uh along with this integration when we we found that people don't like loose CSV integrations, they like thorough API integrations. It just everything syncs automatically. They can press one button, export payroll for 500 employees into their ERP and that saves them like 3 days of time, you know, people time.

453 - Forest Park (USA - OR - Lake Oswego, 4): You say export payroll. Do you mean you mean export time cards in this case? Like export time time logs.

Matt Thurber: Yeah. Yeah.

453 - Forest Park (USA - OR - Lake Oswego, 4): Yeah.

00:03:56

Matt Thurber: We did we did time, equipment, and expenses. Um, and that started off as like a, you know, a minimal size and then we got into a lot of the things that have come up during these meetings with certified payroll and prevailing wage and um, union codes and people wanting to flag like overtime and double time rules and people with, you know, working across three states with like 50 different unions in their company. So it just, you know, opened up a a never- ending tunnel of more and more complexity as we got into generally the complexity rose as the companies got larger because again they're working on these federal contracts. They're involved in some of these more complicated unions. You know, they're in they're in California which is a whole um whole, you know, different world of its own with with unique requirements. Um so as we as we got into larger and larger companies, we got introduced and brought to the table um the need for our both our integration and the the time sheets themselves to be able to capture either capture things in further detail or synchronize data from the ERP so that it could be used on the time sheet and more detail or like export into modules and spectrum with you know job cost transactions and you know

00:05:08

453 - Forest Park (USA - OR - Lake Oswego, 4): Right.

Matt Thurber: sync you know plan maintenance work orders for equipment because you can a mechanic that's working on a piece of equipment and that's what he does for part of his day or part of his week or his whole week and all he does is you know so there's there's a lot of different types of time that people in the field record to whether it's overhead or drop cost or equipment. Um so we we just basically went deep from deep down the rabbit hole from 2018 to 2023 of of building out this integration and getting into companies up to 2,2500 employees. you know, some of the the larger steel fabrication companies in the US that were close to a billion dollars in revenue versus the companies we started out with being like, you know, a lot of them were small companies in town here that I'd go sit at their office and they'd have like five 10, you know, they have an owner, a project manager and like five or 10 guys running around in trucks doing mechanical or electrical or,

00:06:02

453 - Forest Park (USA - OR - Lake Oswego, 4): All right.

Matt Thurber: you know, excavation work. Um, so totally different world going from that like, you know,

sub\$2 million GAR companies to the the billion dollar, hey, we've got 25 employees across, you know, 15 states in the US doing projects

453 - Forest Park (USA - OR - Lake Oswego, 4): Can you walk us through what what kind of you know tools or like you know are they using phones? Are these in kiosk like walk us through the process of setting up data collection and then performing time card and equipment and expense collection. Um and then you know what's going on. You know, you mentioned some of the data needs to come from the ERP out to the application so that it can do some preliminary validation, I would imagine, or at least some referential integrity and then kind of, you know, where where does that end up landing later on?

00:06:56

453 - Forest Park (USA - OR - Lake Oswego, 4): You mentioned the push button to get it into the ERP. Just walk us through a little bit about, you know, who's doing what and what are they using in order to do it.

Matt Thurber: Yeah. Yeah. So basically our um so are you talking about this the setup or configuration of the technology trucker itself?

453 - Forest Park (USA - OR - Lake Oswego, 4): Yeah. tracker specific like yeah I mean mo you know when we think about we're tracker is mostly in the collect space right then we get to the process piece of payroll and then we get finally to the you know

Matt Thurber: Yeah.

453 - Forest Park (USA - OR - Lake Oswego, 4): the dispersement piece where we actually you know pay people and and you know do their earning stubs or whatever you we want to do over there so you know where does track spar fit in that process and then and then what's like a day in the life of a tracker user

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Matt Thurber: Yeah. Yeah. So the um yeah, we saw ourselves as as both the the collect and the approve. So we called it like the one two three was you know cycle was what we called it and say hey it's easy is one two three you collect it it gets approved by your you know the manager or supervisor or the project manager and then you sync it with your ERP. So one to you know syncing with ERP is the third step where you're actually going and running you know your your payroll manager would be running your payroll. Um so starting at step number one the sorry before step number one we would have all of the data basically of all of the employees um all of the equipment they might be using all the job numbers all the phase codes all those cost types whether it's um so we would sync all of that in along with all the equipment in case you're using equipment on the job whether it's charging your time to equipment or charging the equipment to the job um more for costing or billing purposes on on that um and that world.

00:08:34

Matt Thurber: So, we would sync all that data in that would be live in the system and then when you're on step number one, mostly it would be um field staff um out on the job site using their phone, their tablet, their laptop. Um in the in the latter days, we had a a time clock kiosk device where they could pin in or RFID in or out with facial recognition, things like that for like stations where you have large people working in shops and stuff. So they would they would collect their time one of one of those three ways basically mobile desktop or time clock. um they do that on a daily or a weekly basis and then it would be live in the

system where the project manager can approve the time and then at the end of the week or beginning of the following week um payroll would come in do their final check over it press that one button to sync it to the the ERP and then it's all ready for your it's kind of pre-approved which is part of the the beauty and the value of it is like the time is more accurate than just like collecting a whole bunch of you know prior to having electronic time cards companies would either be on spreadsheets or paper where it's like as loose and sloppy as writing it down on a bar napkin is what people would tell us.

00:09:47

453 - Forest Park (USA - OR - Lake Oswego, 4): All

Matt Thurber: You know, here's what I worked and like text a picture into some poor individual who gets a hundred of these text messages or a 100 emails in their inbox for a hundred people's time. they have to then sort that out and get it into some sort of format where they can import it or manually enter it into their ERP or accounting system to do to do payroll.

453 - Forest Park (USA - OR - Lake Oswego, 4): right.

Matt Thurber: So that that would be the previous world and now they basically have it all show up. It's all been approved by the the people who actually know the context of the job, most likely the project manager persona in construction. And then the payroll person basically just click one button and they've got that accurate data ready for payroll. that would save like I said in some cases like three one person like three days of time or multiple people you know a whole team of time if you had 500 employees trying to like track down you know where is where's Joe's time it's Monday morning I need to do payroll and you know um it it gives accountability and visibility to being able to see are you missing anybody so like run be able to run an anomaly report where oh hey this person had time last week why don't they have time this week why didn't you know it's easy to see if it's not easy to see when you have 500 employees if one person

00:11:01

Matt Thurber: forgot to do their time, you know, or one person forgot one day when everybody works Monday to Friday or things like that.

453 - Forest Park (USA - OR - Lake Oswego, 4): Right.

Matt Thurber: So, it it didn't solve all solve all the world's problems, but it it helped to identify missing or incorrect time via a number of like um anomaly reports or, you know, flags saying, well, hey, you're part of this union and this union has these specific rules. um for overtime or you worked over 40 hours a week or you worked seven days in a row in Cal California. So after seven consecutive days you you now apply to this rule. So we we had a bit of a rules engine that would help flag and identify these things ahead of time.

453 - Forest Park (USA - OR - Lake Oswego, 4): Okay. So, you were starting to lean into compliance a little bit before it even got to the ERP.

Matt Thurber: Yeah. trying to to solve the what we uh kind of sold as a value is like the early you catch a mistake in the cycle like if if Joe on Monday can you know know that he entered the

00:11:53

453 - Forest Park (USA - OR - Lake Oswego, 4): Yep.

Matt Thurber: time incorrectly and it flags it right there or corrects it and just automatically like applies his overtime because he put in 10 hours and after eight hours you get overtime in the jurisdiction that like I'm in right now is kind of a rule and um other employees might be after nine hours and other employees might be only over time after 40 hours a week, but we can actually just automatically correct that if you're 100% confident that is the the case and that's how you've configured the system. So the early you catch an error in the cycle, whether it's like Joe in the field or the project manager before it gets to payroll, um by the time you've like paid that employee incorrectly, it may have cost you some fines if you paid them wrong. Whether it's doesn't matter whose fault it is, but even if it doesn't cost you any money, you're now spending like x amount of hours to, you know, not only is Joe pissed off that he play, you know, he got paid incorrectly, he thinks the company's screwing him over because that's instantly where where human nature takes us is, you know, my employer is trying to short change me.

00:12:58

Matt Thurber: I'm pissed off now. I'm probably not going to do a very good job on on, you know, the next couple days at work. I'm probably not going to be trying too hard for the company that I I think is trying to screw me over.

453 - Forest Park (USA - OR - Lake Oswego, 4): Right.

Matt Thurber: So, and then this payroll poor payroll person has to go find out what there is, talk with one, two, three people. Okay, Joe did work an extra two hours overtime. Let's now process a separate payroll run just to get him the \$100, you know, \$200 we might owe him for two hours overtime and mail him a check or automatically, you know, direct deposited, whatever the case might be. But I've had to go, you know, now out of my way for 3 hours of time just to fix to pay someone \$200. So if we can catch that two hours overtime right when he's entering it or the project manager can easily fix it, we've we've saved all that time and there's companies that told us um Yeah, exactly, Natalia.

00:13:49

Matt Thurber: Um there's uh yeah if we can save that earlier on it just it it just you know in in a company of 500 people you might have 50 employees with in you know incorrect um you know any type of mistake or error in there. Um so we we really see catch as much of those leading into compliance and there's only so much of the compliance we could get into. We couldn't get into like the Davis Bacon and the a lot of those items because we didn't typically deal with the exact pay rates of the employees. We're deal generally just dealing with the employee, the union code, the wage code, the hours.

453 - Forest Park (USA - OR - Lake Oswego, 4): Okay.

Matt Thurber: Not to say we couldn't, but like we we could flag potential prevailing wage to look at, but we couldn't like we didn't do the whole math to say, well, this is what you should be paying the person for

453 - Forest Park (USA - OR - Lake Oswego, 4): Yeah.

Matt Thurber: prevailing wage because we're not the actual payroll system where they're

00:14:42

453 - Forest Park (USA - OR - Lake Oswego, 4): right? And you're becoming the actual processor, not not the the collector. But clearly there's some some give and take there because if you want to catch things

upstream, you have to have knowledge of how the processing is going to going to happen later. So that makes sense. And and speaking of that, I imagine was there also like a back office application that people could do to like set up jobs and and things so that when it came time for people to clock in, it would maybe reduce the available options for them. So that get people, you know, clocked in correctly or on the right job, you know, or craft class or whatever it might be.

Matt Thurber: Yeah.

00:15:18

Matt Thurber: So there are some things we didn't um our goal was always to have things as auto automated as possible to not restrict. So like there is some competitors in the industry where like you'd have to say well Joe is allowed access to these these three jobs and Jeff is allowed access to these 10 jobs and um there's an administrative burden along with that because if hey Jeff I need you to come over and like we got a fire over here.

453 - Forest Park (USA - OR - Lake Oswego, 4): Yeah.

Matt Thurber: I need five more people to come and and help us save this project. No one has the time to go and like assign those people that we're pulling from this project to this project, which is kind of the construction world in in most companies is everybody kind of running around with their head chopped off doing anything it takes to make sure they get the time the project done on time.

453 - Forest Park (USA - OR - Lake Oswego, 4): Yes.

Matt Thurber: Often the the time aspect is more important than the budget aspect because they need to be they have three days to do a project and they have 40 people on a project.

00:16:14

Matt Thurber: we need to be open by Monday morning for an operation of a mine or a sawmill for a shutdown and like we'd much rather throw another 10 people at it than be offline for another day. So often times you're just scrambling and getting sent to you know you can be on 20 different projects in a week and just running around helping everybody if you know it's not just a you know 9 to 5 hey you're going to be on this project for a month at a time. Sometimes it is, but a lot of times it's just you can't you're getting it thrown around and you don't know where you're going to be from 9:00 a.m. to 9:00 p.m. Especially in a lot of um a lot of industries where you're on like emergency calls for power line companies or you're responding to an emergency, you know, whatever the crisis might be having to so we didn't filter those options ahead of time. Um but we did have things that would be like, well, hey, here's your top five jobs you've worked on.

00:17:07

Matt Thurber: So you have a nice easy drop down or here you can search by the like the the name or description or address of the project and it would filter down your results to give you so you can make them the the educated choice out of a short list rather than like oh hey the company has a 100 active jobs right now I'm going to sort through and try to try to like scroll through one one by one.

453 - Forest Park (USA - OR - Lake Oswego, 4): Yeah.

Matt Thurber: There was built-in tools in that sense, but we didn't restrict them because it it makes way

too much of an administration burden to preset all your jobs up for employees.

453 - Forest Park (USA - OR - Lake Oswego, 4): So, I've got a couple questions because I think you've got a really unique experience because you started out with that small customer that we are trying to target with Prism and and you've grown now. So the two questions I have are kind of similar but they're looking at it from different points of view.

00:17:53

453 - Forest Park (USA - OR - Lake Oswego, 4): So the first question is knowing what you know now is there anything you would have you know looking back when you were a small company would you want to whisper to yourself in the past saying hey do these things because it'll make you better addressing that small business you know is there anything that you would want to tell your past self the second thing that is because now you've grown is there things that you would chain and say, "Hey, what are things that we can do knowing that we do want to scale?" So those are like the the two kind of related questions saying, "How could you set yourself up better knowing that you do want you are going to scale, you know, further on?" So it's it's related questions, but it's it's kind of two different ways to kind of think about this.

00:18:45

Matt Thurber: Yeah. Yeah, I think I understand. So, first question is is it how could we better address the small business like the this of knowing what we know now?

453 - Forest Park (USA - OR - Lake Oswego, 4): Yeah, like yeah, we've done it now. It's like, hey, you know, we could have done this better. How could you have addressed small business better or how would you address it better now? And the second is if you could go back and say, wow, we're going to scale this thing to a thousand people. What might you have done in the early days of the small business to make it easier?

Matt Thurber: Yeah.

453 - Forest Park (USA - OR - Lake Oswego, 4): Not not to say build it all, although maybe that would have been your decision, but like that. Yeah.

00:19:14

453 - Forest Park (USA - OR - Lake Oswego, 4): So those are kind of the two questions better for small business and what would we have done early that might have made it easier to scale.

Matt Thurber: Yeah.

453 - Forest Park (USA - OR - Lake Oswego, 4): Exactly.

Matt Thurber: Yeah. No, that makes sense. Um, so number one would be we always had a very simple, clean, modern interface. Like it was simple, easy to use to the point it was as self-explanatory as possible. But what we did learn especially on the smaller business side is like it has to be dead like even even simpler than what someone would consider dead simple because as you know as a as a you know a tech company or a bunch of like you know intelligent people trying to build software like you take for granted things that things that seem simple aren't simple to the general public or to the the construction industry. So it has has to be like five times simpler than what a bunch of you know a bunch of uh programmers can come up with in a in a room on a whiteboard.

00:20:07

Matt Thurber: you know, it's got you got to take it and you have to I I hate to say dumb it down because I don't mean that in a insulting way insulting way, but it's like you have to simplify it

453 - Forest Park (USA - OR - Lake Oswego, 4): Circle five.

Matt Thurber: because like these people are, you know, when when you actually go out, you know, probably one thing we learned is like we'd be on the job site with with folks, it's like these are guys that, you know, work their butt off in in very horrible weather and conditions, you know, 10, 12, 14 hours a day in work boots and like they don't they don't have time for technology to not work. it has to be like bulletproof. I just need to do my time. It's it's been the end of a very long day. I got to get home to my family.

453 - Forest Park (USA - OR - Lake Oswego, 4): Yeah.

Matt Thurber: Um, so I'd say like like doubling down on the simplicity and the the the workflows of things would be would have would have helped us more earlier on as well as just having a narrower focus.

00:20:55

Matt Thurber: And this really leads into the second part of the question is what would help us scale faster is like not trying to do we tried to almost do everything all at once.

453 - Forest Park (USA - OR - Lake Oswego, 4): Heat.

Matt Thurber: And when we doubled down on time sheets and said hey we are the best time sheet system for spectrum that is where like we we really found our our focus and our our product market fit. Um rather than saying well hey we work with QuickBooks and Sage and this accounting platform and this one. Um, we we literally just focused on one and we just focused on time sheets and we forgot about equipment maintenance and safety and document management and all these things that are still around a little bit, but like you you can't be great at 10 things. You can be really great at one thing um at a at a time until you've mastered that thing and then you can move on. Especially when you're trying to like what we found is people wanted a they need like 90% of what they what they're looking for when they're looking for time sheets.

00:21:50

Matt Thurber: Like no one's looking for time sheets and safety and equipment maintenance. They mostly especially, you know, in the larger companies when they're trying to scale, they have those systems in place and they go, I don't care about any of that. Show me time sheets and they want literally nine out of nine out of 10 things on their their checklist checked off. Otherwise, oh, sorry. Like there's there's better options out there. So, you know, it's it's one thing we had to thorough.

453 - Forest Park (USA - OR - Lake Oswego, 4): I love that narrowing. Yeah, I love that narrowing of scope in terms of your your target market. I want to dig a little bit more into specifically for time sheets. Was there were there areas of pain scaling time sheets from small business up to 100 500,000 person companies that maybe if you had known in advance you might it might have been less painful reworking the system or extending the system to accommodate the needs of those larger companies.

00:22:45

Matt Thurber: Yeah, I mean we could have done things like uh more um like it would have been like doing slightly heavier like doing the heavier lifting first so that you have things that are more expandable and flexible. You don't necessarily know what the the future holds. But today I think we have like four different ways that PDM works and we just started with one way. But like because we've changed it four times, we could have just maybe spent twice as long to build in the first place, but it wouldn't have taken us, you know, not four times the effort. It probably, you know, 10x the effort to do it the longer way.

453 - Forest Park (USA - OR - Lake Oswego, 4): Are there other ones? That's a great example. I mean, and and by the way, I know we're run out of time, but I want to hear as many of those as you can come up with because it's funny you just said we didn't know the future at the time, and that's true, but now we do because we're here.

00:23:33

Matt Thurber: Yeah.

453 - Forest Park (USA - OR - Lake Oswego, 4): And if we have to do it again, let's make sure we gain those lessons early on so we can, you know, build per DM once, right? Instead of building it, you know, four times again, right? So, are there any others that come to to your head?

Matt Thurber: Yeah.

453 - Forest Park (USA - OR - Lake Oswego, 4): Give

Matt Thurber: I'm thinking and this is still one actually that's that's unsolved but but people want to like collect that what what would always like stumped us and we'd always have to like build one more thing to get this one customer. It would always be like the one thing that's like the deal breaker. We go all right well we'll we'll build that sign sign this contract we'll deliver this in like 30 60 days and then you know you've agreed to become a customer if we've delivered this feature of value. Um, it was always like just further depth to the collection of data.

00:24:17

Matt Thurber: Like some people keep it simple and they just say, "Hey, I I start I clock in, I clock out, you know, I work from 8 8 a.m. to 4 p.m. or 8 a.m. to 5:00 p.m. and it auto applies my breaks." And that's a simple. But some people have these extremely busy, complicated companies where they get paid differently because they're, you know, a power line industry is a really complicated one where it's like that it's very heavy union based. They have ex they work extraordinarily long hours and emergency on call work and they have like time if they're in heli time for a different pay rate versus if they're operating equipment versus if they're you know depending what type of of of you know trade they are in that power line company as well. So they want to calcul collect like 16 different fields on their time sheets because that's the complexity of the data they need to process their their payroll. Um, so essentially letting people add their own fields to be able to capture whether or not they're synced with payroll or not.

00:25:14

Matt Thurber: Some people just want to capture they need to capture the customer's work order number

on every single line item because they need that to go build the job after. So, you know, we we ended up adding these one at a time, but like just truly having like a continuously expandable field where if they want to add a 100 fields in their time sheet and either just I don't know be able to report on them after or send them into their ERP or pull a report for safety or what whatever they want to do with the time. Just if we would have just built that to be fully dynamic, that would have like solved a lot of the premium. You know, people want to do travel, people want to do mileage, people want to collect work order numbers, they want to do all sorts of things. Um, that would have helped us, you know, just have everything right off the hop because you can just you can just add it yourself. the customer. We are we're fairly dynamic and flexible on a configuration standpoint where you can have those 16 fields or you can have three fields in your time sheet and you can have each user in the company see a different time sheet screen.

00:26:16

Matt Thurber: Um but it's not like the most dynamic flexible it could possibly be. It's like a you know probably an eight out of 10 if we had to be kind of critical of ourselves. Like you can't so we can't solve every single need that every customer has, but we can do 80% of them.

453 - Forest Park (USA - OR - Lake Oswego, 4): Y any other questions? Cool. Well, we'll be seeing more of you, Matt. So, you know, you know, you're not off the hook, but this was a good start.

Matt Thurber: Yeah, we'll um I'll do some brainstorming with some of the other guys around the office too on that list of like what what are these stumbling points we came into because I think like all of these things like

453 - Forest Park (USA - OR - Lake Oswego, 4): So, yeah.

Matt Thurber: PDM and union codes and wage codes and rate levels like these are all concepts for payroll that are going to be really important for this process.

00:26:59

453 - Forest Park (USA - OR - Lake Oswego, 4): And you know, for for me, and I appreciate Neil leaning into questions that are similar to ones that I would ask, you know, I'm always looking for what's different across customers at the same time and what changes for a customer over time because, you know, even if you only get 80% of that right, you don't have to be perfect, but it's still it can help, right? So, like if I had interviewed you, you know, seven years ago and we had identified something along the lines of, you know, wow, there's a lot of different ways to do premium across customers at the same time. Ah, I would have said that sounds like something volatile. Maybe we should discuss how to not necessarily build every version of it, but at least design the system so that when we have to add the other versions, we're not affecting massive parts of the system and breaking things

Matt Thurber: Yep.

453 - Forest Park (USA - OR - Lake Oswego, 4): along the way or or whatever. And so that's where having already built Trackx Spar, having already built Spectrum, having already built Vista, it's actually a lot easier to go back and say what changed for customers over time and what's different across customers at the same time and build a better system based on that knowledge.

Matt Thurber: Yep. Yeah.

453 - Forest Park (USA - OR - Lake Oswego, 4): Okay. Well, great. Thank you so much, Matt. And um yeah, I I like I said, I canceled our meeting for later today because I think this was enough for today. Um and I'll see you all at our next interview.

8/11

Trimble Financials Payroll - Stakeholder Interview

Invited Shakyma Edwards Natallia Prokin Neil Cadsawan Jeff Doolittle

Attachments

Meeting records

Summary

Natallia Prokin shared their extensive experience in construction payroll and provided insights into the target market and regulatory expectations for Trimble Financials payroll, recommending a focus on the mid-market due to complexities and user sophistication. Natallia Prokin emphasized the importance of automation for larger companies subject to SOX compliance and discussed challenges with small business payroll, suggesting simplified, intuitive software solutions for owner-operators. Natallia Prokin advised focusing on the US market, particularly California for regulatory testing, and recommended reusing existing technology like Vista's tax routines for the new payroll system, while also considering Track-It for mobile time capture.

Details

- **Natallia Prokin's Industry Experience** Natallia Prokin shared their extensive background in construction payroll, starting in accounts payable in 2002 before transitioning to payroll for various construction companies (00:00:00). They have experience with systems ranging from QuickBooks to enterprise solutions like JD Edwards and Maxwell. Natallia Prokin also worked for a company that implemented Viewpoint, and later joined Trimble in a product leadership role, bringing significant insight into Trimble Financials payroll (00:01:19).
- **Target Market for Trimble Financials Payroll** Natallia Prokin recommended targeting the mid-market first for Trimble Financials payroll, as smaller companies often lack skilled personnel and typically rely on outside CPAs who may not utilize ERP systems (00:04:12). They explained that mid-market companies offer enough complexity and user sophistication to produce a meaningful product and grow into larger markets (00:05:24).
- **Regulatory Compliance and Automation Expectations** Natallia Prokin highlighted that larger companies, especially those subject to SOX compliance, expect a high level of automation from their systems and would not accept a system that primarily relies on outsourcing (00:06:19). They referenced a past user group meeting where customers questioned the value of Vista if regulatory reporting was outsourced, indicating a strong preference for integrated, in-house capabilities. Natallia Prokin emphasized that efficient software must support company growth through automation, rather than requiring additional hires (00:07:43).
- **Challenges with Small Business Payroll** Natallia Prokin explained that owner-operators and very small businesses typically do not process payroll themselves, instead relying on CPAs who use their own software and are not interested in detailed job costing (00:09:50). They noted that these small businesses often find complex software frustrating and may only require a simple system for basic data entry, as they prioritize cash flow over in-depth financial analysis (00:17:09) (00:19:44). Natallia Prokin suggested that companies generally start engaging in detailed job costing once they have around 20-25 employees, as payroll personnel become too expensive to keep in-house for smaller operations (00:13:06).
- **User Experience and Simplification for Smaller Companies** Natallia Prokin stressed the importance of oversimplifying software for smaller companies to make it intuitive and require no training, akin to a "toy for a kid" (00:22:11) (00:24:35). They suggested that a mobile, device-driven solution for time capture, especially for younger generations, could be a strong selling point for communication between supervisors and owners (00:23:21). Natallia Prokin reiterated that even as a business scales, field users

may not be technically sophisticated, making simplicity a key factor for adoption across all company sizes (00:24:35).

- **Geographic Focus and Regulatory Reporting** Natallia Prokin advised concentrating efforts on the US market initially due to existing expertise (00:25:44). They suggested starting with California, known for its complex regulations, as a testing ground for comprehensive compliance features, but emphasized the need for a system capable of handling multi-state requirements given the rise of remote work (00:28:04). Natallia Prokin also proposed leveraging AI to extract regulatory data from public websites to automate compliance within the new ERP system (00:29:14).
- **Union and Certified Payroll Considerations** Natallia Prokin noted that union and certified payroll requirements typically become more prevalent for companies with 50 or more employees, though smaller contractors may encounter them depending on the state or specific job requirements (00:30:17). They recounted an instance where a project unexpectedly became certified mid-job, leading to significant complications and manual reporting (00:31:23). While not always necessary for smaller businesses, Natallia Prokin acknowledged that certified reports can be completed manually using tools like Excel, but a product aiming to serve companies growing past 50 employees would need integrated certified reporting (00:32:36).
- **Reusing Existing Technology and Payroll Calculations** Natallia Prokin supported borrowing and integrating existing solutions to expedite development of the new payroll system, suggesting that Vista's robust tax calculation routines could be repurposed (00:37:17). They also recommended exploring the use of Track-It for mobile field time capture, considering it superior to current Vista web tools and potentially able to consolidate development efforts (00:36:22). Natallia Prokin confirmed that Vista's battery of test cases for payroll compliance and calculations could be adapted to validate a new system if its setup is similarly structured (00:35:33).

Suggested next steps

No suggested next steps were found for this meeting.

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Transcript

Trimble Financials Payroll - Stakeholder Interview - Transcript

00:00:00

Jeff Doolittle: Okay. I don't know what interview number this is, but it's the uh I don't know, maybe we're about a third of the way through the total of what we're going to do. So, today, Natalia, we want to pick your brain specifically around your experience with construction payroll, both inside Trimble and outside Trimble. And I guess let's start with telling us a little bit about your experience in the industry and how that relates to payroll, what you've seen and what you've experienced in your career.

Natallia Prokin: actually when I started to work in construction that was back in I don't know early maybe 2002 it was um my first job was accounts payable and then I moved to payroll um and then I worked for different construction companies. Um some of them actually became viewpoint um you know uh users after I left them. Um and then uh so I I worked for different type of construction contractors in payroll um using different systems. I used um uh something as small as QuickBooks as well as um enterprise solutions like JD Edwards.

00:01:19

Jeff Doolittle: Yeah.

Natallia Prokin: Um I used Maxwell in the past. Um, and then I worked so, um, back in 2006, um, I started to work for a construction company that was in the process of changing their, um, um, ERP. Um, and then we went through an exercise of selecting new software and that happened to be Viewpoint. And then we went through the implementation process and then shortly after that we got purchased by a really large French corporation. Um when um in the United States uh a lot of construction companies were suffering here that you know French people had a lot of cash. So they were they went and they bought whole bunch of construction companies. And then we re uh we we did another uh valuation of um all these different pieces of software that these companies were using. And then the folks in France decided that they really like uh Viewpoint and we started adapting Viewpoint for all these smaller companies that they kept purchasing in US and Canada. Um, so and then I did um a whole bunch of implementation um for for these little companies and then I figured out that this seems like fun and I went and I started working for professional services team back in 2011 um implementing um software for viewpoint customers in professional services.

00:02:58

Natallia Prokin: And then um I left and I worked for a an electrical and industrial contractor uh for almost 10 years and then came back two and a half years ago to work for Trimble on the product side.

Jeff Doolittle: Okay, you've seen a lot.

Natallia Prokin: Yeah.

Jeff Doolittle: So, let's start your perspective on Trimble Financials payroll. And if I pull up our document that we're using to kind of guide these interviews, since you are one of our product leaders here, I'm curious to hear your thoughts on we already have existing payroll systems, of course, we've got Vista, we've got Spectrum, we have a couple others, and we're tasked, of course, with building something that we can uh integrate with the new Trimble Financials accounting system. And so as far as target market goes, you've seen a lot of different sized companies. It sounds like what are your thoughts on how you might do a you know initial I don't you know you don't have to get too detailed but you know like an initial road mapping how would you make the decisions about who you would target first and then how you might grow from there Yeah.

00:04:12

Natallia Prokin: I would probably target uh midm market first. I wouldn't even start with I mean unless we're trying to target for some reason smaller companies because smaller companies are a pain to work with. They don't have skilled personnel. Most of the time their accounting is going to be done by an outside company like a CPA. And these CPAs they they're not going to get into um these ERPs um of the world. I mean for these little guys, right? they want information from them in the format that they like. Um, by the way, I used to work for a CPA for firm uh as well. So, normally, you know, that was long time ago, but still the the concept I'm pretty sure is still the same. They have them submit data to them in a in a specific form and then they process that data to do their compliance reporting and whatnot. So, um, you

know, when we sell, when you think about it, we when we sell user licenses, I mean, you're going to sell a couple of licenses and all these people are going to do school support.

00:05:24

Natallia Prokin: Um, I know a couple of folks, it's funny. So, it's a friend of mine that bought a construction business from another guy and he told him that he has to go buy this software that he was using for invoicing. And I asked him, "So, how is it going?" and he goes, "Well, this is uh you know, BS. It's not going at all." So, um he can't figure out how to use it. Uh it's too complex for him. He doesn't have time for this paperwork.

Jeff Doolittle: Okay.

Natallia Prokin: He doesn't have time to do it properly. Has a bookkeeper that helps him that is not in the mood of learning anything new either. But this is the type of user that you're dealing with. Now if if you target mid-market to begin with, you have enough variety and complexity there to actually produce something meaningful and you have better level users like accounting type of uh people.

Jeff Doolittle: actual accounting staff, right?

Natallia Prokin: Right. Right. Right.

Jeff Doolittle: Yeah.

00:06:19

Natallia Prokin: Right. Maybe not a huge accounting staff but people that understand the de the the difference between a debit and a credit. So um um and then you you they will work with you right to to find areas that need improvement and everything and from that point it's realistic to say that you can grow into something larger.

Jeff Doolittle: Sure.

Natallia Prokin: If we talk about current customers specifically on Vista side, I know Spectrum has uh maybe slightly less complex and slightly smaller customers, but there's still you know in at Spectrum level you're also working for with some pretty goodsized companies and then these companies come with specific set of requirements like sock compliance with publicly traded and then they're going to expect a certain amount of automation um you know from the system and you know we're not going to be able to sell them u a shell that connects to a whole bunch of outsource out outsourcing um uh companies to do different processes they're not not just going to buy this um so you know I remember back in the day when Vista decided to pull regulatory requirement and I was in a whole bunch of um you know customer type meetings uh when they made an announcement.

00:07:43

Natallia Prokin: They were like, "Well, if you're pulling regulatory from accounting, what are we paying for? What is a county?" That was the question that and then the entire room support.

Jeff Doolittle: When you say pulling real quick, when you say pulling regular, you mean you were going to outsource that to someone else, right?

Natallia Prokin: Yes. Yes. Yes. We outsourced that to Atrix. Remember back in the day, Vista used to do everything um in house and then they decided it's too much burden to keep up with all the changes. They

said, "Okay, we're going to outsource this toxic." So the question was from the from the user group community what are we paying for if your accounting system it's just a fancier version of QuickBooks with u a layer of job cost in it that this is not enough for a more sophisticated company and a more sophisticated company would expect a certain level of automation um in the process as well because otherwise as you grow you either automate some processes or you have to hire additional people and I and they for the software to be efficient we have to be able to support the growth of any company.

00:08:39

Jeff Doolittle: Right. Yep.

Natallia Prokin: So I think starting with like mid-market where users are not as demanding um and then they have you're dealing with actual accountants and you don't have to explain um simple accounting terms to the end user for support because that's a nightmare. Um that's that's a good starting point and I mean um and then you have to build it uh maybe not with all the functionality in place. Remember if we look at spectrum of Vista those are the softwares that have been developed for 40 plus years. So we're not going to build this overnight. So we got to come up with core um core uh functionality for for the for that mid market right and then um look at other functionality that already exists in say vist vista and spectrum and then based put it on the road map somehow and yes certain things may be outsourced but we can't just pl you know we can't outsource everything otherwise what are we selling Okay.

Jeff Doolittle: Right. Right. Yeah, it's a good call.

00:09:50

Jeff Doolittle: Question on So, right now my understanding is that Trimble Financials accounting is focused on SMB, so lower lower market. Um, and I think if we were, you know, and I I appreciate your perspective and I want to figure out how to incorporate that into the broader broader strategy here. How I'm trying to figure out how would you how would you reconcile your perspective that there's challenges with with building, you know, a lower market payroll system with the fact that that's I'm guessing that's likely what they're going to ask for is something that kind of matches what Trimble Financials Accounting is already trying to reach. So, I guess my question is, how would you try to convince, you know, your boss or your boss's boss who maybe think it's already a foregone conclusion that we're going for, you know, owner operator and small business.

Natallia Prokin: Well, um, if we do owner operator, right? Um, here here's the thing. These people don't process payroll. They do. I mean, they don't necessarily have to cut themselves a paycheck. That's not a requirement.

00:10:55

Jeff Doolittle: Right. Right.

Natallia Prokin: So, what they do is regulatory reporting, but without payroll data, without payroll ledgers, you can't produce a regulatory report. So, it's like a chicken in an egg here.

Jeff Doolittle: H. Yeah.

Natallia Prokin: So, where do you start? Now, um, now if you look at still like a very small business, but maybe a business that has a couple of employees, right? So, that that owner operator probably has a

part-time bookkeeper. Um, and that bookkeeper, if that's like a C uh CPA firm, they're going to use their own software. They're not going to use yours because they don't care about your job costing. at best, you know, now um QuickBooks, uh offer like QuickBooks online where they go in and it's like a collaboration tool. They go in and they answer some stuff and then the accountant comes in and reviews that.

Jeff Doolittle: Yeah.

Natallia Prokin: But uh and you can you can do basic payroll there. There's no job cost in there. But I doubt that I highly doubt actually that you know that owner operator is actually going to do detailed job costing or would be that interested in it.

00:12:06

Jeff Doolittle: right? How big do you think they get before they would really start doing that kind of detailed job costing?

Natallia Prokin: I have one uh so um I would think once they have a couple of people under them.

Neil Cadsawan: That was going to be my question.

Jeff Doolittle: I was about to hand it over to you. Great minds.

Natallia Prokin: So, um, take my husband for example. He runs his own business like an owner operator. He uses subs. He doesn't have employees. Um, and he keeps all of it in his head. I think once he grows past the point um, where he has to hire like a supervisor, then it's not all in his head. Now, you got to have a communication tool between him supervising some jobs and a supervisor supervising other jobs. And now I mean obviously if you're at that level then you have um probably at least you know 10 folks working for you and then but but uh when you think about it I know a guy um like

00:13:06

Jeff Doolittle: Right.

Natallia Prokin: this as well that kind of grew to that level and then he decided so having his own bookkeeper if that bookkeeper is any good is too expensive too much burden Then you go to a CPA firm and then we go back to like you submit us the detail, we'll we'll file your regulatory reports, right? Um and then these people that have about 10 employees normally I mean you know how much uh compliance in payroll. So payroll people in accounting are the most expensive accounting processors. You don't pay anybody more than a payroll person in your company. you know, at the county level, maybe like a controller, but we're talking a whole another level if we get there.

Jeff Doolittle: Right. Yeah. Yeah.

Natallia Prokin: So, uh, so then these payroll people are too expensive and it's easier for them to to to buy a service like paychecks or something and then they don't have job costing. They're not going to get into that level either. So, we're talking probably good 20 25 employees before it makes sense for them to have um a a more skilled bookkeeper in house that would still, you know, that would do process some basic payroll.

00:14:34

Natallia Prokin: Um but again, and and then the regulator regulatory reporting would be done probably at the level of uh a CPA firm.

Jeff Doolittle: Okay. Where would you say the cut off would be between the small business in terms of number of employees and the and the lower end of the medium sized business?

Natallia Prokin: You mean number of employees or do you mean uh revenue or gross receipts?

Jeff Doolittle: I'm I'm starting a number of employees then we can look at you know gross receipts but both All right.

Natallia Prokin: Okay. Well, um, you know, on on the employee spectrum, I would say I would look at anybody that has less than 10 employees, almost like a mom and pop shop. And um, anybody over 10 employees, I would look like a small business. But again, uh even in an once they get I would say you federal definition of a small employer um where you you get all these tax credits and everything is 50 folks and I tend to agree.

Jeff Doolittle: Yeah. Okay.

Natallia Prokin: So once you get at 50 folks or so um then you're looking at probably a couple people not just one bookkeeper and then you're looking at some more detailed records because there is need for them.

00:15:53

Natallia Prokin: Otherwise, you know, can you hire a talented bookkeeper to do, you know, all your job costing when you're a one-man shop with a couple of subs? You certainly can, but all of your profits are going to go there.

Jeff Doolittle: Yeah. Right. Right. Okay. Makes sense. And then it's I guess we don't need the revenue question. I was I was looking more for the for the users question.

Natallia Prokin: Yeah.

Jeff Doolittle: Um, Neil, did you have another question or did I already ask the one you were thinking of?

Neil Cadsawan: Yeah, you kind of asked the same questions the follow up on that one.

Jeff Doolittle: Okay, great.

Neil Cadsawan: Um, so there was another question, Talia. So you're saying it is a big uh you say it's just not really worth it for that mom and pop shop that they're going to do it. My question is what do you you know other than giving like you know a shoe box of receipts and other stuff to a CPA is there a better format of reporting that we could offer that mom and pop shop to to hand off to that CPA or to that book cooper that could make you know make it a lot easier a lot less time spent so that you I'm just like trying to find like what do

00:17:09

Neil Cadsawan: you think could be

Natallia Prokin: probably probably so think about QuickBooks online. What they have is they don't have job costs in there. It's all um ge accounting, but they would go I mean users go in there, they can record their receipts. Instead of piling them in a shoe box, they're putting them in the system and they're allocating those receipts by GL account right away. And then an accountant when it's time to do reporting of any sort, right, accountant goes in, does the review or if they need to produce a P&L, accountant will will do the review. They don't have to look at the receipts. Everything is summarized there. So, they're basically looking for some potentially um potential problems in that data, right? And then with some good reporting tools, it's a lot easier than trying to sort through a box of receipts. Um now um if we were to offer something like this but you know add a layer of job costing to it that would be beneficial but again I mean

I'm still very skeptical into how many people I can we will be able to sell it to and remember like you sell you know to one company on a midsize business you're probably getting 10 12 20 license oh now we're doing n We're probably getting, you know, at

00:18:30

Natallia Prokin: least 20 licenses with all the accountants and everybody that has to log in. Now, if you sell the software to my husband, you're going to get one license and he's going to um dump it in a in a month because he will be frustrated out of his mind. You know, a friend of his that it's a little more skilled, that's the one that tried to buy the software to produce invoices. So he's he bought a business and these customers were accustomed to a certain type of invoice and he was suggest suggested to buy the same software and keep producing the same invoices. So he does and he's a small GC. So um again he has a couple of employees uh mostly subs and then he tried and I was like so how is it going and he goes don't ask me that question again. So he gave up and he's a lot more skilled than uh my husband. Now then if we go a step up from there, I just thought of this guy. So he is um he got his business to where he was supervising some job sites and then he hired a supervisor to supervise other job sites and all in all he probably had 20 folks working for him between these different job sites.

00:19:44

Natallia Prokin: I know for a fact he only does stuff that he has to do and then the accountant does it for him. And I mean at certain level these people are just are they doing indepth analysis of of why this job had 20% profit and this one has 22% profit? Highly doubt it. If they feel that their bottom line at the end of the year looks decent and then the cash is flowing, they're happy. So it's not like because when you think about a larger customer that has larger projects where there's more risk involved, they have to stay on top of these numbers um because you have more people running jobs and you have less control over um over all these jobs. When you look at very small owner operators when like take my husband for example, he controls every single one of his job sites. he knows them in and out.

Jeff Doolittle: Yeah.

Natallia Prokin: So, uh, you know, he's gonna spend um, you know, a lot of time trying to look at these reports that don't make a lot of sense to him and then the computer eventually will fly.

00:20:56

Natallia Prokin: So, because it's so frustrating to him.

Jeff Doolittle: Yeah.

Natallia Prokin: I remember you know uh when we um every so often when we have to work with project management users right uh within Vista and then we're telling them you know you're you got to do projections because projections are good for the company. It's a healthy way to figure out where the company stands, how to recognize revenue and um try to spot risks and problems on your projects before it's too late.

Jeff Doolittle: Mhm.

Natallia Prokin: So you know the answer you're going to get the answer is my job is to run the job not to do your paperwork. This is the answer to accounting it's your paperwork and this is taking time from

running my job.

Jeff Doolittle: Yeah.

Natallia Prokin: So when you go back to the um owner operator level user uh that's their mentality. Okay.

Jeff Doolittle: Right. So, there's going to be some inflection point where owner operator you're strongly contending is just way too small. maybe larger small business or you would you say absolutely not 50 plus or we shouldn't even bother with like say 10 to 50 or do or is there some value proposition you could perceive for maybe that 10 to 50 What if I mean and this is

00:22:11

Natallia Prokin: There's probably some value proposition there you can start. Um but it'd be hard market to target. I don't I don't believe that there will be a lot of these people in this group that would be uh interested in going and buying this more sophisticated software.

Jeff Doolittle: I guess the general challenge we have to solve for is if the goal is to make it simpler are there things you could perceive that we might do that could simplify it for the 10 to 50 size company.

Natallia Prokin: Yes. whatever we do and even at 50 plus company all these smaller companies um I really liked um well u the point that somebody else made in one of these interviews that we've had so far you got to oversimplify it you got you got to dummy prove it to where it's like you hand them that's the only way you're going to sell it to them saying it requires no training it's intuitive you're going to pick up a

Jeff Doolittle: Yeah.

Natallia Prokin: device it works from everywhere and then it's going to be like a toy for a kid where they wouldn't want to do this any other way.

00:23:21

Natallia Prokin: The only the only thing to keep in mind, so like uh these folks that are running these businesses the oldfashioned way, they are probably not going to jump on these fleshy new uh toy. However, you know, younger generation, they don't like the, you know, um, in even in a small company, whenever you get this level where you have a supervisor running jobs, not the owner running jobs, there's got to be communication

Jeff Doolittle: Yeah.

Natallia Prokin: from the supervisor to the owner.

Jeff Doolittle: Thank you.

Natallia Prokin: There's no other way. And then if you can make this communication in the form of job cost like time capture very simple mobile device driven um and very user intuitive that may sell it because you know this younger generations like take my son for example he doesn't I don't know that he he writes anything on a piece of paper anymore even at school they they do everything nowadays on a device so that's that's their life they're accustomed to this.

Jeff Doolittle: Yeah, right.

Natallia Prokin: So they like they would prefer that data transfer happening from them to somebody else whether it's an accountant.

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Natallia Prokin: Um you know my example with even small business and then an accountant that does the P&L and monthly statements and then your regulatory reporting and whatnot. Um or from the supervisor to to the owner. um they they would want it to be smooth, seamless, and on a device of some sort. If you make it look like a toy, where it's stupid proof, where everything like it validates everything, right? And it notifies them right away if there's a problem with whatever they're answering, then they may like it.

Jeff Doolittle: Okay.

Natallia Prokin: And that's gonna and but remember so now um even when you grow like when you scale the software to a larger business the users out in the field are not getting smarter. They probably get more training right like safety training and whatever. They're more skilled in what they do, but that they're not necessarily more skilled. And there's more of them in a larger company, but they're not necessarily more skilled in terms of the data transfer and in Yes.

Jeff Doolittle: Yeah. Or like tech.

00:25:44

Jeff Doolittle: They're not technically sophisticated.

Natallia Prokin: No. No. They they they like probably younger folks are still going to like devices.

Jeff Doolittle: Yeah.

Natallia Prokin: Older folks are going to like paper more um because they don't want to sit down and figure out how this device thing work. And then in a smaller company, you're not going to have resources where they're going to sit down and teach you. So I think um making it as simple as possible is key.

Jeff Doolittle: Okay. Any other questions? any other shikima.

Neil Cadsawan: Oh, this is this is great.

Shakyma Edwards: Nothing for me.

Jeff Doolittle: The nice thing is Natalia is easy for us to get to if we have more questions.

Natallia Prokin: Yeah.

Jeff Doolittle: So yeah,

Natallia Prokin: Yeah. And as far as um your list here, so countries, I think we should concentrate on one country and probably US since we're here and have the most expertise. Uh on a side note, if we're trying to scale and go really large, I remember that when Menard um but um you know start buying these little US companies, they really liked Viewpoint and they were like well it's sad that it doesn't do other languages because you know uh and then it was and it was very sad that it couldn't had no ability to do regulatory reporting but they love the fact how we could customize Vista

00:27:09

Natallia Prokin: you know to accommodate additional stuff and they I mean they were like this would be a good sol I mean if we were able to translate it and then do regulatory reporting in any other country you can sell

Jeff Doolittle: right?

Natallia Prokin: it in any other country but then you have to figure out the market there and and see how much you can I mean because when you go into another country you got to have a team dedicated to that

Jeff Doolittle: Right.

Natallia Prokin: country just in regulatory stuff in that.

Jeff Doolittle: 100%. Makes sense. Where where would you start? So multi- language support or at least the ability to add other languages should be should be part of the initial design. Makes a lot of sense.

Natallia Prokin: I think so. I think so.

Jeff Doolittle: regulatory reporting makes a lot of sense. Uh so assuming we designed the system to grow into that where would you start like what jur would you start like California Oregon because that's close or and you get enough complexity with California to maybe the country of

00:28:04

Natallia Prokin: Well, you know what what they call it in constructions country of California. So, you can start just in California, you'll be entertained for a while.

Jeff Doolittle: California. That's that's fine.

Natallia Prokin: Yes.

Jeff Doolittle: You'll be entertained.

Natallia Prokin: So well I would start I mean if you want to try to make it regional but it it's really hard in US because nowadays especially with remote work that opened it up a lot you know like I'm um

Jeff Doolittle: Yeah.

Natallia Prokin: for example I used to work for a company that's based out of Louisiana I never went in Louisiana enough to have nexus so but I w so they had to register in Colorado to pay So and and this

Jeff Doolittle: Uh right.

Natallia Prokin: was before co right so uh now this is with remote work this is even more um relevant so I think it'd be really hard to sell anybody to anything when you concentrate in one state and I I also

Jeff Doolittle: Yeah. Yeah.

Natallia Prokin: think a lot of these state requirements we have some and was looking at this for me but you know she's no longer with us all these requirements a public knowledge on public websites.

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Jeff Doolittle: Sure.

Natallia Prokin: We I truly believe that we can use AI to leverage that data and then do something meaningful in this new ERP in terms of compliance and then it doesn't if you are feeding data these requirements uh from different states they're different by state but there's a lot of similarities across state.

Jeff Doolittle: Makes sense.

Natallia Prokin: So if you can I mean like uh overtime over eight is California but it's not just California other states do that too. If you can do it in one state you will be able to do it in all states that you just have to know in which state to apply but if you teach the system to pull this information from

Jeff Doolittle: Yeah.

Natallia Prokin: publicly uh public sources you know uh then and then have user validate it. It should be it's a lot of variables and a lot of moving parts, but it should be doable.

Jeff Doolittle: Yeah, makes sense. When we get to that 10 to 50 sized company, how many of them are we going to start running into union and certified?

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Jeff Doolittle: Is that the level of where that really starts to kick in or is that more of 50 and up?

Natallia Prokin: Uh um after 50 and up I would say um union remember that union uh with union stuff you can you can get into union before 50 and it all depends on the state.

Jeff Doolittle: Okay.

Natallia Prokin: Colorado is not a heavy union state.

Jeff Doolittle: Yeah. Right.

Natallia Prokin: So there's a couple of unions here and there, but there's other states like California where unions are everywhere.

Jeff Doolittle: Yeah.

Natallia Prokin: And um then then even these smaller um contractors in in order to be able to um to to get certain jobs have to get involved with the union certified is also tricky.

Jeff Doolittle: Yeah.

Natallia Prokin: Technically speaking, certified, you know, a larger projects and you would probably have to be a larger contractor, but I also know you can be a sub, right? And then um you can sign a uh an agreement with a contractor and um that agreement would have nothing to do with certified and then your contractor gets in uh and I've and I've seen that and lifts through this with ISC.

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Natallia Prokin: Our contractor um did something and got some federal funding on the project and then all of a sudden that job became certified in the middle of it.

Jeff Doolittle: Yeah.

Natallia Prokin: We got paid zero for a year and then we had to go through the trouble of figuring out all the certified stuff and then uh go back and um issue um catch up payments to employees to catch up with wage decisions. And until then they legally have no obligation to pay us. And that happened when we signed that contract. It was pretty sizable. We had no I mean there was no certified requirements and then in the middle of the job contractor did something to make this job certified and then and then we are with them. So we became uh subject to certified reporting as well.

Jeff Doolittle: Yeah, good to know.

Natallia Prokin: So that is possible but probably not likely and again it's painful.

Jeff Doolittle: But when it happens, it's painful.

Natallia Prokin: It is painful. Yes. Yes.

Jeff Doolittle: Okay.

Natallia Prokin: And a lot of times these I mean one thing to keep in mind with these midsize businesses um they are not used to sophisticated systems.

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Natallia Prokin: So they're doing they're re-entering data multiple times and then even if they get into a situation like this you can create certified reports in Excel. I've done this as a user. Um and then you complete them by hand based on your payroll ledgers.

Jeff Doolittle: H. Yeah.

Natallia Prokin: that is also an option. So, but but something like this when whenever you tell to a customer that's really small and haven't seen any better, they'll take it. But you tell this to like M4s and

I see of the words, they're going to tell you that you're out of your mind.

Jeff Doolittle: Yeah, they'll laugh you out of the room.

Natallia Prokin: Yeah.

Jeff Doolittle: Makes sense. Okay. So, in other words, in the 10 to 50 range, it's we might run into it. It sounds like for not likely, but if someone had to do certified for some reason, then they could figure it out even if the software didn't provide it.

Natallia Prokin: But not likely.

Jeff Doolittle: It would suck, but they could figure it out.

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Jeff Doolittle: In other words, we could have a product that didn't provide that, but maybe it provides job costing, you know, as they're starting to grow up into that uh additional complex or complication of job costing and then potentially if we want to grow past that 50, then we'd have to have the certified as part of the product. Otherwise, they would say get out of here.

Natallia Prokin: Yes. Yes.

Jeff Doolittle: Yeah.

Natallia Prokin: Yes. Yes. Yeah.

Jeff Doolittle: Okay.

Natallia Prokin: Absolutely. And to begin with um and Vista has this integration now.

Jeff Doolittle: And that's Yeah.

Natallia Prokin: There's two um two companies um LCP tracker and EMARS that uh Vista integrates with and they all all they do they feed you payroll detail into into their system and that system creates um WH347 which is the the

Jeff Doolittle: Yeah. Okay.

Natallia Prokin: the prevailing wage report.

Jeff Doolittle: Right.

Natallia Prokin: Um you can do that by hand or you can use EMAR. So something like this until you grow large enough can also be an option.

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Jeff Doolittle: Okay. That's good to know.

Natallia Prokin: I think for a smaller business if you had to concentrate you concentrate on um time capture and then you make it easy to use and dummy proof and then um well I mean you got to you got to
Jeff Doolittle: Yeah.

Natallia Prokin: calculate you got to calculate paychecks right? So, and then we can outsource regulatory reporting, but as you grow, the expectation would be that the accounting system does it.

Jeff Doolittle: Yeah. even the tax or is that some because I know there are providers that provide the tax calc if you want to outsource it but well yeah it's a good question but some you know part of our due diligence

Natallia Prokin: You can um I mean, but again, who's going to pay for this?

Jeff Doolittle: it's something I want to explore switching gears real quick I know we're over time but I appreciate the extra time so my understanding right now is that for Vista the the there's a huge battery of tests that they use that they run against Vista to ensure that it's that the payroll comp the compliance and

the calculations are all working correctly.

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Natallia Prokin: Mhm.

Jeff Doolittle: Is that is that correct Natalya? Like are you familiar with that process?

Natallia Prokin: Well, yes. So, every time a uh a text routine gets updated, um we rewrite the text routine.

Jeff Doolittle: Yeah.

Natallia Prokin: The dev devs do some testing and then they have a spreadsheet with text uh test cases that they have to go through and then overall this process is stable.

Jeff Doolittle: Yes.

Natallia Prokin: They're trying to change this and some people that have been with the company um for a long time are really leery about making changes cuz you know if we break it that's bad right?

Jeff Doolittle: Yeah, that's bad. Well, break which part? I guess my my question is this.

Natallia Prokin: Accuracy of calculations.

Jeff Doolittle: All those test cases. Okay. If but if the test cases cover the calculations, I guess my question is this. Could that same set of test cases be used to validate a new payroll system and ensure that it's also calculating correctly?

Natallia Prokin: Sure. Um I would say so.

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Natallia Prokin: But um keep in mind that we would have to structure the setup of this new payroll system very similar to Vista because you know these test cases reference certain setup items.

Jeff Doolittle: Yeah.

Natallia Prokin: But again um um I used to say you know when I implemented the software yes it's a new look it's a new phase but at the end of the day it's still debits and credits of accounting so uh

Jeff Doolittle: Yep.

Natallia Prokin: it say it's uh gross to net calculations so they are technically the same there there's some different verbiage around it but we're doing the same thing.

Jeff Doolittle: Absolutely. How familiar are you with Track Spa? I know we have Matt who's not here today, but Okay.

Natallia Prokin: I I looked at it. I looked at it and I really liked u I was actually going to go to Vivic and and say, you know, because I think transparris for, you know, it's mobile um field time capture for spectrum and I think

Jeff Doolittle: Yeah.

Natallia Prokin: it's much better done than Vista web tools for Vista.

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Jeff Doolittle: Okay.

Natallia Prokin: And I think instead of wasting time um you know on both products, we should take one one perfect one and use it.

Jeff Doolittle: Yeah, that's actually where I was going to go next is I was I was curious if there had been

any discussions about using track spa for Vista time collection or Okay.

Natallia Prokin: have not have not but I but I I had some demos of it just for my sake and I really liked it.

Jeff Doolittle: Okay.

Natallia Prokin: I think it's much better than what we have.

Jeff Doolittle: Yeah. Because you know what I'm looking for is look, they want to have a payroll system by the end of 2026. Well, the more we can borrow or buy or integrate the the more and and maybe we don't do that forever. Like to your point, there's some things that, you know, if we outsource them, somebody's going to have a question, but we could always bring it in house later, but the first thing is we have to ship something that demonstrates progress. And so if there's things we can use that are already in place and whether it's we rebrand them or we extend them or whatever, I think it's worth exploring our options instead of assuming that we're just going to build everything from scratch.

00:38:19

Natallia Prokin: Oh, I agree. And I also think um we were actually talking about this in apps startup because I've been watching um business tax calculations on payroll for years and for a period of time.

Jeff Doolittle: All

Natallia Prokin: Um at some point it was my primary job responsibility, right? Manage payroll for a construction company. So um I would actually recall every every time they did an update I would recall everything myself and it was very rare occasion um when this when there was a problem with the tax calculation that we had to

Jeff Doolittle: right.

Natallia Prokin: report as an issue and yes these tax routines are complicated and we're probably going to use different language um to you know create Prisma or whatever you call it now um but all these calculations method automatically they're already there. So if we can translate we can borrow I I don't I don't know how spectrum does it. We can look there too but Vista has a solid set of calculations. If we can repurpose them we won't be able just to reuse them because the database is different but if we can repurpose them there's a lot of value there.

Jeff Doolittle: Yeah, there's some abstractions around the earn and deduction tax calculations. there's only like, you know, half a dozen actual algorithms. It's just how you put them together in the right order to get the right the right thing. But um but yeah. Yeah. Okay. Well, that's good for me for now. Any other questions, Shaima or Neil, at this point for Natalia? Okay. Well, you know, we'll we'll all be seeing each other again. I'm going to check and see if John's available or not, and if he's not, we'll reschedu

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Trimble Financials Payroll - Stakeholder Interview

Invited John Poole Shakyma Edwards Natallia Prokin Matt Thurber Neil Cadsawan Jeff Doolittle

Attachments

Meeting records

Summary

John Poole explained Vista's payroll process, from time card entry to payroll processing and reporting challenges such as system failures and Crystal Reports limitations. John Poole also discussed the technical difficulties of rendering checks and the temporary shelving of a project to offload paycheck processing. Finally, John Poole detailed the process of payroll testing and tax updates, with Natallia Prokin agreeing that an API for tax calculations would be beneficial, and Jeff Doolittle inquired about time card entry methods.

Details

- **Vista Payroll Overview** John Poole provided an overview of how Vista handles payroll, explaining that time cards are entered, batched into a detail table, and then processed to generate payroll. They also mentioned that reports are run for pay stubs and financial summaries (00:00:56). Jeff Doolittle inquired about the various methods for time card entry into Vista, noting that manual entry is an option (00:01:59).
- **Time Card Entry and Batching** John Poole explained that besides manual entry, companies can import time cards from external timekeeping systems, either by generating an export file for Vista's import process or by direct interface if they have enough knowledge of Vista's tables (00:01:59). They clarified that batching involves moving data from an entry table to associated detail tables, preparing it for payroll processing (00:04:04). John Poole suggested that if they could redefine the process, they would remove the need for batching, as it could be a seamless entry and processing experience (00:05:12). Natallia Prokin added that batches ensure correct payroll calculations and allow for workflow approvals without directly affecting detail tables (00:06:12).
- **Payroll Processing Pain Points and Reporting Challenges** John Poole indicated that a significant pain point in payroll processing is when the system fails, requiring customers to identify and correct the issue. They noted that Natallia Prokin's Smart Payroll aimed to proactively identify potential problems (00:07:21). Regarding reporting, John Poole confirmed that Crystal Reports are used for generating pay stubs and other documents, including check printing. They highlighted challenges with printing checks, such as the need for specific MICR font setup for bank recognition and the requirement for embedded fonts in PDFs for proper export (00:08:22). John Poole suggested moving away from Crystal Reports to newer technologies like paginated reports for better flexibility and pixel-perfect results (00:10:45).
- **Technical Challenges and Future Improvements** John Poole discussed the technical challenges of rendering checks as images, which has led to issues (00:10:45). They also suggested that the reporting solution should not be part of the main application or hit the transactional database to avoid performance burdens (00:11:52). John Poole also mentioned that the project to offload paycheck processing from the client to a server-side service, aimed at reducing latency for VRL users, has been temporarily shelved due to other priorities (00:12:49).
- **Payroll Testing and Tax Updates** John Poole explained that payroll testing, particularly for tax updates, involves developers reading tax law changes, applying them to stored procedures, and then coding the same logic in Excel to perform comparisons. They added that outputs are also generated and compared with the application's display to ensure accuracy. For Canadian tax updates, John Poole mentioned using an online tool that provides precise tax calculations for comparison (00:14:50). Natallia Prokin agreed that an API for tax calculations would be beneficial (00:16:04).

Suggested next steps

No suggested next steps were found for this meeting.

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Transcript

Trimble Financials Payroll - Stakeholder Interview - Transcript

00:00:00

Jeff Doolittle: All right. Thanks, John, for being here. You've been working on Vista for how long has it

been now?

John Poole: 10 years.

Jeff Doolittle: 10 years. All right.

John Poole: Yeah, I've worked with people that have had to.

Jeff Doolittle: And in that time, have you had to do any of the payroll related coding or work with people who've had to?

John Poole: I have not touched the payroll module.

Jeff Doolittle: All right. Is that on is that by design?

John Poole: Uh no. Um it's um by a circumstance, right?

Jeff Doolittle: Okay.

John Poole: Uh the you had a team that that's all they did was payroll. And so I've always been on the platform team. And uh after I uh took over as manager, I haven't had a chance to delve into the payroll module that much.

Jeff Doolittle: Yeah. Okay. All right.

John Poole: So I know a little bit, just not a whole lot.

Jeff Doolittle: So, that's fine. Well, then, you know, I have a feeling the little bit that you say, you know, is is going to be more than enough to fill up a half an hour of time, but if not, then we'll give everybody their time back.

00:00:56

Jeff Doolittle: a little bit sooner. So from your understanding, give us a brief overview of, you know, how Vista does payroll and then we'll dive into a couple more detailed questions after that.

John Poole: Oh, okay. Well, this should be really quick then. Um you have uh you basically you have like uh time cards uh things they will go through um you'll uh go through time card entry and you'll enter a bunch of time cards and they'll go through and they'll batch uh those time cards so they can get it into the uh the detail table. Um and then from there um you know they run through a set of processes uh to actually generate the payroll. Um and then uh they run some uh reports to generate the payubs as well as some um o overall reports to talk about you know the the financials, how much everybody was paid in aggregate uh things like that.

Jeff Doolittle: Right. So, for the time card entry, how can time cards get into Vista? Like, sounds like you're saying there's manual entry, but are there other ways?

00:01:59

Jeff Doolittle: Like, how are people collecting their time cards? And then how are they getting them into what are the what are the various ways they can get them into Vista?

John Poole: Um yeah, great question. Um a lot of com I mean you have time card entry but you also have the batch process um or the batch process the autoimp imports um where some companies will um not use this uh um for for

Jeff Doolittle: All

John Poole: that. They will actually have like a timekeeping system um that people you know punch in and out um on the wall and then they do a couple things.

Jeff Doolittle: right.

John Poole: They either generate an export um uh to a file and then they use the import process which um

is basically it defines a template and where uh and which matches their document and how those relate to the different tables or if they are knowledgeable in Vista, they will take and do a direct interface uh with that and they will take output directly from their system do an automated transformation inject that into either uh an import table or um they'll inject it directly into uh the the corresponding time entry tables.

00:03:06

Jeff Doolittle: Okay. And that import table could be something custom just for them like specific to them or Okay.

John Poole: um doesn't have to be you know if u if they have enough knowledge about this so they could um you know run it straight through those tables and um several of our customers um have requested um data dictionaries you know which is something that we used to supply them what the different tables were how they're related to each other uh and things and we still give them uh updates to tables so if we add a column or whatnot that goes out um in the what's new documentation that they can reference online.

Jeff Doolittle: Okay. What when you say batching, what is what is a batch? How do they def is it completely up to an end user to decide what goes in a batch or not or some like filtering or things like this? Like how does what is a batch and how is it created?

John Poole: Um yeah, this is where um the actual details um are kind of kind of fuzzy, but I know that we have an entry table um that everything goes into um and that's through time entry and then they take

00:04:04

Jeff Doolittle: Okay.

John Poole: that and they uh run a payroll batch which moves that from that entry table into the um the associated detail tables and get it ready for payroll processing And that's really all the batching is.

Jeff Doolittle: Okay.

John Poole: It's just taking that data and moving it from one um place to another.

Jeff Doolittle: Right. But effectively that's representing we're going to take these cards and we're going to get those ready to be paid out, whatever that means.

John Poole: Yeah. Yeah.

Jeff Doolittle: Yeah.

John Poole: And if I was doing something uh like that, I would just take and generate, you know, dump it into that uh table and then run my batching through Vista like normal. And I believe that's the way um uh oh gosh darn uh HF worked um back before they became part of Trimble they had their time part entry they would um it would do the exact same thing that it did today um like ours and it would just inject that table and then they would automatically run the batch. So like Vista was in, you know, we had our separate stages that you had to do.

00:05:12

John Poole: They made it just one seamless experience and, you know, that improved the the customer's um experience using the app and so it made it made it better.

Jeff Doolittle: Right.

John Poole: And that's honestly something that I would do different with Vista if we could go back in and redefine it. I would remove the need to batch that and because there's really no reason to, as far as I can tell, you just enter it and then process it.

Jeff Doolittle: Okay, that actually this this may be more of an Natalia question, but she's here so she can answer. Could there be potential compliance issues if you define your batch incorrectly? like you know say people should have been paid but the time didn't get included and you only selected certain time and then you could kind of screw things up. Is that a possibility Natalia or John if you understand what I'm asking?

Natallia Prokin: Not so much in Vista because if you have so basically if you have a batch out there and you're trying to do payroll calculations, people that are in uh in the batch um that has not been processed are not going to be included.

00:06:12

Natallia Prokin: And as soon as you print your payroll register, it's going to give you a message saying, "Hey, not everybody in your group is processed." So, it's gonna it's not going to prevent you from going because you can you can pay people in batches, but it's gonna uh it's not going to pay them incorrectly.

Jeff Doolittle: Yeah.

Natallia Prokin: And batches actually uh it's not real uh real time processing, but what it allows you to do, especially with Vista Web, it allows you to go back and in in these records for a whole workflows without feeding the

Jeff Doolittle: Okay.

Natallia Prokin: actual um detail tables that will affect your job costing and your payroll processing. So, um, it may not be like super slim looking on the front end, but fun functionalitywise, it's really nice.

Jeff Doolittle: Okay.

Natallia Prokin: If we can if we can manage to take like if I was to redo this, I would probably redo this in the same fashion, but fine logic, right? uh where my approved time sheets get get posted automatically without users having to do this manual steps.

00:07:21

Natallia Prokin: Then you get the best of both worlds free.

Jeff Doolittle: Okay. Yeah, that makes sense. So, are there any pain points in the way current let's time card I think we've kind of got covered. We talk about processing payroll itself. uh tell us a little bit about how that's implemented in Vista and maybe you know what goes well and then what are some pain points?

John Poole: Yeah, this is where uh my knowledge breaks down.

Jeff Doolittle: Okay.

John Poole: There's several different steps that they have through the process and the pain points right now is you can be going through those. It will fail at some point in there and uh the customers have to figure out why it failed.

Jeff Doolittle: Okay.

John Poole: Then they have to go back in and and correct it. And so I think that was one of the things that Natalia was trying to do with Smart Payroll was alleviate some of those uh pain points um and uh try to identify upfront the potential problems, allow the user to be proactive instead of um getting into the process and having to go back Oh,

00:08:22

Jeff Doolittle: Okay, great. And then as far as, you know, you mentioned reporting and things like that, I'm guessing we're talking about crystal reports for generating those. Um, and then my understanding there there's some export files involved as well. If they need to upload their AC transactions to their bank to fulfill those is that that's another thing that they can do is they can export those files and then it's up to them to handle sending those to the appropriate party to make sure people get paid.

John Poole: yeah. That that's correct. And those are done through uh Crystal like they have um different reports that they can use for check subs um and uh things of that nature. One of the um things like if you're actually cutting checks because they can do that in payroll process too is they can do checks um is that they have to a they use a maker font um in order to get um you know detail information on the checks. And the thing is it has to be set up a specific way um so the banks will recognize it because you're talking like 1980s technology right they give you a template and things with what information goes where and you have to make sure that those values are in that box and your Micker font um there are different ones that are out there but you go back and forth with your bank to make sure that your spacing

00:09:39

John Poole: is right but also that the font is correct because your uh fonts have to be very specific. specific there's spacing requirements uh and things and if all that is off then um it's you know they they won't accept it.

Jeff Doolittle: Right.

John Poole: Um the other thing is if you're generating PDFs with that um uh check right then your maker font has to be able to be exported um so or not exported be embedded and which is a different license requiring

Jeff Doolittle: And the PDF

John Poole: yeah in the PDF otherwise it's not going to work. Um the other thing is that um some customers use um a a secure printer. Um and what that'll do is it'll print something and it'll automatically sign it, right? And so it does these these overlays and um if your uh document isn't um correct, like say it's an image format because some PDFs um export to um an image, it won't work with those.

Jeff Doolittle: No. Yeah.

John Poole: And so we had to go through pains to make sure that uh those reports would always export uh to text and uh we did various things things around that.

00:10:45

John Poole: So yeah, those are some some other things that uh you need to be aware of um around the payroll crossing that the only thing that comes to mind at the moment.

Jeff Doolittle: Any other technical challenges?

John Poole: Um those are some those are some of the big things that I've noticed. And the ones with the um the uh rendering of the check as an image that's bit us a couple of times and so that's why that's you in the forefront.

Jeff Doolittle: Okay. Yeah.

John Poole: But yeah. Yeah. The other thing is crystal reports. I wouldn't use it. Um you know there's there's a lot of things in there but there it's an older technology. there's better newer technologies out there um that you can give to customers.

Jeff Doolittle: Yeah. Do any come to mind?

John Poole: Um yeah, well if you can get uh well you can do pageionated reports um and things like that because pageentioned reports will do pixel perfect um and uh you can you know it just gives you a little bit more flexibility uh than Vista.

00:11:52

John Poole: I would not have my reporting solution as part of my um main application um or you know do anything that hits that um transactional database. You know I'd move that out kind of like what they're doing with analytics and I try to find a way to see if I could use that um for that purpose.

Jeff Doolittle: Yeah. Yeah, that makes a lot of sense. Then you're not putting the burden of reports and somebody runs a query and brings the system to its knees or they run a bunch of reports and affect the transactional processing.

John Poole: Yeah.

Jeff Doolittle: Yeah.

John Poole: Yeah. The the other thing we found um is that um we embedded an image of the report um like we generated it, stored it, attached it to the user record um and I you know you'd have to confirm with your customers of whether or not they really want that but I think you can get away with just having the the textual information stored somewhere. It's it's smaller, it's cheaper. Um and as long as that can be brought back, you know, you can um yeah, yeah.

00:12:49

Jeff Doolittle: Yeah, as long as you consistently render the same report with the same version every single time, you don't have to store the binary image or whatever.

John Poole: And we have problems because like the report will fail. Uh we'll get back a zero byte file or we'll get back something and we don't attach it to the record because it's, you know, not complete and then they have to go back and rerun payroll as where is we're just processing it. have that data and we can come back and generate it later if needed.

Jeff Doolittle: Yeah. Okay. Is anything being done on that stuff to like, you know, I know I talked to Brian at one point, it's been a long time now about some improvements he was trying to make to this process. Is there any stuff still in flight on that?

John Poole: Um, yeah, that took longer than we were hoping. Um, and so that's kind of been shelved right now because we're trying to get EMS finished.

Jeff Doolittle: Okay.

John Poole: But uh what he was doing was the Vista client had to process each um paycheck one at a time, right?

00:13:47

John Poole: And so uh for like V for LAN it works just fine. For VRL going across the internet you go to

generate one payub is at least two round trips.

Jeff Doolittle: Right.

John Poole: Um and um so it was taking two to three times as long. So what he was doing was he was offloading that um to a serverside service that was on the same machine, right?

Jeff Doolittle: Right.

John Poole: And so it would effectively be um very little latency when generating those reports.

Jeff Doolittle: Right.

John Poole: And so that was the project he was working on.

Jeff Doolittle: Yeah. Okay. Uh let's talk about how they test payroll in Vista. What's your understanding of how we test to make sure that like our tax counts and our deductions and all that stuff is correct, especially as regulations change, which they, you know, do every year.

John Poole: Um yeah the the regulations what they what they do is this processes everything in the database. It's it's really payroll is more or less a database application. Um very little is done in the in the client.

00:14:50

John Poole: Um so what they do is you have routines that are versioned by tax update. uh so or by year and um so they will get run um and the um the way we test that is the developer will read um the changes to the tax laws apply that to the appropriate store procedure um and then go into Excel and code the same thing in Excel and what you're doing is you're um doing comparisons to say this is what I expect. This is what the procedure gave me. That's good. Um it'll also generate these outputs. Um and you can take those and go into your application, put those into your application and make sure that it's showing you the same thing. Uh with Canada it was um they did the exact same thing but Canada has this online tool that you can use where you can go in and you can enter this information and it will spit out to it

Jeff Doolittle: Right.

John Poole: um to the penny what your expected tax is based on these sets of conditions.

00:16:04

John Poole: And then um uh we also use that to compare the outputs from the two different places to make sure that um we were getting what we needed.

Jeff Doolittle: H okay.

John Poole: All

Jeff Doolittle: Uh yeah. So store procedures updated when there's a tax update by jurisdiction. US has the same tool. Can't they make that an API that we can just call?

Natallia Prokin: probably that would be nice. I mean that's what I used to test it years ago.

Jeff Doolittle: Yeah. The trouble is if it's just a black box, we don't know, you know, like we got to be able to double check that it's doing the right thing.

John Poole: right.

Jeff Doolittle: That's Yeah. But anyway, uh any other questions from the rest of the group for John?

Natallia Prokin: Anybody tell me speaking Sand

Jeff Doolittle: No. Anyone? Well, we said we might wrap it up early, so we got 10 more minutes if we need it. Okay, cool.

Shakyma Edwards: Nothing for me.

Jeff Doolittle: Uh, John, if you want to hop off, I'm going to keep everybody else on the call for a minute, but thank you so much for your time.

Neil Cadsawan: Hello. Good to hear.

Jeff Doolittle: Really appreciate it

8/21

Trimble Financials Payroll - Stakeholder Interview

Invited Shakyma Edwards Nick Steier Natallia Prokin Matt Thurber Neil Cadsawan Jeff Doolittle Alexander Farrell

Attachments

Meeting records

Summary

Jeff Doolittle initiated the meeting to align on the future development of a construction payroll system and gather diverse perspectives on construction payroll. Nick Steier shared insights from their experience with Spectrum, emphasizing technical challenges in payroll processing and the complexities of construction payroll, including unions, certified payroll, and varied tax structures, while Matt Thurber inquired about the tools built to correct payroll mistakes. Nick Steier further explained Prism's scope in job costing and the importance of decoupling payroll and financial systems for flexibility, outlining Prism's user interface design to simplify GL abstraction and its future enhancements for accountant access and scalable GL structures. The discussion concluded with Jeff Doolittle mentioning the ongoing discussion about a common payroll core within Trimble to handle basic payroll functions across different business units, with specific modules for construction payroll complexities.

Details

- Construction Payroll Understanding Jeff Doolittle initiated the meeting to gather diverse perspectives on construction payroll and to align on the future development of a construction payroll system. The goal is to identify points of agreement and disagreement to create a comprehensive plan, leveraging the expertise of individuals familiar with similar systems like Prism (00:00:00).
- Nick Steier's Background and Spectrum Experience Nick Steier shared their background, starting as a junior programmer with Dexter and Cheney, gaining extensive experience with Spectrum, a system used by both middle-market and enterprise-level customers. They emphasized their technical expertise, particularly in platforming and software engineering, rather than being a domain expert in construction or finance (00:01:05). Nick Steier also highlighted common pain points from a technical perspective, such as performance issues, complex SQL queries for data retrieval, and recurring failures in the payroll process requiring utility tools for corrections (00:03:19).
- Complexity of Payroll in Construction Nick Steier discussed the complexities inherent in payroll, specifically mentioning unions, certified payroll, and varied tax structures across different states, particularly for companies operating interstate (00:03:19). They recalled past challenges where tax information had to be manually processed from PDFs or CSVs into database structures, indicating a need for more streamlined data handling (00:04:29).
- Transition to Architect Role and Data Integration Efforts After Viewpoint acquired Dexter and Cheney, Nick Steier transitioned to an architect role, focusing on identifying overlaps and differences in data models between Vista and Spectrum. They contributed to building a data pipeline ETL platform using Databricks and Kafka to create a common data model, despite challenges posed by distinct domain modeling, especially in change management (00:04:29).
- Prism (Trimble Financials) Scope and Interaction with Payroll Nick Steier explained that Prism, now known as Trimble Financials, primarily focuses on job cost perspective for customers in the 0-10 million

dollar range. They clarified that Prism is concerned with tracking labor as a cost type assigned to jobs, projects, or work orders, but does not delve into the specifics of payroll calculation or time collection (00:06:35). The system aims to allocate labor data effectively to job phases and cost types, viewing payroll as another cost that affects job costing alongside equipment and materials (00:07:41).

- **Decoupling Payroll and Financial Systems** Jeff Doolittle and Nick Steier discussed the importance of minimizing coupling between payroll and financial systems to enhance flexibility and reduce complexity (00:09:37). Nick Steier suggested isolating the General Ledger (GL) within the financial accounting side, though they acknowledged the need to further investigate areas where GL coupling might be necessary, such as check printing or union payroll (00:11:09).
- **Payroll Processing Challenges and Lessons Learned** Nick Steier highlighted the serious nature of payroll posting processes, noting that errors often stem from out-of-balance issues, either related to GL or subledger discrepancies. They mentioned that in Spectrum and Vista, issues like incorrect vacation accrual or imbalances between debits and credits in GL accounts sometimes occur during payroll processing (00:11:09) (00:14:21). Nick Steier also brought up technological issues like running out of disk space or record locks during payroll processing in older systems, which led to the implementation of checkpoints (00:24:32).
- **Prism's User Interface and GL Abstraction** Nick Steier described Prism's user interface as designed for a less experienced user base, aiming to hide the complexities of the GL from end-users who may not have an accountant on staff. The system uses a pre-baked GL structure and offers a "guided entry process" similar to TurboTax, simplifying data input for tasks like creating proposals or quotes (00:15:10). This approach allows users to focus on business-related entries (e.g., materials, labor) while the system automatically allocates them to appropriate GL accounts (00:17:17).
- **Future Enhancements and Accountant Access** Nick Steier shared plans for an "advanced entry mode" for larger customers or accountants, which would provide more detailed forms and exposure to the GL (00:17:17). The vision includes features for accountants to access underlying financial information and for the system to integrate with bank accounts, automatically creating and linking GL accounts (00:18:02) (00:20:02).
- **Scalability and Customization of GL Structure** Nick Steier explained that Prism's GL hierarchy is designed to be flexible and scalable, supporting extensions or swaps for different structures to accommodate various industries beyond construction. This innovation allows for customization while also providing a standardized GL for small businesses (00:19:00).
- **Future of Payroll within Trimble** Jeff Doolittle mentioned the ongoing discussion about a common payroll core within Trimble, allowing for basic payroll functions to be shared across different business units, with specific modules for construction payroll complexities like unions and certified payroll. Nick Steier added that different rules for Canada, the UK, and various US jurisdictions also add to the complexity (00:20:54).
- **Correction Tools for Payroll Mistakes** Matt Thurber inquired about the tools built to correct payroll mistakes, distinguishing between user input errors and system processing issues (00:21:41). Nick Steier confirmed that these tools address both, such as incorrect hour assignments by users or the need to make corrections after checks are issued due to discrepancies or employee queries (00:22:40). Some corrections might affect employee pay, while others only impact job cost allocations without material impact on the employee (00:23:32).

Suggested next steps

1 Nick Steier will refresh his memory and look at the code to understand the non-performance-related pain points and how Prism's user interface and end-user interactions are working.

2 Nick Steier will find out whether the out-of-balance problems in Vista are tied to GL or if they are more subledger-based.

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Transcript

Trimble Financials Payroll - Stakeholder Interview - Transcript

00:00:00

Jeff Doolittle: All right, Nick, we have embarked on a journey to try to get some understanding of different people's perspectives on construction payroll, but also what are we going to build for construction payroll? And you've already kind of been down this road from a financial standpoint. You know, I think I don't want to rehash too much history, but we thought we were building for one target market that's shifted and now we're focusing on a different one. And a lot of what we're looking for right now is just different perspectives from different people. There's some agreement about some things. There's maybe some disagreement about others. That's okay. We just want to identify those things so we can all have a conversation about it. And ultimately what we want to do is we want to harness the voices of smart people who've done exactly what is being asked to do or similar things or things we have to work with and integrate with such as Prism and make sure that we have a good plan for how to approach that and that we get enough alignment get people on the same page.

00:01:05

Jeff Doolittle: So to start with, if you could just give us a brief summary of, you know, what you worked on before Prism and then what is Prism? What are you working on currently? And then we'll kind of take it from there.

Nick Steier: Okay. Yeah, me. Okay. Uh, so um I got into this like domain I guess so to speak as a you know junior programmer a long time ago uh with Dexter and Cheney. So my um experience I have a lot of experience with spectrum. Uh I I am by no means a domain expert on anything related to construction or financial and am I kind of morphed more into a uh developer that did more of the like behind the scenes like platforming kind of stuff um and the software engineering there. Um though you know you can't avoid not learning about the the domain because you know there are plenty of features I had to implement over the years. Um, but I would never consider myself like an expert as a at the domain level.

00:02:15

Nick Steier: But I mean, I know what most of the terms mean. I know how a lot of the business flows go, at least from that lens of what Spectrum kind of did. And and there's a there is like this perception that Spectrum is for like middle market and down, but there are plenty of enterprise level customers um there uh that have used Spectrum successfully.

Jeff Doolittle: Yeah.

Nick Steier: Um, and you know, we have we have product people that know this a lot better than I do. Jaw, uh, Colby, um, those guys are experts at this. They're CPAs. They've done this stuff for for a long time,

right?

Jeff Doolittle: And they are all either have been or will be interviewed as well.

Nick Steier: Um, and then I so so I have a good look of of what kind of what what goes on under the hood of of Spectrum, like how it was implemented, where a lot of the customer pain points were from like a more of a technical perspective.

Jeff Doolittle: Right.

Nick Steier: Um, performance, um, the nasty SQL that you had to do to like get the data it that we needed for reports or for dashboards or whatever.

00:03:19

Nick Steier: um where all for payroll, you know, where where in the process it all fails on a regular basis and like all these utilities and tools you had to build to like help customers correct their problems. Um stuff like that. I mean, it it's it's been like a decade since I've worked in that area. But, um, you know, I have it's it's ingrained in in me a little bit, but again, you know, I as far as like the business flows and stuff, I wouldn't be the person to talk to on that. But, um, and I don't know what's changed since then, obviously, but yeah, like I'm looking at your list here.

Jeff Doolittle: Yeah.

Nick Steier: I know there's complexity, a lot of complexity around unions, uh, certified payroll, um, things like, uh, the different tax structures for different states, um, especially for companies that do work across multiple states and have to pay labor that are working in aspects of a highway or something that are spanning state borders.

Jeff Doolittle: Yeah.

Nick Steier: Um, you know, things like that. I know that in the past tax that tax information, it wasn't like you just called an API and pulled down the tax tables.

00:04:29

Nick Steier: It was like humans looking at PDFs or CSVs or something and trying to shove it into a database structure.

Jeff Doolittle: Yeah.

Nick Steier: So went through a lot of that crap uh over the years. Um yeah, so that's so that's my background and then when I kind of when Viewpoint acquired us, I kind of moved more into an architect I moved into an architect role. Um, and that's when I got to start working on things that were like looking at Vista and Spectrum and trying to figure out where a lot of the overlap is and where there isn't from data models. Um, I worked on the change management kind of data pipeline platform or the the data pipeline ETL pipe uh with Adam Rink. Um the two of us worked on that from the beginning uh with data bricks and and building all of that out with um Kafka uh you know I know Jeff will kind of shrink back a little bit but yeah that kind of trying to build a common data model between Spectrum and Vista um because a lot of I mean they're basically doing the same they're trying to solve the same problems and the data was a lot

00:05:35

Jeff Doolittle: right?

Nick Steier: of that data was just the name just using different field names. But unfortunately like both applications kind of grew differently. They they modeled their domain a little bit differently. Um especially unfortunately with change management, you're dealing with change orders. That was one area where it was pretty different. Um and trying to kind of build a unified model was not really the right approach there. But um yeah, sorry I'm getting into the weeds.

Jeff Doolittle: No, no, that's fine. That's fine. Let's uh let's talk about Prism now and what you know what's the scope the target for Prism and then I want to lean a little bit too and I know we're calling it Trimble Financials now but part of what we want to look for as well is where does what you're currently working on interact with you know what parts of it are independent of payroll and what parts of it are going to be highly you know correlated with or or interacting with payroll. Oh.

Nick Steier: Right.

00:06:35

Nick Steier: So I I see it mostly in a couple of places. The the job cost perspective is probably the biggest one.

Jeff Doolittle: Mhm.

Nick Steier: Um, payroll is essentially from kind of a high level abstraction in my head. Um, payroll is is labor that you would be assigning to or not assigning to a job. So payroll is tracking the labor. Um, it may or may not be essentially a resource that's tied to to a job or a project. Um, or a work order um is another another angle. Uh, Prism is purely dealing right now with jobs and uh, projects in that five to I think they said was Mac incorrect me, but I think it's like 5 to 10 mil or 5 to 15 million customer. Uh, 0 to 10. Okay, I see a head.

Matt Thurber: Zero to 10 more more video.

Nick Steier: Um, which is pretty far down market, but then a \$10 million customer probably actually does have like 60 employees or 50 employees.

Jeff Doolittle: right?

Nick Steier: Um so payroll probably becomes a bigger concern for them.

00:07:41

Nick Steier: In the past um one of the things on like the spectrum side especially was not getting out of the payroll business but getting out of like the check printing business and instead it's like what we really just need is the breakdown of labor and how it applies to the jobs. Um, so if you could farm off payroll to like a system like this, it's like there I think there's a way that you can, you know, I guess like allocate the if we can allocate the labor data. Um, God, I'm going to butcher this. Like I feel like Joff and and Kobe will nail this like way better. Well, they better be able to nail it better than me. I feel like if you can if you can just allocate that data to the job as expected, um, Prism definitely doesn't need to get into the the weeds of how payroll gets calculated, time collection, all that kind of

Jeff Doolittle: Mhm. All right.

Nick Steier: stuff. It's really just like, hey, look, we've got this amount of labor that goes to this job phase, cost type.

00:08:43

Nick Steier: Um, yeah.

Jeff Doolittle: Yeah, it's another job cost, right? It's another thing that affects job.

Nick Steier: Yeah. Yeah. Yeah.

Jeff Doolittle: Yeah. And our understanding too is that a lot of times people are collecting equipment use data alongside the labor data.

Nick Steier: Yeah. Sure.

Jeff Doolittle: So, but from the financials perspective, just to summarize that you you're basically saying there you don't care the specifics of how it was collected or you know you just want to know hey there's another cost that's for this

Nick Steier: Yep.

Jeff Doolittle: job for this phase and then that gets appropriately allocated.

Nick Steier: That's my perspective. Um, you bring up a good point about equipment. That's another So labor is like a cost type in the parl lines of like job cost. Equipment is also a cost type some along with like materials subcontracts.

Jeff Doolittle: Yeah.

Nick Steier: They're just buckets that you're allocating like numbers to.

Jeff Doolittle: Right.

Nick Steier: There's different GL accounts involved. But I don't know that payroll really cares about the GL.

00:09:37

Nick Steier: It does in Spectrum Vista because it's so tightly coupled, but I don't know that it needs to get to I don't know that Hold really needs to get to that level of a breakdown of how the Yeah.

Jeff Doolittle: Yeah. And when we get to detailed design on this, I'll definitely be coming back to you to talk about this. you know, we want to we've only, you know, since we've only got half an hour here, we'll stay high level.

Nick Steier: Sure.

Jeff Doolittle: But that's exactly the kind of stuff that we'll be looking for. It's like how much how much does payroll need to know about the finance system.

Nick Steier: Yeah.

Jeff Doolittle: And if we can minimize that as much as possible, then the systems are more loosely coupled. And in the other direction, too, we want to make sure that the financial system doesn't really have to know or embrace detailed aspect, excruciatingly detailed aspects of payroll just in order to function.

Nick Steier: Yeah. And again, the big disclaimer here is that I could be a little bit off on some of this.

00:10:22

Jeff Doolittle: Yeah, that's fine.

Nick Steier: Um, my understanding.

Jeff Doolittle: And that's why we're interviewing lots of different people.

Nick Steier: Yeah. Yeah. I mean, I can go look at the the code and like reverse engineer like how it's working now to try to glean insights, but I don't think you will.

Jeff Doolittle: So,

Matt Thurber: It'd be good to we probably won't dive into today, but keep in the back of your head and um

or if you can't think of any specific examples like when you mentioned like you know spectrum did it this
Nick Steier: I don't have the time to

Matt Thurber: way and I know equipment and spectrum I know enough about because tracks very integrated in with it but you know there's two major different ways equipment works in terms of costing the you know the operator to the equipment or charging the equipment to the job and type of thing and and you mentioned it being so tightly coupled to the GL because of that's the way Spectrum worked. But would would um I guess like lessons learned for the second prime out here if we were to because we have the power to design something from scratch here.

00:11:09

Matt Thurber: Would there would there be a better way that that is facilitated? I

Nick Steier: I mean I would I would say we would try to find the boundaries that matter like if you could keep GL like isolated essentially isolated into the financial accounting side. Um again I don't I don't remember if like if there is if there are other areas where that GL is important like with check I don't think there is though checkpointing and stuff. I don't even the union um uh yeah if you give me some time I can come up with probably a list.

Jeff Doolittle: Could you think of other things though where maybe it was there was coupling pain or or things like that that you might have done differently? Okay.

Nick Steier: Um, off the top of my head, I'm I'm kind of struggling.

Jeff Doolittle: Okay. Yeah, that's okay.

Nick Steier: I know that like posting of payroll is a very like serious process that causes a lot of like, hey, stop, don't use the system while we're doing this because if you enter in some new stuff and assigned labor, you might break something.

00:12:12

Nick Steier: um or we might have to but I remember if something goes wrong it's usually because some something's out of balance with uh some of the costs and I don't know if it's the I don't remember if that's like tied to GL if it was specifically around GL problems or if it was um more of the like subledgdger based stuff.

Jeff Doolittle: H.B.

Nick Steier: So like payroll has its own little subledgdger where it's tracking a lot of this stuff. Um what something we did in Prism was we tried to model um the the GL kind of like as a as a transaction register and um there there's these different subledgdgers like uh you know AP invoice or job cost or um credit memos or like AR invoices or whatever um that have some additional kind of like metadata that is interesting that we care about but doesn't really affect the GL in the way. I mean, it it does from like an auditing perspective and a like transparency of like I need to know what what transaction posted this information, right? Like, oh, this was an invoice and here's the exact invoice, but yeah.

00:13:24

Jeff Doolittle: But as far as balance sheets, income statements, cash flows, not affecting those things.

Nick Steier: Yeah. No. And I I I expect like payroll, it's very similar. It's like, well, we'd want to know some

information about this thing that got posted to GL.

Jeff Doolittle: Yeah.

Nick Steier: Um, and know that it's payroll and know like, okay, this maybe this is like a check and it's like the employee, you know, reference.

Jeff Doolittle: And you could trace it back or something.

Nick Steier: Yeah. Yeah. You just need to be able to like kind of trace it back.

Jeff Doolittle: Yeah.

Nick Steier: Um but having that like all-in-one like financial view on like the transaction log essentially the GL that's like a huge um from an accounting perspective that's like a huge innovation and improvement over um how all these existing ERPs and stuff work now um that at least that's what I get out of the product side is that this is like CPAs are losing their minds over this idea um because these auditing firms it's going to save so much time and and effort.

00:14:21

Nick Steier: Um, and we're on request for time, so I don't want to get into that tangent, but um, yeah, I'd have to go I'd have to kind of refresh my memory about some of the pain points um, that weren't

Jeff Doolittle: Oh, no. That's Yeah.

Nick Steier: just like performance related or but I do know like there's there's these processes baked into Spectrum and I'm sure Vista 2 something gets out of balance. I know Vista has out of balance problems because Dan is always telling me that they have out of balance problems um, as well. Uh, and I know that when you do a payroll process, sometimes this something happens. And I, but I don't remember if it's more like, oh, the vacation acral was wrong or if it was something more like, hey, GL didn't, you know, debits and credits aren't balancing between these GL accounts. I don't remember precisely. I have to go look at that. But I can go do that. I can dig that up for you.

Jeff Doolittle: Okay. Yeah, that would be that'd be that'd be helpful right now for what's being built for Prism is what's this um what's the user interface look like?

00:15:10

Nick Steier: I'll just go out. Yeah, I'll go ask about it.

Jeff Doolittle: Like what's the interaction for the end user?

Nick Steier: Yeah. So the other big thing is um something that you don't Yeah. So the other thing we're trying to hide GL from the the end user because it is so down market these we we need to we want to address like we want to help companies that don't have an accountant on staff and so getting into like an ERP is like a huge jump because they don't understand how any of the stuff is supposed to be laid out.

Jeff Doolittle: Yeah.

Nick Steier: So we have a GL structure that is pre-baked essentially. It's all under the hood. um they're just focused on really more user friendly data entry that is more related to what they're doing. So it's like say I'm here building a proposal for a job for these customers. I might be on site. It's like I'm you know the smallest customer it's like maybe I'm doing some landscaping or building a fence or like what a deck something bigger than that but yeah a garage.

00:16:18

Jeff Doolittle: Right.

Nick Steier: Um and you're there you're able to do quick and dirty data entry. um give them kind of a quick quote or take it back to your house and like finish up later, but you're on a phone or a tablet or something there.

Jeff Doolittle: Mhm.

Nick Steier: Um and uh a lot of like, you know, uh we're calling it like a guided entry process. So, we're kind of prompting um Neil, I'm sure you've heard this from Neil. He he, you know, his group did all this work, but you know, you're kind of prompting um smaller sets of information kind of like Turboax and how that works uh in order to get like a bigger collection of this info. So, rather than presenting these like complicated forms to the to the user, uh you're doing more what we call a guided entry experience um where you're just asked a handful of questions.

Jeff Doolittle: right?

Nick Steier: Hey, pick a customer here. Who are you doing this for? Um, okay. Now, what are you trying to do?

00:17:17

Nick Steier: This is what I'm trying to do. Build a fence or something. It's like, okay, well, okay, now what what kind of material do you need? How much time is it going to take you? Like, how much do you want to charge? What are your margins? Things like that. And you kind of by the end of this walkthrough, you've kind of built like a pseudo contract.

Jeff Doolittle: Yeah.

Nick Steier: Um, and then you can convert that into a real contract that you would have the customer then sign. Um, and then the next step though would be as we grow up market and maybe even at that \$10 million range, we would need this a more of an advanced entry mode. Um, where we would present more of the classic kind of like here's here's your more detailed forms and like give you some exposure to GL, but we don't they don't know what a GL account is at all in

Jeff Doolittle: Right.

Nick Steier: any of this entry. It's all hidden. You're picking, you know, you're saying, "Oh, this is this is materials that I'm buying. I

00:18:02

Jeff Doolittle: Right.

Nick Steier: need 2x4s and this and this and this or these plumbing fixtures. And under the hood, we're allocating that to like a GL account.

Jeff Doolittle: Right.

Nick Steier: We know based on the cost type, if the materials cost type, it's also kind of hidden. Um, so yeah, we're kind of cleverly abstracting all that away.

Jeff Doolittle: Would there be like a login for your accountant say when you need to actually do your book?

Nick Steier: Yeah.

Jeff Doolittle: They'd have more of an advanced they'd see all this stuff under the covers and Yeah.

Nick Steier: Yeah. Yeah. That still needs to be built, but yes, that's the idea. Um, also they'll have access to, you know, I I guess the idea is like you you'd pass off a lot of this information to your tax person. Um, so

for the lower end it almost behaves more like a bookkeeping kind of experience, like a QuickBooks um a stripped down QuickBooks like bookkeeping experience.

Jeff Doolittle: Yeah.

Nick Steier: Um, but under the hood, we're trying to provide all of that like advanced accounting stuff, but when you eventually get big enough to need it.

00:19:00

Jeff Doolittle: Right.

Nick Steier: Yeah.

Jeff Doolittle: But you're providing sounds like it's a canned GL for to rule them all kind of a thing like this is what a small business needs.

Nick Steier: writing.

Jeff Doolittle: If you grow up past it, you're going to need the next version or the more advanced version.

Nick Steier: Yeah.

Jeff Doolittle: But if it

Nick Steier: Yeah. that's it's designed to be like pretty flexible um and scalable I guess would be a good way to describe it because not only well so again earlier on in the project there's a lot of requests you know we've we've had a lot of requirements around hey this accounting thing can we also use it in other industries or is it going to be locked to construction so the GL is actually something that there it's like there is a pretty set structure across industries, but there's also stuff that's custom to that industry. And um so we kind of have it designed in a way to support extending the GL or swapping it out for a different structure if you needed to.

00:20:02

Jeff Doolittle: Yeah.

Nick Steier: Um so that's another kind of innovation that we've got in there. A GL the GL hierarchy is what we've been calling it. Um, but yeah, it's uh and yeah, but yeah, more advanced mode, you'd be allowed to like kind of add your own new accounts. And I guess the idea too is like once you start linking your bank your bank accounts into it or your credit accounts or whatever, it's going to automatically create these GL accounts like under the hood and link it

Jeff Doolittle: Right.

Nick Steier: all together for you. So, you don't ever really have to get into the weeds of that if you don't want to. Um, that's the idea.

Jeff Doolittle: Right. Yeah. And part of what we'll be looking for too, and you know, this is where the different perspectives from the different people I we're likely to have a similar I don't know if mandate's the right word, but but we're going to be guided in a similar direction where there's going to be an aspect of this where it's like, hey, common payroll.

00:20:54

Jeff Doolittle: Can we have the common payroll core, but then can we also have the construction payroll specific so that if you know someone else in Trimble needed payroll, you know, the basics are covered for,

you know, non non-union non-certified

Nick Steier: Yeah.

Jeff Doolittle: for example, especially certified, which is, you know, uh trades and construction are kind of specific for that.

Nick Steier: Yep.

Jeff Doolittle: So that's something we're probably going to run into as well.

Nick Steier: Yeah. Also, you different rules for like Canada and the UK, Europe, all that.

Jeff Doolittle: Oh yeah.

Nick Steier: Yeah.

Jeff Doolittle: Oh yeah. And every jurisdiction in the US and you know you you get into I was it Pennsylvania where they want like every third day or something you have to tell them your Yeah.

Nick Steier: Yeah. Oh, yeah. That's old. Yep.

Jeff Doolittle: So let's not get into that right now. But um that's it's a nightmare.

Nick Steier: Yeah. It's all coming back, man. It's all coming back.

Jeff Doolittle: Yeah it does all come back.

00:21:41

Jeff Doolittle: Uh anyone else have any questions? Neil, Natalia, Matt, and the time remaining for Nick take fire away.

Matt Thurber: Yeah, I've got I've got one. I was going to Anybody else has one first, but yeah.

Jeff Doolittle: Matt

Matt Thurber: Yeah, if no one else does. Um took a couple notes here, but um you're mentioning I guess back back to the pick your brain on the spectrum um the spectrum side of things. You mentioned like building tools or utilities for correcting the mistakes that people have would would cause in payroll. Are those like I mean either like uh mistakes or I don't want to say bugs wouldn't be the right word like mistakes in in the spectrum processing itself or more like mistakes people made or like changing you know things have changed in the world and like you had to you know we're building things to adapt it like Nick Steier: kind of both. Like you might have entered data wrong. like someone may have incorrectly assigned their hours to the wrong department code or some crap.

00:22:40

Nick Steier: um that and it's like oh I need to make a correction here because this spit out and it's like oh wait hold on this isn't you know someone would look at it and be like this doesn't look right or you know it' be well in spectrum it'd be during it' be like one of the one of the later steps where you you've pulled in everybody's like time cards and like stubbed through everything and it spits out

Matt Thurber: Is that like during the payroll process or more like after you you've you've finished and you've cut checks or sent direct deposit?

Nick Steier: kind of these reports um a series of reports hurts and you'd have a human kind of look at them and be, you know, realize that something isn't right because there's an allocation that's wrong or out of balance or, you know, there something they weren't expecting. Um, so that's there'll be like a data maybe a data entry error or, you know, missing hours or something like that. You do, but then on the other side, you also have like someone got their check and they're like, "Wait, hold on. I

00:23:32

Nick Steier: worked more hours than this or you know, this looks wrong. What happened?" So, you need the ability to go back after the fact and like make a correction. So, there's there's a pro there's processes for that. Um, like replacement checks and Yes, absolutely.

Jeff Doolittle: And it sounds like some of those corrections could affect the actual pay of the employee or the deductions or whatever.

Nick Steier: Yeah.

Jeff Doolittle: But then in other cases, if it's only affecting allocations of job cost, that would have no material impact on the employee.

Nick Steier: Yeah, probably. Yeah. Yeah, I wouldn't think so.

Jeff Doolittle: Yeah, that's fair.

Nick Steier: Um, unless there's a different rate or something for the type of work they were doing.

Jeff Doolittle: That's fair. But if we're just saying, "Oh, it's the wrong job, but it's the same, you know, craft class or whatever it might be."

Nick Steier: Um, right.

Jeff Doolittle: Right. Yeah. Yeah. Okay.

Nick Steier: Yeah. Yeah. Yeah, definitely. Um, yeah, it's uh, and then there's also the technology side where the system, you know, the database, you ran out of disk space halfway through processing your payroll and now there's a bunch of crap like that didn't get

00:24:32

Jeff Doolittle: Yeah.

Nick Steier: written and you need to roll it back and like Yeah.

Jeff Doolittle: Well, we're not going to do that in this new system. That's not happening. We have the cloud.

Matt Thurber: Yeah.

Jeff Doolittle: We'll be okay.

Nick Steier: But but as a as an example, it was it was all of that could go wrong.

Jeff Doolittle: Yes. Oh, yeah. Oh, yeah.

Nick Steier: Yeah. Um or someone was locking a record that it was trying to write to.

Matt Thurber: He

Nick Steier: Um and that when I was thinking tightly coup tight coupling, that's what I was thinking of mostly was it's going in during the payroll process and like trying to write updates to the GL, to the job cost, to whatever.

Jeff Doolittle: Yeah.

Nick Steier: And it's like if you've got somebody in there like doing something else simultaneously, you might run into like record locks and like or deadlocks or something. And so you need the ability to like we had to bake in all these checkpoints. Um again, it's like papering over symptoms, you know, or fixing symptoms rather than a problem, but again there's a lot of 4GL code in there.

Jeff Doolittle: Yeah. Yeah.

Nick Steier: So SQL on top of 4GL code and yeah I'm a mess

Jeff Doolittle: Anything else?

Matt Thurber: No, that that's all I had. But that's uh great great wisdom.

Jeff Doolittle: Okay, Natalia, Nick, if you come up with more ideas of pain points that are worth considering, we appreciate those.

Neil Cadsawan: No, I'm good.

Natallia Prokin: I'm good.

Jeff Doolittle: And then, you know, we're we're gonna obviously have an ongoing conversation about how these two projects are gonna work together going forward. And so, yeah, definitely Josh Gary, we we're interviewing over a dozen people, but we did want some technical perspective and some, you know, background on your experience having done some of this before.

Nick Steier: Yeah, that's probably more where I would be helpful. Um, yeah, if you talk to Joff and Colby and stuff like they'll know more about the spectrum pain points and Gary and Yeah. Natal. Yeah. Yeah. Yeah. Sure

8/26

Trimble Financials Payroll - Stakeholder Interview

Invited Matt Barry Shakyma Edwards Natallia Prokin Matt Thurber Neil Cadsawan Jeff Doolittle Alexander Farrell Jennifer Strand Mark Vignolo Michelle Butler

Attachments

Meeting records

Summary

Mark Vignolo highlighted the challenges of construction payroll due to high costs and complexities of compliance, suggesting better integration with third-party services like ADP. Jennifer Strand and Jeff Doolittle discussed the target market of Trimble Financials Prism, focusing on smaller businesses that rely on outsourced payroll. The participants explored a hybrid payroll solution with Vista and the potential for a "Trimble Payroll Service" powered by ADP, considering the complexities of in-house payroll and market pricing.

Details

- **Challenges with Construction Payroll** Mark Vignolo highlighted that many companies outsource payroll due to the high cost of in-house talent and the complexities of payroll compliance, like making quarterly tax deposits. Jennifer Strand added that companies are often scared of missing critical payments and regulatory deadlines (00:00:00) (00:09:21). Mark Vignolo also emphasized the difficulty of building a fresh payroll system from scratch due to the extensive rules and potential for errors (00:00:52) (00:07:11).
- **Integration with Third-Party Payroll Services** Mark Vignolo suggested that building better integrations with third-party payroll services, like ADP, would be beneficial, as many customers already use them and are unwilling to change. He noted that while current integrations allow for exporting time cards, there is no data coming back from ADP, and full integration would require receiving information back, especially concerning liabilities (00:02:07). Matt Barry agreed that down-market clients, which Prism is targeting, will lean on payroll services more (00:03:20).
- **Target Market and Payroll Needs** Jeff Doolittle clarified that Trimble Financials Prism is targeting businesses with 10 or fewer employees initially, expanding to 10 to 50 employees later (00:04:16). Mark Vignolo speculated that this down market primarily relies on services like ADP because they cannot afford in-house payroll experts (00:03:20) (00:17:12). Jennifer Strand added that while some contractors, especially those with federal contracts or complex payroll needs (like certified or prevailing wage), might benefit from internal payroll, most smaller businesses prefer outsourcing (00:10:17).
- **Vision for a Hybrid Payroll Solution** Mark Vignolo proposed a hybrid approach where Vista acts as a bolt-on to a service like ADP, with ADP handling earnings, deductions, and tax calculations, while Vista

focuses on wage rate calculation, job costing, and GL tracking (00:11:12). Natallia Prokin expressed concerns about ADP's ability to return liability distributions needed for proper job costing, as ADP aggregates data rather than providing per-time card breakdowns (00:12:04).

- Discussion on Trimble Payroll Service Jennifer Strand jokingly, but then seriously, suggested the creation of a "Trimble Payroll Service," similar to what QuickBooks offers, to handle all payroll in-house and eliminate integration issues (00:13:05). Natallia Prokin supported this idea, stating it would solve the problem for smaller customers and avoid the need for complex calculations and integrations from Trimble's side (00:15:18). Mark Vignolo proposed marketing this as "Trimble payroll services powered by ADP" to leverage ADP's expertise in tax situations across different states (00:16:15).
- Challenges of Building In-House Payroll Mark Vignolo cautioned against building an entire payroll system in-house due to the significant cost and complexity, especially since even small companies encounter prevailing wage and union reporting requirements (00:19:41). He emphasized that ADP and similar services already handle these complexities, making partnership a more sensible approach (00:07:11). Jeff Doolittle acknowledged this, stating the focus should be on modularizing and outsourcing elements like earnings, deductions, and tax calculations, while Trimble focuses on union, certified payroll, and job costing (00:20:42).
- Market Pricing for Payroll Services Matt Thurber inquired about the potential pricing model and market bear for a "magical perfect" payroll-as-a-service, suggesting a per-employee charge. Mark Vignolo responded that it could be priced similarly to QuickBooks, though he noted that small customers are extremely price-conscious and primarily look for the cheapest option rather than extensive features (00:21:25). Matt Barry suggested pricing could be higher due to the service's prevailing wage and union compatibility (00:22:20).

Suggested next steps

No suggested next steps were found for this meeting.

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Transcript

Trimble Financials Payroll - Stakeholder Interview - Transcript

00:00:00

Jeff Doolittle: to interrupt you.

Matt Thurber: All these into a notebook.

Jeff Doolittle: Okay. So, so now that we're recording, we're looking for pain points, you know, and successes with customers as pertains to construction payroll. And Mark, you were about to give us some perspective.

Mark Vignolo: Yeah. One thing that I have seen in um the last 20 years is the rise of people taking their pay trying to take their payroll to a payroll service. I it's not the fact that they can't do payroll. It's getting the, you know, the cost of payroll talent compared to outsourcing is, you know, night and day. And so a lot of people What was that?

Jennifer Strand: And people are scared. I said, "And people are scared, right, Mark?" I mean, they they're like, "I can't make the 941 payment."

Mark Vignolo: Yeah. Yeah. I mean, you know, I am ADP. I will save your world. You know, you you will not get sued. Everything is good. We'll make your deposits.

00:00:52

Mark Vignolo: I mean, I've seen companies, you know, miss their payroll quarterly tax deposits. The the payroll person just went, "Oh, I forgot that." Yeah.

Jeff Doolittle: Wow, that's a big deal.

Mark Vignolo: Yeah.

Jennifer Strand: Yeah.

Mark Vignolo: If you do payroll, that's a big deal. That's literally what you do.

Jennifer Strand: Yeah.

Mark Vignolo: Um, so what is happening is a lot of people are going to the ADPs or the like. I mean, ADP is the biggest one out there.

Jeff Doolittle: Yeah.

Mark Vignolo: And if we could have a I mean, I get it. we might want to build out a whole payroll system and everything like that. I remember what building the last one felt like and it was hard. It's big. There's there's a rule in 10 ways to break every rule. And so, you know, the idea of building something fresh literally scares me to death. So, I would I would say one thing that would be great is if we could somehow meet in the middle with like an ADP or something like that and be able like if a customer wanted to use ADP today, they key in their time cards into Vista.

00:02:07

Mark Vignolo: They would then export those time cards out. They would charge them to probably job cost at fixed rates because heck, I don't know what they were actually paid. And then they would post some GL adjustments for getting those people paid. Now, you know, that that's fairly easy for the but like we have to do this whole export thing and we there is absolutely nothing coming back from EDP. If we could do just a little bit more on that to build better integration with them pro probably they would be the best one on the block for that and we already have partnerships with them that that would just move us light years out of the starting point and today I have to go through this long explanation to explain how you can do this with ADP. I mean, we have customers that come in that go, we use ADP today or another payroll service, and that is not changing. Now, there's still there still is benefits that ADP doesn't do. ADP is lousy when it comes to union reporting and is lousy when it comes to prevailing wage reporting and certified.

00:03:20

Jeff Doolittle: Yeah.

Mark Vignolo: So, we would I mean, if we can get all the information back, we're still good. We got it. Now there there are some things about like liabilities how they'd be calculated against. I mean I'm an old school Vista guy. I know how everything works over there. In my mind that is the way we need to build it done. But I think we need to build a better integration with third parties because people will use third parties. And my understanding is Prism is going to start down market and a down market is not going to have their own payroll department.

Jennifer Strand: That's what I wanted to ask. Who is our market?

Mark Vignolo: I mean they they will have somebody set called payroll but that means that's the person

who calls ADP.

Matt Barry: Yeah, they're going to lean they're going to lean on a service more than any of our customer base.

Jeff Doolittle: Right. Yeah.

Mark Vignolo: Yeah.

Jeff Doolittle: To your point about how expensive it is to get good payroll resources.

00:04:16

Mark Vignolo: Mhm.

Jeff Doolittle: So, absolutely for small business. Yeah. Trimble Financials Prism is targeting 10 or less employees currently as the starting point and then of course it'll move from there to the 10 to 50 realm in the you know how soon I don't know uh you know measure it in quarters uh not years it's going to be relatively soon and so we're following a similar trajectory with this project it's going to be whatever they need then this is going to provide for the same target market so it's definitely that you know owner operator who's kind of starting to grow their business, but is definitely that that smaller scale.

Matt Thurber: You said you said 10 um 10 employees mean under 10 million GAR, right? Not not employees.

Jeff Doolittle: I thought it was 10 employees or less. Is it 10 million or less?

Matt Thurber: Yeah. Yeah. 10 million or less. Yeah.

Jeff Doolittle: Okay. Well, yeah, I've heard I've heard both, actually.

Matt Thurber: But uh but realistically, yeah, the 10 employees or less, that's the I don't call under under a million car.

00:05:10

Matt Thurber: But sorry, I thought you swapped out.

Mark Vignolo: I I mean I I heard this one a while ago when I was talking to them.

Matt Barry: That's a good clarification. Matt

Mark Vignolo: I I'd be quite surprised because those are the people who go to um QuickBooks and you know again who who do you know QuickBooks advertises in the Super Bowl?

Jeff Doolittle: Yeah, we do.

Mark Vignolo: We don't. We do have a NASCAR though too.

Jeff Doolittle: We have a NASCAR.

Mark Vignolo: But yeah, it you know it I just I I'd be surprised. I mean I know this is kind of how we have to start growing and build it up. You know the the question is are we looking to build it up to an enterprise solution in the long run?

Jeff Doolittle: I I believe that is the goal. Now that's challenging to do. It's hard to have one solution that works for small business and works for large enterprise. But there are there are elements of the system that you know could be shared.

00:06:05

Jeff Doolittle: And so that that is how we're looking at it is what are the things that could be common and

shared and then what are the things that need to be different. You know just the just the data collection and data entry processes are going to be very different for a large enterprise versus a small owner operator shop.

Mark Vignolo: Well, I mean that that that that's not my call. Um, but I will say that if you do go down market, absolutely guaranteed you need strong integrations with an ADP or something like that.

Jeff Doolittle: Yeah. You'd say even more so with the down market to to need to have those integrations.

Matt Barry: There we go.

Mark Vignolo: Yeah. Oh, yeah.

Jeff Doolittle: Yeah.

Mark Vignolo: I mean, uh, a payroll person with experience worth their salt in most markets is about \$160,000 a year. a um a you know a person who um you know ADP is going to charge them maybe 10% of that a year and they and they don't miss anything you know well they say they don't

Jeff Doolittle: Yeah.

00:07:11

Mark Vignolo: but you know that's I mean that's I mean and then al also you know again if we had the cost and the time it would take to build out all the complexities in payroll. You know, you you've you've got it. They they have the research teams. They come out with stuff the moment it comes out. You know, I I think we'd be foolish not to just build on that partnership.

Matt Thurber: Yeah, on that on that topic of um the three of you guys have probably had varying exposure to customers running ADP and stuff. Would what would you say is their is their satisfaction rank with that certain vendor? Like would you say it's it's it's fairly successful across the board or it's uh complaints you know across the board in terms

Mark Vignolo: I haven't heard any m I I mean I know a lot of people are with ADP. Whether or not that's because they're the best or you know they're like McDonald's. They're just everywhere. I don't know. I mean I I I think you know what they do is pretty basic.

00:08:14

Mark Vignolo: It's solid and so I don't I I can't I mean and they are multinational. So it's not like you know if hey you know I've got a small crew going out to um work in Bermuda or something like that. You know, small companies probably won't, but if you did, hey, we got that, too. Done.

Matt Thurber: Yeah, they're they're definitely the biggest.

Jennifer Strand: I think the thing that What I've what I've seen in this what I've seen in a sales cycle a lot when you've got ADP or paychecks or fill in the blank is people will tell you at the beginning

Matt Thurber: Sorry.

Jeff Doolittle: Yeah.

Jennifer Strand: of a sales cycle, right? Like, oh yeah, we want to bring everything in house, right? Like they have this idea that it would be better for them to do that because there are I think there are some legitimate reasons why which we can talk about in a minute. But what I almost always find is once they start peeling back the onion to see all of the things, they start backtracking and then I I I will I have often seen not often.

00:09:21

Jennifer Strand: I don't want to say often, but I have been in sales cycles where we will have lost a deal. This is on the procontractor side of the house, just to be really clear. This is not Vista. This is on the procontractor side, right? Well, we will have lost because while we did have an integration with like an Atrix who will do the tax forms, they still really love that idea of somebody has to make sure that that deposit is made by Wednesday so that funds are there by Friday.

Jeff Doolittle: He's putting it mildly.

Jennifer Strand: The federal government is not very forgiving about being late.

Mark Vignolo: Nope.

Jennifer Strand: So people Yeah. Uh, so that's why I'm saying I wanted to make the point that sometimes people will tell you that they want to get rid of it, but at the end of the day, it's not all that realistic.

Jeff Doolittle: Interesting. What I maybe lean into that a little bit more because you know maybe you're using Vista and you're not using ADP.

00:10:17

Jeff Doolittle: So why is what is causing a company to say we're going to do it ourselves instead of outsourcing that piece to ADP or another large provider.

Jennifer Strand: I think about it like because one of the things I wanted to ask about too if we're doing under 10 million GAR are we going for commercial are we going for contractors that are doing federal contracts right because then you start getting into complexities in payroll that ADP I mean I have seen them do it but it becomes very the amount of setup and the amount of reconciliation a company does they they might be better doing

Jeff Doolittle: Sure.

Jennifer Strand: it internally right but that that's a special kind of contractor, right? Certified payroll, the uh weighted overtime rate, right? Like when you start getting into that complexity, then it makes sense to bring it in house in my opinion.

Mark Vignolo: Yeah, but I mean the the good thing is, you know, they cover the overtime rules, you know, things like that, but like things like prevailing wage rules, they may not.

Jeff Doolittle: Well, that's something ADP is never going to give you, right?

00:11:12

Jeff Doolittle: Yeah. Right.

Mark Vignolo: And so that's where you you know I think personally if we had to go back and rebuild Vista right now. Let's make it best of both worlds. You know, let's do let's act like Vista is a bolt-on to an ADP. Let them do the leg work and we do the extra stuff on there to make sure you can get all the other stuff done.

Jeff Doolittle: So the leg work to clarify what they would do. Just make sure we're all on the same page. They would do all the earnings deductions, tax calculations.

Mark Vignolo: Mhm.

Jeff Doolittle: We would focus on making sure that the wage rates are calculated correctly. And then we would also do the other things we do like job costing and you know being able to track to GL accounts and say this equipment was used these sorts of things.

Mark Vignolo: Yeah.

Jeff Doolittle: So that's kind of the separation between the two or or do you see it a little differently?

Mark Vignolo: Well, like like today we just send time cards out so we know like where everything was charged to and like their hours and their days and all of that.

00:12:04

Jeff Doolittle: Yeah.

Mark Vignolo: We don't bring anything back. We don't bring the calculations back. Now, as Natalyia is probably thinking quietly there, probably yelling at me right now is going, "Oh, Mark, it's great to get the total of it, but how does that apply across all the time?" And, you know, I don't know if we'll ever get that back from ADP. You know, how much did I calculate per time card so I can track that back to the jobs? I don't know if we could ever get anything like that, but it would be interesting to see.

Natallia Prokin: I don't know. It would be awesome to see, but I don't think since, you know, I think um ATP just aggregates data when they do calculations because they don't care about time.

Mark Vignolo: Yeah.

Natallia Prokin: I doubt that we will ever have this liability distribution. Um, which is important because that's how you do proper liability distribution back to the jobs. Let's say you have a guy that splits time between two jobs and um now we have to distribute his uh fuy and sui right um over to those two jobs unless you I mean I just can't all these

00:13:05

Mark Vignolo: Heat. Yeah.

Natallia Prokin: um all these services normally don't um do job costing right for you. So they don't do this distribution either. Um the only way I can see this happening if you do the calculation um back in you know in in our software but then the problem is it it significantly increases the complexity level that we have to do the calculations have to be done here then and I don't know how else we can accomplish that.

Jennifer Strand: No, I know how we can do this. Natalia, listen now. It's a big dumb idea, but just hear me out.

Natallia Prokin: Okay.

Jennifer Strand: You ready?

Natallia Prokin: Yes.

Jennifer Strand: We have Trimble Payroll Service. Yeah.

Natallia Prokin: Oh, I don't know. What is it?

Jennifer Strand: No, because here's what I'm thinking is payroll service and I'm I mean I'm I'm half kidding.

Mark Vignolo: You're you're you're such a marketer. I came up with the name. Everybody else fill it up.

Jennifer Strand: I mean I mean well I'm sort of serious but because here's where my here's where my brain goes.

00:14:20

Jennifer Strand: How do you take tracker and say listen we have this amazing tool for you to capture all of your time but we've got to collect that time internally right like we have to collect that time. Like I mean I'm

sure my brain doesn't isn't wired for how those kind of technologies work together with a third party but I will tell you that foundation has a payroll server. They literally call it construction payroll for construction. Payroll for construction and it is lit. I mean this is people talk about how automated QuickBooks is because it does it all for you. That's not QuickBooks, right? I mean that's a that's a payroll service, right? They just market it as a part of their package. That's what we need. Can we just make that?

Mark Vignolo: Yeah.

Jennifer Strand: Let's just start up a new business line.

Mark Vignolo: Yeah. They they have essentially QuickBooks has essentially their own ADP built in that runs their software and and guess what? You click on it, you pay for it.

00:15:18

Mark Vignolo: You know, it's it's it's marketed by the individual pieces that you want to use and click to buy it right in the middle of the software.

Jeff Doolittle: Yeah.

Jennifer Strand: Exactly.

Natallia Prokin: I I I agree with you, Jennifer.

Jennifer Strand: Yeah.

Natallia Prokin: If we could have something like this, then we solve everything, right? Then we have um we solve the problem of the smaller customer that cannot afford a true payroll person and at the same time we process everything in house. So we don't have to deal with integrations, right? We just and we don't have to build these calculations ourselves. If if we ha if we find somebody that can plug into our solution and we can market it however we want and then just do it for them. What's important to customers is that somebody's taking care of that of their liability, right? Somebody's doing all this work for them and it's super easy on the front end. It's dummy proof for this bookkeeper level user they have that they call payroll. Um, and that's really something pretty much There you go.

00:16:15

Jeff Doolittle: Did we just completely switch from outsource it all to ADP to do it all ourselves in house? Did that just happen?

Mark Vignolo: Oh, I well I'm taking it a step further. Trimble payroll services powered by ADP. So now I'm going market

Jennifer Strand: Oh, somebody call.

Jeff Doolittle: Okay.

Matt Thurber: It' be a white label, but it's still an integration. Yeah, that was that was also my idea.

Jennifer Strand: I see an acquisition.

Natallia Prokin: I I mean, we probably want to make money on this. So, if we if we integrate with ADP, I doubt that we'll be able to keep much

Mark Vignolo: Yeah. But but but the problem is on the other side, we have to build it. Now, the small companies, the reason why they love the ADPs, you know, hey, I'm, you know, we're we've got a small job that we just got in um Utah. I have no idea the tax situations there. Unlike Vista where we say, "Hey, you send your payroll person to go figure it out, then you put the numbers into Vista."

00:17:12

Mark Vignolo: They're not going to do that. They want to say, "We're going to Utah. What are the Utah tax tables?" Thank you.

Jennifer Strand: There we go.

Mark Vignolo: It and and that that's what the smaller companies need. They need the service, not not not the expert.

Jeff Doolittle: Yep.

Natallia Prokin: They Oh, I agree.

Mark Vignolo: They can't afford the expert. They need the service.

Natallia Prokin: And I mean if we if you can offer them everything under one roof that's what people will be will willing to pay for for sure actually that idea um Jennifer K I've heard

Jennifer Strand: as a burnness. Another profit center for Trimble.

Natallia Prokin: that idea maybe a year ago or so from uh HR so we were we had a product meeting I don't remember what was all about But HR folks um as in Sheree and them were suggesting that one way to make money for Trimble um you know in terms of services that we offer is to do a payroll service of of that nature.

Jennifer Strand: I just uh I put foundation.

00:18:20

Mark Vignolo: Okay.

Jennifer Strand: I'll put this is you'll see it. It says payroll for construction, a foundation software company. So anyway, if you're just curious to see how they do it, there's the link.

Jeff Doolittle: H.

Matt Thurber: Yeah, I have heard of that one. I I saw I stumbled across another. Yeah, we'd want someone who does like fills in the pitfalls of what ADP can't do with the sending us back the distributions and doing prevailing wage, certified payroll, all all that stuff. We'd want to just find the perfect vendor that would be willing to

Mark Vignolo: The problem is like you know I sorry go ahead.

Jeff Doolittle: If our requirements, sorry, go ahead. I was going to say if our requirement is, you know, we need a provider that will give us data back after they've processed it, well then we go shopping for the provider that meets that requirement. If it's not ADP, then maybe it's somebody else. But yeah, whatever.

Jennifer Strand: Yeah.

Mark Vignolo: Powered by paychecks. powered by a hook or but um I mean the the the the real piece here that I look at is you know we're building you know we've been building the Vista payroll engine for 25 years you know new stuff comes up every day and if you say okay yeah we're talking down market small people guess what they run into all of these things it's Not like, oh, you've got to be a huge company to run

00:19:41

Mark Vignolo: into all of this stuff. Maybe like, you know, working in eight states at once, but even the small company has to pay prevailing wage. Even the small company has to pay union reporting. And, you know, all of these things are are hard to do. I'm I'm worried that if we go to build it all ourselves, it is going to cost an absolute fortune because we got to build it for enterprise even though the small companies are

going to use it.

Jeff Doolittle: Yeah. Yeah.

Mark Vignolo: I mean if if you were to ask me Mark in Vista, what would you take out to make it go down to the smaller markets?

Jeff Doolittle: We're absolutely looking for those opportunities.

Mark Vignolo: I I there there's nothing there that is tied to oh well that's only the big customers do that.

Natallia Prokin: Not really. You're right.

Jeff Doolittle: Yeah. Yeah. Yeah, and that's exactly what we're looking for too is where can we modularize, where can we outsource, what do we already have that we can use, you know, for example, we already have tracker.

00:20:42

Jeff Doolittle: So, do we need to build time card collection again or can we use what we have? And then, you know, same thing with earnings deductions, tax calc, you know, if we could outsource those things rather than building it. Absolutely. There's still the challenge of everything you just said about union and certified. That's the stuff we are going to have to do for ourselves because we're going to have to determine the appropriate wages and and the job costing.

Mark Vignolo: Mhm.

Jeff Doolittle: So, there's still plenty of work to do there without doing everything else too, right?

Mark Vignolo: Yep.

Jeff Doolittle: Great. Uh, any other questions?

Jennifer Strand: When are you going to have this ready?

Mark Vignolo: I feel like we didn't tell you anything.

Jennifer Strand: Next week.

Mark Vignolo: We just gave you a name for it.

Jeff Doolittle: When are we going to have this, Jennifer?

Matt Thurber: Guess last last question before we do jump out just to again pull from a uh the first sales interview sales context interview we've done.

Jeff Doolittle: Is that what you asked?

00:21:25

Jennifer Strand: Next week we'll just roll this right out.

Mark Vignolo: They have a sample version for us.

Jennifer Strand: Let's go.

Mark Vignolo: Beta

Jeff Doolittle: We'll just we'll vibe code it. We'll let the AI generate a payroll system. It'll be great.

Jennifer Strand: Yeah.

Matt Thurber: If if there was this this magical perfect um parallel as a service that was sold by the employee, what percentage customers do you think would buy it? And what what do you think the market would bear for price? Like is it something you could sell per employee? You're buying it for whether it's 10 or 100 or a thousand employees.

Mark Vignolo: You can you can charge as much as um QuickBooks.

Matt Thurber: That's that's a good Yeah, it's a good point.

Mark Vignolo: I I don't know what that's going for these days.

Jennifer Strand: more.

Mark Vignolo: I just know you get the small customers, it's going to be extremely price conscious. You know, they're they're not going to go looking at all the features. They're going to say, "Who's cheapest?"

00:22:20

Matt Barry: I think you do it I think you do it a little bit more because we got the you know the prevailing wage aspect of it all as well. You know, we're we're union compatible.

Natallia Prokin: Yeah.

Mark Vignolo: Yeah, but they they can do all those things.

Jeff Doolittle: Yeah.

Natallia Prokin: food that QuickBooks QuickBooks have no job costing.

Jeff Doolittle: Union certified job costing. Hopefully you could upsell those things.

Jennifer Strand: EO recording quicks.

Jeff Doolittle: Who can QuickBooks?

Mark Vignolo: I mean, that doesn't mean that and you know there's shortcuts all over the place. Nothing is perfect, but they have all of those things.

Jeff Doolittle: Sure.

Mark Vignolo: There's a job cost bolt-on to it. I think I've always been told there is.

Jennifer Strand: their certified payroll report is a report of hours on the jobs so people know how to fill out the certified payroll report.

Jeff Doolittle: Here's a Good though.

Jennifer Strand: Well, okay. Wait, that is like eight years ago, nine years. Like I haven't touched quick books for a long time. So I better put that out there as a disclaimer.

Mark Vignolo: Yeah, it means about 10 years, but there is a job cost add-on you can have for the QuickBooks. Is McDonald's a good hamburger? There's a lot of them.

Jennifer Strand: If you like your chart of accounts to be your job cost report.

Mark Vignolo: I mean, bottom line is they sell a lot of it and we convert a heck of a lot of them when they get a little bit bigger.

Jeff Doolittle: Yeah. Yeah. Yeah. Absolutely. Appreciate your time

8/27

Trimble Financials Payroll - Stakeholder Interview

Invited Shakyma Edwards Natallia Prokin Matt Thurber Nathan Chapman Neil Cadsawan Jeff Doolittle Alexander Farrell

Attachments

Meeting records

Summary

Nathan Chapman, a Product Manager for Spectrum ERP, detailed Spectrum's comprehensive payroll process, from time card entry to direct deposit, and highlighted the challenges in construction payroll, including the complexities of union wages and compliance. Nathan Chapman, Natallia Prokin, and Matt Thurber discussed current support, areas for improvement like processing time for large payrolls, and the geographical scope of Spectrum's tax support. The primary pain point identified by Nathan Chapman and Natallia Prokin was payroll corrections, for which Natallia Prokin proposed an ERP workflow solution.

Details

- **Spectrum's Role in Construction Payroll** Nathan Chapman, a Product Manager for Spectrum ERP, explained that Spectrum covers the entire payroll process from time card entry to direct deposit. They noted that time cards can be entered directly into Spectrum or through external tools like Track Sparrow, which push data via web services (00:01:15). After approval, the information is transferred into a payroll cycle, calculating checks and creating a Nacha file for bank transfers. This Nacha file is then uploaded to the bank for employee payments (00:02:16).
- **Challenges in Payroll Automation** Nathan Chapman clarified that while Spectrum produces Nacha files for bank transfers, customers have not automated the uploading process. They indicated that banks sometimes do not strictly follow the Nacha format, making automation difficult. Natallia Prokin added that using Nacha files is very inexpensive or free for customers, whereas alternative file transfer options offered by banks often incur significant processing fees (00:03:16).
- **Complexity of Construction Payroll** Nathan Chapman highlighted that construction payroll is particularly challenging due to the need to account for union wages, varying wage levels, and benefit packages, especially for state or federal work involving prevailing wages and the Davis Bacon Act (00:06:01). They further explained that deductions, calculations like 401k, and cash fringe benefits add complexity, making it a stressful process with strict deadlines, particularly with union requirements for immediate payment upon layoff (00:07:11). Nathan Chapman also mentioned that the high volume of time card lines per employee, especially with multiple jobs and unions, significantly slows down payroll processing in Spectrum for larger customers (00:09:40).
- **Spectrum's Current Support and Areas for Improvement** Nathan Chapman emphasized that Spectrum simplifies payroll by enabling external tools to send payroll data via APIs and web services, making integration easier (00:08:19). However, a key area for improvement is optimizing the processing time for large payrolls, which can be slow due to the extensive calculations involved with numerous time card lines, especially when dealing with unions and multiple jobs (00:09:40).
- **Geographical Support and Scope Narrowing** Nathan Chapman stated that Spectrum primarily supports payroll in the US and Canada from a tax perspective. They noted that while customers in other countries use Spectrum, they must manually enter tax information, and certain functionalities like Atrix or Nelco would not work for those jurisdictions (00:11:35). When asked about narrowing the scope for a fresh start, Nathan Chapman suggested initially focusing on basic payroll functionalities, excluding the complexities of unions and prevailing wages, and prioritizing mobile time entry and automated direct deposits (00:12:46).
- **Challenges of Compliance and Multi-State Payroll** Nathan Chapman explained that construction payroll complications stem from both wage calculations and compliance/reporting. They pointed out that union rules and prevailing wage calculations vary significantly by region and state, making compliance complex. While electronic formats for certified payroll reports exist, they often come at an additional cost, leading some users to prefer traditional paper reports (00:14:54). Nathan Chapman and Matt Thurber discussed that multi-state payroll, especially for companies operating in states with unique requirements like state disability charges, adds another layer of complexity, often requiring a higher skill set for payroll professionals (00:17:41).
- **Pain Points and Proposed Solutions for Payroll Corrections** Natallia Prokin asked about common customer complaints regarding payroll functions in Spectrum. Nathan Chapman identified payroll corrections as a major pain point, noting that mistakes such as incorrect payroll dates, voiding checks, or reissuing checks frequently arise and cause significant stress for payroll staff due to tight deadlines (00:23:17). They suggested that more flexibility and guidance in making corrections, particularly for issues that don't alter the net check amount, would greatly ease the burden on support and customers. Natallia Prokin proposed that an ERP workflow that guides users through correction processes with

targeted questions could be highly beneficial (00:24:23). Nathan Chapman agreed, advocating for a balance between the extreme flexibility of systems like QuickBooks and the rigidity of Spectrum, allowing for necessary changes like retro pay while maintaining data integrity (00:25:31).

Suggested next steps

No suggested next steps were found for this meeting.

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Transcript

Trimble Financials Payroll - Stakeholder Interview - Transcript

00:00:00

Jeff Doolittle: right, I'm gonna ask questions that I may know some of the answers to, but we want to feed the transcription. So, let's start with Nathan. Tell us what you do at Trimble and how it relates to construction payroll.

Nathan Chapman: Uh yeah, I mean uh I'm a spectrum product manager as a spectrum ERP and so kind of before you know product I was in uh support for a long time and was kind of like a considered a one of the payroll you know subject matter experts and prior to that point I was actually a auditor and did a lot of auditing of construction payroll for years and other you know other auditing of you know reviewed a lot of payroll anyway. So so I've uh you know definitely and now kind of just you know still we have to update payroll stuff in spectrum and work on features year end all that. Yeah.

Jeff Doolittle: Okay. Let's talk about what aspects of the the payroll process spectrum covers and if there's any other you know tools or or applications that may be involved in the process of payroll from you know all the way from collection all the way through you know processing and and disbursement.

00:01:15

Jeff Doolittle: Can you give us a flavor of kind of how how like what spectrum does in that in those workflows? Like does it do everything or are there other pieces used for like data collection or or payments or things like

Nathan Chapman: All right. Yeah, I mean you can uh you know from starting from the beginning I mean you can enter you know time cards and uh into spectrum directly or you can uh you know use tools like uh track sparrow to enter enter time and then uses uh the web services to push that information into the time card you know different tables that uh populate that. Uh from there, you know, the uh you know, probably reviewed by, you know, payroll people to make sure all the information is entered correctly, people haven't missed any time. Uh you know, that gets approved and then that's uh then transferred into a payroll cycle. Uh and uh you know, again, hopefully, you know, getting reviewed and you know, when they're ready, they start uh start to process uh start start processing payroll.

00:02:16

Nathan Chapman: So they'll go in and uh uh calculate out the calculate out the checks uh uh the u you

know do any any adjustments that may needed may be needed for those checks. They'll go ahead and print out the checks or create the file that gets sent uh to the bank. So an a you know a file goes off to the bank uh so that people can get paid.

Jeff Doolittle: When you say goes off to the bank, can you like exactly how does it go off to the

Nathan Chapman: Uh so yeah it's it's a through a nacha file. So they'll produce a produce a nacha file you know create that format. Um it it produces that that nacha file you know with the information for the employees that are getting paid and that amount of the check. Uh then that information is then take you know that file is then taken to their bank and uploaded it uploaded it all based on that nacha you know nacha format.

Jeff Doolittle: Okay. So they switched to their banking application basically in some fashion to upload that Nacha file to the bank.

00:03:16

Jeff Doolittle: Have have any customers automated that to your knowledge?

Nathan Chapman: Correct. Uh, no. I mean, I think there's probably, you know, there probably some that, you know, may not even really, you know, maybe the It just all depends on the bank, you know, in, you know, if they're taking that nacha format or, you know, a lot of times what we see is sometimes banks don't even really follow that nacha format and, you know, some even the standard nacha format's not working. But, you know, for the most part, I don't believe that they are. Um, you know, I I haven't really heard of anybody automating that uh process really.

Jeff Doolittle: Yeah. Okay, that's fine. Yeah. And Natalia just said it sounds very similar to how Vista handles this, which which makes sense cuz payroll is payroll.

Nathan Chapman: Mhm.

Natallia Prokin: One thing to keep in mind with this matcher process, it's um free or very inexpensive uh for for customers. um other options that bank have it's called instead of using a nacho file you can do file transfer and I think some of the softwares uh use that and it may be a simpler uh file to create because it's less restricted right it's more like instead of that uh uh format that's that's very specific and hard to read it's more like a dump of data but that process to process that file, your bank will charge you.

00:04:40

Natallia Prokin: And as a customer of Vista, um when we switched to Vista, the fact that it was we were on weekly payroll, the payroll was not very large. We had right under 300 employees, so not a huge customer. Um, and then we were able to save 2,000 back then almost \$2,000 a month in uh in processing fees for direct deposit by being able to utilize Nacho file format because it's next to free um as opposed to

Jeff Doolittle: Right.

Natallia Prokin: using that bank file transfer process. So something to keep in mind.

Jeff Doolittle: Okay. Good to know. So, Nathan, what makes payroll hard and what makes construction payroll hard in your experience?

Nathan Chapman: Well, I mean, you know, it's interesting. Uh, you know, payroll isn't really, uh, I wouldn't say people go to school, you know, to become payroll, right? For the most part, like, you know, you get an accounting degree, right? You know, you don't necessarily want to, you know, maybe handle payroll. So I think a lot of people that end up handling you know payroll you know either either have to learn how to do

it they get trained by somebody you know or it's another area like you know the controller takes payroll as well or you know somebody or you have a payroll manager but a lot of times they work their way up into it.

00:06:01

Nathan Chapman: So sometimes you may not have the most sophisticated accounting type knowledge in that role. Um, but then on a day-to-day basis, you know, if they're just sitting there trying to, you know, collect time cards, uh, you know, track down time cards, get time, uh, you know, it's one of those jobs you got to be there either every week or every other week. You know, you can't, you know, you gotta you got to be there to process it. I mean, it just, you know, it's kind of a could be a bit of a stressful role, but um, you know, there's a lot of a lot of kind of manual, you know, a lot of day-to-day type, you know, aspect to it. Uh but you know really you know uh what really I think makes construction payroll harder than like you know just a totally you know salary based you know payroll is you know you're entering hours uh you know you have to look at the wages and then with uh a lot of construction you know you can get into the unions and they have different uh wages you know different wage levels benefit packages um all all that right uh and uh you know then Even more complicated is when when it starts to be like state or federal work where they have you know the prevailing wages, Davis Bacon Act, uh you know that and then trying to

00:07:11

Jeff Doolittle: Yeah.

Nathan Chapman: get those you know that you know th those different uh you know wages calculations into the payroll because a straight up just hours and a rate you know is your gross type payroll you know would be fairly you know fairly simple but then you throw in the you know deductions like you know 401k deduction 401k calculations, pre-tax after, you know, after tax type calculations, add-ons, you know, where they're adding, you know, for, you know, either trying to, you know, like cash, you know, they're trying to, you know, cash uh type uh fringe benefits. I mean, that's where I think a lot of the construction payroll gets complicated. And then you know if it's a large you know construction company a lot a lot of employees a lot of you know increase you know it's a lot of work to to process it each week and if something goes wrong uh it's pretty stressful right you know because people got to get paid it's one of the one areas I think you know where it's uh you know deadlines are very strict in you know in that job anyway and you know with unions they can even require people get within a couple hours.

00:08:19

Jeff Doolittle: right?

Nathan Chapman: They must they must have an actual check if they get, you know, laid off. And it's just it's one of those, you know, can be uh it's just, you know, not as uh easy as again just a standard, you know, like just a, you know, uh salary type, you know, company.

Jeff Doolittle: Yeah. How does Spectrum help construction companies simplify their payroll processes? And then if there was one thing you could do to make Spectrum do that better for customers, what would it be?

Nathan Chapman: Um yeah, I think you know one thing that's you know pretty pretty nice is you know that we do have the means of you know sending in uh payroll via you know or you know APIs web services you

know so you can uh any any tool that can pretty much take that you know format you know that uh you know API format can uh you know use that to actually send that you know send that information like you know I you know like tracker is using our web services to send that information you know so it makes it for a bit easy to integrate with other you know or you know if if you have the knowhow anyway to be able to integrate you know with different systems so I think that's definitely one area we do pretty good I think something that you know definitely can be improved in spectrum really is that if

00:09:40

Nathan Chapman: you have large you know large payrolls a lot of employees you know with the unions all that uh you know all those calcul calcations. It can, you know, when you're calculating checks, sometimes for some of the larger customers, that processing time can can be uh can take take a bit of time to to process. So, people are, you know, um having to sit there while it's processing. And, you know, if that was faster, I think, you know, that we, you know, help help a lot of customers.

Jeff Doolittle: This may be a technical question, but maybe you know the answer. Do do you know if there's any parallel processing happening there? Or maybe it's just doing one employee at a time and maybe that's partly why it's slow or is it just slow per employee and that's just the way it is.

Nathan Chapman: Yeah, I mean with an employee if they have uh you know if they're doing like a weekly payroll they have uh however many time card lines you know they have uh they they you know like they have working maybe let's just say even three jobs you know they have three different time card lines for each day uh you know and then whatever times you know five or you know six seven for a week.

00:10:47

Nathan Chapman: Um, that's all those time card lines. And then if you have unions in there, they have two or three different unions that kind of doubles, triples, you know, quadruples all those time card lines. So some of these customers that are large have unions work on multiple jobs in the week. Um, different pay rates, you know, all that. Like, you know, your time card lines could be, you know, really start to grow. And then so in the spectrum, it has to go through and calculate, you know, you know, calculate and create all these time card lines. And I think that's uh one of the one of the reasons why it can can be can take some time for some some customers and there's really no way to really you know you know that there's no way

Jeff Doolittle: Okay.

Nathan Chapman: there's no fast button I guess right you know there's no way to you know unless they're like getting kind of like a record lock sometimes you know it's hard to tell because you're sitting there waiting and you can't

Jeff Doolittle: Right.

00:11:35

Nathan Chapman: really tell you know maybe like they're somebody's now trying to mess with a employee file and you know it's trying to write to that same table so now it's just and they're waiting for you to get out of that table. So, sometimes it's hard to tell, you know, it may not, you know, may may not be that they're um you know, may not just but sometimes it just just takes takes time, you know, to go through all that.

Jeff Doolittle: Yeah. Yeah. What countries and jurisdictions does Spectrum support.

Nathan Chapman: Uh mainly uh it is uh US and then we also have Canada. Um there are some customers that are you know located elsewhere in the in the world you know the the Hong Kong or I've heard of you know UK uh some of some of the southern South American countries Central American countries as well um you know so you know Bermuda uh but you know for the most part you know really the the ones that we from a tax perspective would be US and Canada that we're we're uh supporting somebody could do other countries, but then they would have to um kind of manually enter, you know, those tax tax code, tax rates, all that.

00:12:46

Nathan Chapman: And then some of the, you know, like for example, Atrix or um Nelco wouldn't really work for those other jurisdictions. So, they can do it, but you know, there's some, you know, asterisks to that, you know, for other countries.

Jeff Doolittle: Yeah. If you were starting fresh, how would you narrow the scope? Like what would you start with as far as you know what what elements are critical and then maybe narrowing the target market and the target capabilities to come up with something that's useful but doesn't necessarily check all the boxes from the get I mean of course eventually it has to check all the boxes but like where would you start? How would you you know eat the elephant one bite at a time so to speak?

Nathan Chapman: Yeah, I think uh you know maybe not getting into the um unions and you know maybe the prevailing wage type you know at first anyway would be my my thought. um you know kind of those are the areas it gets gets more complicated you know but then you're also then limiting yourself to you know you know those those customers that can't now really you know they have to have all that um but yeah just just anything like just just basic you know the having a good way of you know mobile you know entry of time having that information you know send in you know the hours

00:14:06

Nathan Chapman: wages employee information accumulate that um you know calculate uh produce the you know produce the check or you know you know auto deposit you know some you know figure out how to not have to make that NACHA file or touch the NACHA file you know I think that would help customers if they didn't if they had a you know that automated where they just got the file they didn't have to go set it up you know

Jeff Doolittle: All

Nathan Chapman: test it out I mean you have you have to do some of that because you know you got to make sure that the person's bank account you're you're taking or this is my bank account, it's my routing number. So, you have to test that. But, you know, if they didn't have to actually handle that, you know, nacha filed, I think that would be, you know, helpful that they can get something that works, you know, works out of the, you know, from the

Jeff Doolittle: right.

Nathan Chapman: start pretty much. Um but yeah and then you know then start to tack on some of the you know the other you know the other needs you know of uh you know certified payrolls um you know prevailing wage unions um you

00:14:54

Jeff Doolittle: Great.

Nathan Chapman: know then those would be like the the future steps

Jeff Doolittle: Yeah. From your perspective, how much of the complication in those areas relate to the calculations of wages versus how much of it relates to compliance and reporting or is it complicated in both realms?

Nathan Chapman: Yeah, I think it's complicated in in both realms really. You know, unions vary so much from, you know, across the country. You know, one union on the west coast is way different than, you know, New York, you know, union, for example. They just have different ways that they uh you know different ways that they are are handling those you know and similar there's different ways that prevailing wages are calculated in different states. um you know uh one thing that's nice with certified payroll is uh you know there's those uh electronic formats that now are you know out there you know but some of them cost money and you know people don't want to pay extra money for those you know but those integrations I think are are pretty helpful to you know not have to stay on top of a lot of that compliance really you just match your format you know you you get the format ready and then you can send it off to those you know different uh tools but you know again people don't want that always and some people still need actual paper certified payroll reports,

00:16:26

Nathan Chapman: you know, which is interesting in this day and age, but

Jeff Doolittle: Yeah, absolutely. Any questions from the rest of the group? Come on, guys. Thanks.

Matt Thurber: I'll uh I'll jump into to the quiz Nathan here a little bit. I guess um you mentioned some of the complexities of of the construction payroll there. Is there any like like I said more uncommon but common enough kind of like one-offs that people have had over the years like Spectrum's had to tweak because of this the state has this crazy rule over here and you know there's all the ongoing obviously we know ongoing tax you know changes and law changes and all that stuff um coming out every year but is there any kind of like I said any oneoffs that that aren't really one-offs but they need kind of you know they've had constant tweaking the spectrum over the

Nathan Chapman: Yeah, I mean one of our large customers, you know, uh happens to work in three different states, I think, and they all have it happens to touch these uh state disability, which, you know, there's only a few states that actually have that charge employees for disability, you know, insurance.

00:17:41

Nathan Chapman: And just you know a complication of it is that we we've never really been able to handle multiple states that have you know these that charge you know for state disability. It's easy if you have one state, you know, employee in one state, but yeah, that kind of the um, you know, larger companies that are doing multi-state payroll, you know, definitely uh, you know, the tax jurisdictions, who gets taxed, you know, how how that all is handled is another, you know, another we handle multi-ax multi-state decent, but even then, you know, on top of that, we still kind of keep, you know, constantly run into these, you know, uh, one-offs that really are important to this large company, but doesn't that seem to come up for some of the smaller ones anyway. You know, they don't really care about it, I guess.

Matt Thurber: Yeah.

Nathan Chapman: But yeah,

Matt Thurber: So that that multi-ate is obviously like another another threshold of like you know further advanced capabilities needed to do multi-state payroll. So safe to say like single state is easier. multistate is is um more difficult.

00:18:42

Matt Thurber: Is is there when you look at like like I said you know enough about about Prism now to to know kind of the beginning customer base and and you know we're trying to start small and grow it into grow into something much bigger both on Prism Trimble Financials as well as on this this payroll system that is going to primarily be used initially for Trimble Financials. I guess when you look at like small companies versus large companies and that let's use that like single state versus multi-state as an example. Is there anything else that there's a clearcut line like we know unfortunately prevailing wage and unions and stuff aren't necessarily big versus small companies. You know it really matters where you a lot of times what area you're working in. You know if you're in an area that's very non-union versus very union or if you're working on federal contracts etc. Is there any other distinguishing like complexities that can be um avoided for small companies?

Nathan Chapman: Yeah, I I can't think of uh you know other ones. if they're small enough, they may not be doing multi-state, but you know, getting in and, you know, learning what what what type of compliance they're they're going to need, you know, all the all the different multi-state rules, you know, and that that's a, you know, a skill set also, you know, for payroll people is to be able to do multi, you know, multi-state type payroll really.

00:20:10

Nathan Chapman: You know, you can have somebody who can just do the basic payroll, but understand the multi-state type rules is gets gets complicated.

Matt Thurber: that involves higher higher skill of the you know the employed payroll individuals as well which which uh like I said seems seems to be a challenge in the labor market nowadays as well is is finding those skilled skilled professionals that become harder and harder to Um

Jeff Doolittle: So to clarify really size is I mean size obviously correlates I would imagine to whether or not you have multi-state and and maybe union and certified but even if you're a small company as soon as you go multi-state or union or certified the same complications apply. Okay. Sounds that sounds like what you're effectively saying is size. Size kind of matters, but it's not the primary factor. It's those other factors.

Nathan Chapman: Yeah, that's it.

Matt Thurber: Yeah, I imagine it's correlated too. It's like multi-state. I mean, there's a heavy correlation with large versus small company. But if you happen to, let's say you're in Portland, you know, you could be working in Portland and Vancouver, right?

00:21:20

Matt Thurber: Right across the right across the border, 15 minutes away, right?

Jeff Doolittle: Yep.

Nathan Chapman: That's it.

Matt Thurber: So, you're working in two states even if you're Joe's, you know, Joe's contracting and two guys in a truck, right?

Jeff Doolittle: Happens all the time.

Matt Thurber: So it's yeah not necessarily just larger companies but is heard yeah Washington and Oregon very different from the the little I know about anyway peril and taxes and and uh

Jeff Doolittle: Right. Right.

Nathan Chapman: That's a fantastic example of a complicated uh you know situation. Payroll actually.

Jeff Doolittle: Yeah. Well, not to get too much into it. There's other ways other companies solve that. like maybe they do a franchise model or they have subsidiaries that are different and they don't they don't cross the streams. It's like you either work today in Washington only or you work today in Oregon only and we don't mix them. But if they choose to mix them, well then there you go. We have to handle it. So if they choose how they run their business, we don't.

00:22:07

Matt Thurber: Yeah. And I feel Yeah, exactly.

Nathan Chapman: Yeah.

Matt Thurber: And I feel like that might again that multi- don't call it a franchise or multi company model might might only come into play for larger companies too.

Jeff Doolittle: Yeah.

Matt Thurber: You know, Joe's contracting. He's just trying to trying to keep busy and make money. And sometimes sometimes you get yourself in the complexities without knowing just because you're trying to trying to do whatever it takes to to get projects and make money before you restructure your company.

Nathan Chapman: Come on.

Jeff Doolittle: Yeah.

Matt Thurber: But

Jeff Doolittle: Any other questions for Nathan? Anything you think we should have asked, Nathan, that we haven't asked yet?

Nathan Chapman: Um, I can't I can't remember actually. Yeah, I can't think of anything off the top of my head here.

Natallia Prokin: I I have a quick question.

Jeff Doolittle: Yeah.

Natallia Prokin: So Nathan, if uh if you think of um you know different functions in payroll that you have in um Spectrum right now and think of one thing that you would want to optimize for any customer like where customers are complaining the most, what what would it be?

00:23:17

Nathan Chapman: Well, okay. Yeah, another kind of trigger was something. Um, yeah, kind of corrections, you know, like payroll corrections, you know, they do kind of come up a lot like if somebody makes a mistake, you know, going in being able to do corrections is, you know, that that seems to be the one area in support that comes up a lot like they need to void a check, reissue a check, you know, they need to make, you know, sometimes it, you know, yeah, wrong payroll dates are entered. Um, you know, so they print a check and it was on the wrong date, you know, so they need to fix that, you know, stuff like that. like

uh you know you know easier means of making corrections. you you can't really you know you can't really make a lot of corre you know sometimes you can't really do a lot with payroll because you know it impacts a previous year or current year you know you know you shouldn't you can't always make a correction but you know sometimes you solving a you know maybe you know thinking of ways that you can actually just if hey it's like a wrong job I quoted a wrong job or you know I forgot to you know make them certified and now I need to make them certified you know stuff like that that you know it doesn't actually change that this you know the check, the total, the

00:24:23

Nathan Chapman: net, you know, anything like that. You know, like some of the some flexibility in in making, you know, making corrections might might go a long way to help to ease uh a, you know, support impact, you know, and then also stress on the payroll people, you know, because they're under the under pressure to, you know, produce and get get checks, get people paid. So you know that that's an area I think that might be uh worth you know at least it's a pain point I think for uh support and also customers

Natallia Prokin: Would you say uh with with with all these pain points in mind, would you say that introducing um a workflow um into a an ERP that basically steps through a correction like a correction they would they would go in and they say I want to make a correction. They uh enter the time card dates or whatever to bring that thing in and then you step users through the workflow with um whole bunch of questions saying what are you trying to do and then having system to system to properly record that correction.

00:25:31

Natallia Prokin: Do you think this would be helpful to the end user and What?

Nathan Chapman: Yeah, I think so. I think that you know the you know there's one extreme of the QuickBooks and then there's the other extreme of you know the maybe the Spectrum Vista where you know super flexibility and then you know zero you know very little flexibility right somewhere in the middle you know because in QuickBooks you know you can probably do whatever you want you know you can go change redo a check you know and now you've altered somebody's you know past checks right you know you don't want to do that but you also you know want to give flexibility that if they need to make a change you know the coded hours incorrectly they need to you know maybe fix, you know, do, you know, maybe a retro pay. They for, you know, they now know that they have to pay, you know, employ a little bit more. I mean, you know, ways of doing corrections and helping people get to that answer, I think would be a good, you know, good way to solve it.

Jeff Doolittle: Okay

8/28

Trimble Financials Payroll - Stakeholder Interview

Invited Natallia Prokin Matt Thurber Neil Cadsawan Ellen Noel Jeff Doolittle Shakyma Edwards

Attachments

Meeting records

Summary

Jeff Doolittle initiated a discussion regarding integrating payroll into Trimble Financials Accounting, with Ellen Noel confirming Vista's extensive experience in payroll software. Ellen Noel highlighted Vista's

strong payroll system but identified the leave system as needing significant improvement, while Jeff Doolittle inquired about the complexities of construction payroll, including union agreements and the "craft and class" system. Ellen Noel also outlined Vista's time card data collection methods, gross-to-net calculation testing practices, and third-party integrations for regulatory reporting, and discussed common customer onboarding challenges and tax coverage with Neil Cadsawan. Ellen Noel, Jeff Doolittle, and Matt Thurber identified a key collaboration opportunity to centralize regulatory information management across Trimble's ERP systems.

Details

- Prism Trimble/Trimble Financials Accounting and Payroll Integration Jeff Doolittle initiated the discussion by introducing the high priority of integrating payroll into Trimble Financials Accounting, formerly Prism Trimble, recognizing that an ERP system is incomplete without it. Ellen Noel, from the Vista Apps dev team, confirmed their extensive experience in payroll software and accounting, having worked on it for 36 years (00:00:00).
- Vista Payroll System Capabilities and Areas for Improvement Ellen Noel highlighted that Vista's payroll system excels in most areas, noting its clear cycle for entering time cards, processing payments, and posting information to other modules. However, they identified the leave system as an area needing significant improvement, as it was developed with limited feedback and has since encountered major problems (00:03:01).
- Challenges in Payroll and Construction Payroll Ellen Noel explained that payroll is challenging due to the immediate need for accurate payments and the continuous regulatory demands from entities like the IRS, which require constant updates to tax routines due to changing state and federal taxes (00:04:24). Jeff Doolittle further inquired about the specific complexities introduced by construction payroll, to which Ellen Noel identified union agreements, including special deductions, liabilities, and earnings, as well as the setup of crafts and classes, as key complexities (00:05:49).
- Craft and Class System for Construction Payroll Ellen Noel detailed the "craft and class" system as a common solution for setting up union and certified wage calculations in construction payroll. They explained that a "craft" represents a union, with various "classifications" (e.g., foremen, journeymen) within it, each having specific benefits and needs determined by the union (00:08:46). Ellen Noel also mentioned that job-specific templates can further influence these setups, highlighting the system's initial setup complexity but subsequent smooth operation once configured correctly (00:09:56).
- Time Card Data Collection and Processing in Vista Ellen Noel outlined multiple methods for entering time card data into Vista, including a remote entry system for supervisors or employees, a traditional time card entry process, and a crew time sheet option (00:11:14) (00:14:12). All methods involve an approval process and validation before the data is pushed into a time card batch, where a payroll clerk can vet and finalize it (00:12:37). Additionally, Ellen Noel remembered that time cards can also be imported, marking a fourth method (00:19:47).
- Gross-to-Net Calculations and Testing Practices Ellen Noel explained that Vista's tax routines are separate SQL procedures, and updates involve creating new routines with the necessary changes (00:15:17). They described the rigorous testing process, which includes code reviews, extensive Excel-based testing spreadsheets that exercise the stored procedures with various data cases, and QA testing within Vista using employee data (00:18:21). Jeff Doolittle expressed interest in obtaining the testing spreadsheet (00:19:47).
- Third-Party Integrations and Reporting Ellen Noel mentioned that Vista integrates with a third-party, Atrix, for regulatory reporting such as W4s, W2s, and various unemployment reports. This integration offloads the maintenance of form changes and regulatory reporting from Trimble, with Vista being responsible for maintaining SQL scripts to gather data for Atrix's flat file requirements (00:20:47).

However, Jeff Doolittle clarified that Atrix does not handle pay stubs, which are managed by Vista, including through the Vista employee portal and email attachments (00:22:49).

- Customer Onboarding Challenges and Tax Coverage Neil Cadsawan inquired about common implementation issues for new Vista payroll customers. Ellen Noel noted that while they are not directly involved with customer implementation, confusion around the Atrix reporting integration and uncertainty about who to contact for report issues are common challenges (00:24:15). Regarding tax coverage, Ellen Noel stated that Vista primarily handles state and federal taxes, avoiding most local tax situations, though they do support some county and specific school district taxes (00:25:35). They also noted that Australia only has federal tax, simplifying matters, and Canada's federal and provincial tax information is published in one document, unlike the "wild west" approach in the US (00:26:55).
- Collaboration Opportunity for Regulatory Information Management Ellen Noel raised a significant concern about Trimble's multiple ERP systems independently handling regulatory information updates. They expressed a desire to explore collaboration across ERP teams, possibly utilizing AI, to consolidate efforts and avoid redundant work in monitoring and implementing tax and regulatory changes. Jeff Doolittle and Matt Thurber supported this idea, acknowledging that other Trimble ERP teams face similar challenges (00:27:59).

Suggested next steps

No suggested next steps were found for this meeting.

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Transcript

Trimble Financials Payroll - Stakeholder Interview - Transcript

00:00:00

Jeff Doolittle: Hey Ellen, thanks for being here. Hopefully it's not completely like out of left field wondering what's going on, but just to give you a quick overview. You've obviously heard of Prism Trimble, which is now called Trimble Financials Accounting. And now the business has decided that it's a high priority that you can't have a ERP system without payroll which some of us kind of already knew but now they want it to get done ASAP. And so we are looking for expertise from subject matter experts and people who've worked on ERP construction payroll before. Something tells me you have some experience in that realm. And so to kickstart, tell us a little bit about what you've been doing, what team you work on, and uh what kinds of work you've done working on that product over the time you've been here at Trimble.

Ellen Noel: Uh yeah, so I'm on the Vista Apps dev team, V Vista Apps product and um so I've been here for quite a while like uh 36 years and uh when I joined the company um the person who was working on the payroll software uh said asked me what module I would have the most experience with and and since uh the previous place one of the previous places I'd worked I'd written the documentation for the payroll software I said payroll and she was really happy because most people hate payroll I don't know why I mean it's just it's kind of data heavy yeah Um, so, so you know, I've been working pretty heavily

00:01:59

Ellen Noel: in payroll and then of course the rest of the accounting software, but

Jeff Doolittle: Yeah. Yeah, absolutely. So, that's exactly why we want to talk to you, of course. Um, some of these questions we're starting to get some answers on. So, the initial target market we're looking at about 3 to 10 million in GAR and that according to Vivican is approximately 4 to 10 employees give or take. Obviously, you know, sometimes three people can do a lot with three people and sometimes it takes 15 people to do what three people can do, but generally speaking, that's what we're we're looking at here. But give us a flavor and you know, we've only got 25 minutes left here, but um let's start with what does Vista do really well as it comes to payroll? And if there was anything you wish was different or could be better, uh you know, it could be more than one thing. What might you do differently knowing what you know now? So, kind of, you know, what's what's awesome and you're like, "This has been fantastic."

00:03:01

Jeff Doolittle: And what are you still kind of like, "Wow, I wish we'd maybe rethought this or done this differently."

Ellen Noel: Uh let's see. I think I think the payroll is pretty awesome at at most thing things. um the the the nature of payroll uh uh processing is is I mean it's it's like there's a lot of initial setup uh but um it's it's a pretty clear cycle of entering time cards and processing paying employees getting the information posted through to other modules and and such and um uh one area that I think could be much better. Uh is the the the leave system. Um which um basically we we wrote it having to take care of a number of different needs with very little feedback and very little guidance uh during the the development process. And um for for all that it's it's had amazingly little problems, but it has had some major problems. Um especially lately uh it just Anyway, I I think that that thing could have been rethought.

Jeff Doolittle: Okay. Okay. Okay.

00:04:24

Jeff Doolittle: So, what makes payroll, like you said before, people are scared of payroll and you know, you've been doing it long enough that maybe it's a little less scary for you, but what makes payroll hard? And then what makes construction payroll specifically challenging?

Ellen Noel: Um, I think what makes payroll hard is uh it's it's not something that uh if there's if there's problems with it, it's not something that you can just um um say, "Okay, we'll we'll get around to fixing it, you know, sometime." It's like people need to be paid now.

Jeff Doolittle: Uhhuh.

Ellen Noel: you know, we we have, you know, it has to be right.

Jeff Doolittle: Included the tax man.

Ellen Noel: Yes. People have to be paid.

Jeff Doolittle: Yeah.

Ellen Noel: The tax man has to be paid. The um there's uh demands uh regulatory demands um as far as uh getting the the data um out to report uh to the IRS and you know to the uh employees so they can you know do their taxes. Um and and also uh the demands of of keeping the uh um uh the tax routines up to date uh because there's changes in state and federal taxes all the time and uh with VISTA of course we also have Australia and Canada to consider.

00:05:49

Jeff Doolittle: Mhm.

Ellen Noel: So um so so keeping track of um all you know all of that is um it's an ongoing effort that uh you know you have to have some dedicated people on top of um

Jeff Doolittle: Yeah. And that's payroll just as payroll regardless of any other variations or or verticals.

Ellen Noel: that's payroll. Yeah. Yeah. I mean AP also has regulatory concerns but not as heavy as payroll.

Jeff Doolittle: So then what does construction add to the mix that makes it another level of complication?

Ellen Noel: Uh I would say that uh the thing that especially um stands out is is the uh uh the union agreements. Uh there's certain special needs as as far as various uh uh deductions and liabilities involved. um and and uh you know special types of earnings you know because the you know the union says uh you know they have to have this benefit you know based on blah blah blah and uh yeah so so that all needs to be considered and uh that that adds a bit of complexity actually to uh the setup part uh because you're you're setting up uh crafts um which is the unions you're setting up different classes classifications or classes.

00:07:19

Ellen Noel: Um, and uh there's connections to uh uh to job cost there. Um as as far as um you know a job might have a a template that uh directs um you know the crafts and classes to have um different a different set of data.

Jeff Doolittle: Sure.

Ellen Noel: Um uh so yeah, that that that uh that can certainly be confusing. Um I don't I don't know. I'm not really sure um uh how how difficult a time our customers are having with that because I I guess I would I would say you need to ask somebody, you know, whoever in support or whatever is helping them with that bit.

Jeff Doolittle: Yeah, but that's the union side. And then what about certified payroll and prevailing wage Davis Bacon, that sort of thing.

Ellen Noel: Yeah. Yeah, the um Davis Bacon is certainly um a consideration when setting up the the whole craft class template scenario. Um and um let's see what was the what was the first part of the question?

Jeff Doolittle: Well, they're all the I was, you know, we were looking for the what are the complicated parts of construction payroll and you know, a lot of these are things that we've heard others say, but we're looking for the kind of confirmation affirmation from people, right?

00:08:46

Jeff Doolittle: That you know, we haven't missed something or there's not some gap uh in these things. Now, you said something interesting just now. We talked about union, we talked about certified, and in both cases, you referred to craft and class. So it sounds like what you're describing is a common solution to a common problem and it sounds like it involves setup which may be complicated but can you talk a little bit more about what is a craft, what

Ellen Noel: Mhm.

Jeff Doolittle: is a class and how can those be used to solve these issues of setting up union you know wage calculations or certified wage calculations.

Ellen Noel: Yeah. Well, like I said, the the craft, it's really um the the data you set up uh uh for uh for a union. And uh and then within within a craft, there's a number of classifications. So, you could have um

you can have foremen, you could have journeymen, you could have office clerical worker, um all these different things. and and they all have, you know, the the union has determined that they all have certain needs, like somebody out in the field might have some benefit that is special to them.

00:09:56

Jeff Doolittle: right?

Ellen Noel: Um, and also have uh uh have the the the union craft. it it might have certain benefits that are like you know um particular to the union but um there could be overrides uh for the classifications and and also like I said the um uh the templates um that are coming from the if there's um job uh work work involved with a job um there's a template assigned to the job and then there's more setup there. But, you know, it's like um with with payroll, like I said, it's it's it's set up heavy, but I mean, it's kind of like once you get it set up right and everything's working smoothly.

Jeff Doolittle: Okay.

Ellen Noel: Um there's not much you have to do until you know like you you have a new hire or uh maybe there's a job with a a new union um considerations or um

Jeff Doolittle: Right. Or you've never done prevailing wage and now you've got a contract that includes it. Is that another examp?

Ellen Noel: Yeah. Yeah. Yeah.

00:11:14

Jeff Doolittle: Okay, great. Let's uh let's switch gears a little bit. How how do people collect time card data and then how do they get it into Vista? like all their work logs and and you know equipment tracking and that sort of stuff

Ellen Noel: Right. There's different ways to get it into Vista. Um you've got uh you've got the um um there's a whole time card entry for like uh remote entry. uh that uh um is I I think it's it's either it it can be either done by the uh supervisor or um uh I I believe that employees will often enter their own time and it's it's a Jeff Doolittle: Okay.

Ellen Noel: very paired down it's it's more like it's more like you know what uh um what different uh what what phase of the job were you working on how many hours did you do? Uh and it um and then what happens is that uh those basic time cards uh they get um pushed into the into the system. There's an approval process um and then uh and then it gets ported to a a a time card batch.

00:12:37

Ellen Noel: the time card entry itself um uh PR time card entry that was the first uh time card entry uh process that we had and so there's a whole way to enter enter um a time card batch and then uh process it uh so that uh it uh it um that basically does a lot of verification um and then uh posting into the time card file PRTH. Um and then um and then the the uh the remote more remote um uh time sheet entry that I was talking about uh that basic the process after it's been approved um it gets processed into a batch and there's uh lots of uh validation and um and defaulting going on there because um um like I said you they've you only have at at that point you only have uh like pretty much the employee and I think um the shift and the you know the hours and and so uh there's lots of things like um um that that that get added

onto the data when it gets posted into the batch um like the you know the the employees craft in class the um What kind of time card is it?

00:14:12

Ellen Noel: A job or mechanic time card? Uh SM time card and you know all kinds of things like that. So So that's that's your time sheet entry. And the another way in Vista is the crew time sheet that actually came just before the time sheet entry was introduced. and and that's where you have uh you have a crew set up with here's all the employees in your crew and um and then the uh the program will automatically uh um post time to um all the employees in the crew and you can make some tweaks there and it's kind of goes really through the same process as the the those time sheets that I was mentioning where there's an approval process and then it ends up in get getting pushed into a time card batch filling in uh um the you know the various defaults. Um so those are three ways um that it gets into the system and when it whenever it's in the the time card batch it's at that point that the um the payroll clerk will go through and you know

00:15:17

Jeff Doolittle: Yeah.

Ellen Noel: kind of vet it, make sure everything looks right um and then put it through the validation and posting process to get it into the uh um actual uh time card header file.

Jeff Doolittle: Okay.

Ellen Noel: Yeah.

Jeff Doolittle: So once you have it in, you run a pay payroll batch. Let's talk a little bit about gross to net calculations. First off, tell us a little bit about the testing practices. How how does the team ensure that when there's a tax law change that we're not first off not breaking existing calculations and second off that we are in fact properly calculating for the the modifications to the tax Oh,

Ellen Noel: Right. Uh so the uh the tax routines uh in Vista are are separate SQL procedures pro uh routines um you know a SQL code and so um whenever we have an update we basically um

Jeff Doolittle: that's right.

Ellen Noel: it this this feels real outdated but we we write a new routine that's just like the one that came before uh except it has the the changes in it and uh the um and it's um the way it's

00:16:40

Jeff Doolittle: Right.

Ellen Noel: coded it's it's pretty isolated from the rest of the software. So uh the only the only chance of having it effect upstream is um if for example they make a real change to you know rather than just to the um the rates and limits uh they make a change to the um um to to what what data needs to go into this routine. I mean for example the um more like more like marital status uh yeah typically uh what is passed into a routine is uh uh the number of pay periods per year um

Jeff Doolittle: Right. Like maybe peacework calculations in California back in the last decade. Okay.

Ellen Noel: and it's it's it's calculating whenever it's called it's calculating for a single employee um uh you're passing in this the subject amount, you know, what what amount is the tax going to be based on?

Um uh marital status if if they use it. Um uh um number of um allowances or exemptions if they use it. Um and so uh and so you were asking about how do we make sure that it's going to uh be right not not affect.

00:18:21

Ellen Noel: So like I said it's um each routine is isolated to Yeah.

Jeff Doolittle: each one's isolated, right?

Ellen Noel: And so um and so we we basically uh uh code code code review you're kind of checking that um okay what changes were made um and uh did the old routine and new routine does it look like the changes were made uh we also have uh used Excel in a way to to make um these testing spreadsheets that um test like you can test a number of different cases, all all kinds of different situations just to make sure that uh nothing breaks there. And so it actually um it actually exercises the uh the stored procedure um against this this data. So that's even without having to you know do setup in Vista to Yeah.

Jeff Doolittle: Right.

Ellen Noel: uh and and so that that's a major part of the testing that we do. And then somebody uh QA will go through and they will set up some examples in Vista. They'll make sure that um um when they um when they initialize uh the routines, there's there's a form that uh keeps the latest version of all the routines.

00:19:47

Ellen Noel: when they initialize it, pulls in the latest copy of the routine and and then they'll run, you know, a few actual tests with um employee data that they've set up.

Jeff Doolittle: Yeah. Can we get our hands on that spreadsheet?

Ellen Noel: Absolutely.

Jeff Doolittle: That would be fantastic.

Ellen Noel: Uh-huh.

Jeff Doolittle: So, any other integrations with other systems? like we've heard a little bit from people about you know nacha files and those get you know sent to the bank or or things like this but um are there any other like you know we talk about time entry maybe people have their their own I imagine they can key it in themselves they can handw write or whatever it might be but uh is is Vista completely self-contained as far as payroll is concerned or are there other integrations with other systems involved at all I figure.

Ellen Noel: Um there there are a few other integrations uh and and you just reminded me you can also import time cards. I forget about that. Yeah. So that's the fourth way.

00:20:47

Jeff Doolittle: Okay.

Ellen Noel: Um so we have we have an arrangement with uh third-party atrix reporting and uh so we've we've basically um it um we've we've stopped um tracking like you know W4 W2 form changes and um other regulatory reporting and you know which we we always in the past had used crystal reports uh to come up with with with that and we had to like maintain all that. So Atrix does this now.

Jeff Doolittle: Oh, wow.

Ellen Noel: We we download the info to them um in in a flat file is what they require and or you know that uh the user does when when they uh select the um uh one of the Atrix um uh

Jeff Doolittle: Okay.

Ellen Noel: um I'm trying to think of what the word is. Um one of the Atrix form launchers. And so basically what happens is uh we we're responsible for uh maintaining uh SQL scripts that uh gather the information for this uh this flat file and uh and then we have code that uh uh stuffs it all there depending on you know what um uh uh the user will like you know sometimes select a tax you're depending on the report select a year um uh select maybe if they're doing some state report you know they'll say this is what I want and then um and then they they hit continue um our our SQL script grabs the information stuffs it in the flat file um and sets up a config file for Atrix um all

00:22:49

Ellen Noel: per their specs and uh and then they get the information and run with it. Uh so they do W4 they do various unemployment reporting for states uh federal unemployment um uh yeah W2s

Jeff Doolittle: Which reports does Atrix create? Is it just like annual you know like tax or Okay. Okay. But it's not like paid stubs for like regular payuns or things like that.

Ellen Noel: no Yeah.

Jeff Doolittle: Okay. That's all done by by Vista.

Natallia Prokin: Hi Vista employee portal on Vista web.

Jeff Doolittle: How do how do employees access their their uh payubs?

Ellen Noel: Uh that's true.

Jeff Doolittle: Okay.

Ellen Noel: And uh there there's also they uh they can be um uh uh emailed attachments.

Jeff Doolittle: Right. Okay. Any other questions from the group for Ellen? None.

Neil Cadsawan: Well, one of the questions that I had is uh as as customers are onboarded, you know, to Vista and they're implementing their their payroll, what were some things that you've seen over the years or common issues that they would have when when implementing or or even utilizing it?

00:24:15

Neil Cadsawan: And have they been addressed or are they still things that people still encounter?

Ellen Noel: Uh yeah, I I I don't really get involved with the customer side of it as far as the implementation. I feel like over the years we've got a lot of guidance uh you know for setup and uh uh I know at one at one time they they would be um given somebody that uh uh or or assign somebody who would help them with that. It used to be they somebody would go out on site and you know help them with that. I'm I I don't imagine they do that anymore. Um there's so many more efficient ways of doing that. Um but uh uh I think that a lot of times I do hear problems confusion about the Atrix thing. It's like they have they have an issue with the report and they're like not certain um who to call. They call they call our our support and you know um Atrix is contacted. the Atrix might say it's it's our fault, you know, and and then it comes to me and I'm like analyzing, well, what's going on here?

00:25:35

Ellen Noel: And sometimes I find out it's Atrix's fault and then have to step in. Yeah.

Jeff Doolittle: Yeah.

Ellen Noel: So, um I feel like we've we've got a lot of that worked out. Uh it still comes up.

Jeff Doolittle: Does Vista support all 50 states and all the localities within those states with that have special locality related stuff?

Ellen Noel: Uh So, um we don't do uh we don't do much for the local.

Jeff Doolittle: Okay.

Ellen Noel: We um there's like a little bit of maybe uh county and um uh Pennsylvania school district like that.

Jeff Doolittle: Uhhuh.

Ellen Noel: Yeah.

Jeff Doolittle: Texas schools.

Ellen Noel: Uh but most mostly it's uh it's states that we deal with.

Jeff Doolittle: Yeah, that's another one. Yeah.

Ellen Noel: Um uh some states have a flat tax and you know Vista is perfectly able to have them set that up um just out of the box. So we don't have uh tax routines for all 50 states. Um and uh uh so yeah uh we we honestly we avoid having to deal with any kind of uh local tax situation but there's I I don't think there's a whole whole lot of issues with that.

00:26:55

Jeff Doolittle: Okay.

Ellen Noel: So yeah, Australia is easy because they only have federal tax.

Jeff Doolittle: And then of course you said Australia and Canada as well.

Ellen Noel: It's one hell of a um formula, but um but they they have that. And then uh Canada um is easier to uh to get the data because uh the their federal government puts the federal and provincial information all in one document. Uh so that uh and and they they publish it all at the same time. Uh but you know here in the United States I they're they're so organized but but uh it's kind of like yeah here in the US it's sort of like the wild west.

Jeff Doolittle: Wow, those Canadians. They're so nice. Golly, they also have like a lot fewer people.

Ellen Noel: It's like everybody's rolling their own.

Jeff Doolittle: Yeah. Yeah. Interesting. I'll I'll avoid commentating further on that, but that is interesting.

Um I thought I had one more question, but we're almost out of time, too. Well, thank you for your time, Ellen.

00:27:59

Jeff Doolittle: That was really helpful.

Ellen Noel: Yeah, I I would I would like to say that there there is one thing that bothers me about um the uh getting all this regulatory information is that we have uh Trimble has at least three ERPs that I

Jeff Doolittle: And uh yeah, go ahead.

Ellen Noel: know of. Um and everybody is getting the data their own way. And I've been doing a little research trying to figure out is there any way that we can like uh collaborate and um have a solution to just get the set of data one time maybe even using AI. So, so I've been trying to get a hold of some uh

somebody over on the spectrum side just to start out uh to find out it's it's like it's it's all the same stuff.

Jeff Doolittle: I love this idea.

Ellen Noel: And so why are we reduplicating our our efforts? And basically um it's uh for Vista it's uh me and another developer um who's joined me that have been monitoring for the updates.

Matt Thurber: I did hear Spectrum complain about the same thing as well.

Jeff Doolittle: Okay. Yeah.

Matt Thurber: So I I did

Jeff Doolittle: Well, we're about to build another one, so let's not let's solve this so we don't have to do a fourth. Okay. We've got Yeah. Thank you, Ellen. That's fantastic. All right.

8/28

Trimble Financials Payroll - Stakeholder Interview

Invited Nona Bowling Shakyma Edwards Natallia Prokin Matt Thurber Neil Cadsawan Jeff Doolittle

Alexander Farrell

Attachments

Meeting records

Summary

Jeff Doolittle introduced an upcoming project to add payroll functionality to Trimble Financials accounting, highlighting the need for payroll in an ERP system. Nona Bowling, a Subject Matter Expert, detailed the complexities of payroll due to high turnover, the intricate nature of construction payroll, and the lack of intuitiveness in tools like Vista. Nona Bowling also outlined their comprehensive testing approach, noting issues with non-standardized Excel spreadsheets and instances of incorrect calculations impacting customers.

Details

- **Project Overview and Nona Bowling's Background** Jeff Doolittle introduced an upcoming project to add payroll functionality to Trimble Financials accounting, previously known as Prism, noting that an ERP system needs payroll in addition to accounting (00:00:00). Nona Bowling, a Subject Matter Expert in accounting on the apps team, shared their 10 years of experience in QA at Trimble and prior experience in application support, as well as approximately 15 years in construction accounting for union shops and experience as a COBOL programmer involved in payroll (00:01:03).
- **Payroll Complications** Nona Bowling identified high turnover and churn within companies as a major factor complicating payroll, emphasizing the need for deep knowledge of payroll intricacies to avoid problems. They explained that a lack of understanding of basic accounting principles, such as pre-tax deductions and GL structure, often leads to mistakes, and highlighted that payroll affects nearly every aspect of an ERP system, including job costing, financials, and accounts payable, making it the "heart of everything" (00:02:24).
- **Construction Payroll Specifics and Tool Intuition** Nona Bowling detailed that construction payroll is particularly complicated due to union requirements, such as ensuring non-union employees receive appropriate union benefits like health and welfare, which often become apparent during audits (00:05:10). They explained that tools like Vista are not intuitive and require users to have extensive knowledge and precise system setups, contrasting it with prior software that was more intuitive and required less manual configuration for employee benefits (00:07:34). Nona Bowling suggested that Vista could be more intuitive, particularly in tracking PTO and helping users identify discrepancies in employee setups (00:16:40).
- **Testing and Quality Assurance** Nona Bowling described their role as a tester on the apps team, emphasizing a comprehensive testing approach that goes beyond specific fixes to ensure no other parts

of the system are broken (00:09:56). They noted that while Excel spreadsheets are used for calculation validation, these spreadsheets lack continuity, are not standardized, and sometimes contain anomalies, leading them to manually double-check calculations with external tools like ADP calculators if something "doesn't feel right" (00:12:02). Nona Bowling also stated that calculations have sometimes been incorrect and slipped through to release, causing immediate customer impact within days of deployment (00:13:08).

Suggested next steps

No suggested next steps were found for this meeting.

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Transcript

Trimble Financials Payroll - Stakeholder Interview - Transcript

00:00:00

Jeff Doolittle: Nona, thanks for taking the time to talk to us. A group of us have been tasked with doing some initial requirements and stakeholder alignment for an upcoming project to add payroll functionality to Prism. I'm guessing you've heard of Prism, but they're now calling it Trimble Financials accounting. And uh somebody realized that you can't have an ERP system if you only have accounting, you don't have payroll. So, so here we go.

Nona Bowling: Yep.

Jeff Doolittle: So, let's start with and you're in the hot seat, so you might as well just stay unmuted because others might ask you questions, but it's you know this this we're we're you're the star of the show.

Nona Bowling: Okay. Oh jeez.

Jeff Doolittle: So, what we're what we're trying to do is glean insights from people on their experiences with our ERPs and with payroll generally. And uh and then you know we're tasked as well with coming up with something of reduced scope for an initial release that can grow and eventually become a you know a system that handles all the variations and complications that are involved with payroll.

00:01:03

Jeff Doolittle: So let's start with uh share a little bit with us about your experience with which team you work on and what's your background at Trimble and your background with construction payroll.

Nona Bowling: Okay. Um, I am currently on the apps team and considered the subject matter expert in the accounting. Uh I've been doing uh QA here for 10 years and the three years prior I was on application support um on the I started out on the accounting payroll ARP team and then I moved to the operations SM imports and all the things that end in M and N and prior to that I've worked for three construction companies MCOR uh Atlas and Hughes uh which are all union shops and that was accumulative about 15 years in construction accounting. Um before that I was a cobalt programmer for a direct mail advertiser and also involved in payroll basically most of my career in one way or another.

Jeff Doolittle: So, payroll and accounting has been a lot of what you've done.

Nona Bowling: Yep. Yep.

Jeff Doolittle: Fantastic. All right.

00:02:24

Jeff Doolittle: Well, let's start with what makes payroll complicated and then what makes specifically construction payroll complicated on top of that?

Nona Bowling: Sorry about that train.

Jeff Doolittle: No worries.

Nona Bowling: Um, well, I think what makes payroll complicated in my mind is um I think a lot of it's easy. I think this is the most thing is that um a lot of turnover and churn within companies is what I experienced in my career before coming to viewpoint was most of the problem is um to be good at it and make sure there are no problems and issues you've got to no payroll. I mean I got my accounting degree in 1983 at Melhurst College. So um I came from paper to computer long time ago and I think what makes it complicated is not having a a a knowledge of all the ins and outs, what to look for, how to know when something

Jeff Doolittle: Mhm.

Nona Bowling: isn't right.

Jeff Doolittle: What are some examples that you see people making mistakes or not having sufficient knowledge to be effective in this space?

Nona Bowling: Um um well not understanding uh basic accounting principles like pre-tax deductions, how that works, what your um what your GL's should look like and knowing and not knowing if you should go oo this person really should have this but they don't.

00:04:03

Nona Bowling: And it's kind of knowing uh knowing what the employees should have and what they currently have because if you're processing payroll and they're getting paid and everything looks good, you know, a month or down the road or at the end of the quarter, you're like, "Oo, we didn't we didn't acrewue for that or we didn't do that." And then there's the the catchup of that.

Jeff Doolittle: Yeah.

Nona Bowling: Um, and within viewpoint, I I think what the craziest thing that uh a payroll misnomer is is that how many different things it affects. Payroll affects everything. I consider payroll, if it's part of an ERP, is the heart of everything because it touches every piece of everything some way or another.

Jeff Doolittle: such as Yeah.

Nona Bowling: job costing, um your financials, uh many things like that. Accounts payable even, uh you know, you can have employees that get reimbursed for things and how to appropriately know how to enter that and make sure it goes to the right place.

Jeff Doolittle: Okay. And on top of that, now we have construction payroll.

00:05:10

Jeff Doolittle: So, what makes construction payroll specifically complicated? Because payroll alone sounds like it's already got a lot of challenges.

Nona Bowling: Well, for me it was uh like I said, all the construction companies I worked for were union and so there's the element of you have to make sure in in one instance um you can be a non-un employee

Jeff Doolittle: Mhm.

Nona Bowling: but have union benefits and you have to know how that works and how to report it and which also brings in the certified payrolls and other things you have to write report to governmental agencies and uh usually a lot of things come to light when people are not experienced and it when it comes to union audits and state or governmental audits and that's when you find out we didn't do this or we should have did this or those kind of Well, one of one of the companies I worked for is that um although you were not a union employee, you were covered by their health and welfare.

Jeff Doolittle: real quick. What are some union benefits that you might get when you're a non-un employee who's still entitled to employee benefits?

00:06:18

Jeff Doolittle: Examples? Okay.

Nona Bowling: you got uh some would give you a some sort a pension and uh let's see we weren't really governed by PTO or leave with that but there's some benefit and the most important thing was uh health and welfare

Jeff Doolittle: Okay.

Nona Bowling: and making sure that you had the appropriate codes that you you know were eligible not eligible um understanding that in in a lot of instances is and I don't know it's been 13 years since I've been out in the real world but um you know there's a waiting period and you know when that happens and when your benefits start compared to where you when you started and how to report that appropriately to the unions

Jeff Doolittle: Yeah. How so you mentioned before a lot of this sounds like it's sort of knowledge that people have to have. How much do tools like Vista or I don't know how much you know about spectrum but like how much are these tools helping and then how much is just people just have to be trained and they just have to know Yeah.

00:07:34

Nona Bowling: Well, that that was one thing I learned when I came to Viewpoint is I've worked with Starbuilder, Procontractor, Starbuilder, Computer Ease from low, small, you know, 10 million, \$15 million contractors all the way up to MCO, which is a lot. And uh it Vista is not intuitive. You have to know things. You have to have the system set up just right. Um and a lot of the prior packages uh it it was pretty intuitive. Uh you didn't have to know that this is this. If you set an employee up this way, they would get these things unless you specifically said don't give them these things. Vista, it's opposite. You have to set everybody up to have exactly what they're supposed to have. And if they're like in I have a test company that I have union and non-un employees and some non-union employees get the benefit of some union benefits kind of like the way I used to work. And I think that's most of the misnomer is that you know payroll is payroll to me.

00:08:46

Nona Bowling: I mean, like I said, I came from paper to computer, but for a lot of people, there's a lot of assumption that computers are super smart and they should be able to just figure it out. Been Vista is not

that way. It's not a figure it out. You have to know what you're doing and get it set up appropriately.

Jeff Doolittle: At some level, is that required when a company gets to a certain size or are there things you think could be more intuitive potentially?

Nona Bowling: Uh maybe I guess it's that you know like I said currently like with Vista when you're setting up a new employee whatever their status is you've got to know certain certain instances like you know we still kind of go in the pre pre2020 W4 W2s and post where you know you could be charged old way of how they used to tax it versus the new way how they tax it.

Jeff Doolittle: All

Nona Bowling: Um and understanding how to set up uh another thing is uh matches and percentage of this will be matched and how to figure out what that formula is.

00:09:56

Jeff Doolittle: right.

Nona Bowling: um how to reconcile back backing into if you don't know what went wrong, you have to know from backwards to forwards to backwards to get back to the beginning. And you have to be able to go back and go backwards step by step, which means you kind of got to know what you're doing.

Jeff Doolittle: Yeah. Yeah. Each step along the way. Remind me again the specifics of your role. Are you you said you're on the apps team, but what's your role on the team?

Nona Bowling: Uh I am the te uh tester and well because of my background in support prior and and I guess that that may or may

Jeff Doolittle: Okay. Okay. So, Ellen told us a little bit about the testing practices, but can you give us your perspective on how you test and ensure that we're calculating things correctly?

Nona Bowling: not been good for me that I actually sat in the chair and did the job for many years before I supported it is that they might say well this is the problem.

00:10:55

Nona Bowling: This is what you need to test. Um, for instance, uh, direct deposit is that, okay, well, this might be a problem, but I will test it from start to finish, not just the little piece you fix to make sure nothing else is broken along the way. And that's one of the things that you have to know is this is the entire process and how far should I go? And like I said with my background in support intuitively because I used to work with development in a nonworking environment I was in the support side going what are these guys doing? Why didn't you make sure and do this to make sure you didn't break this?

Jeff Doolittle: And that's something you know intuitively because you have the domain expertise in the background.

Nona Bowling: Yes.

Jeff Doolittle: Yeah. Ellen mentioned something though about like for the calculations that we have an Excel spreadsheet that we can use to validate that the calculations being made by Vista are correct.

Nona Bowling: Sure. Yeah, they've had a there's been a spreadsheet been around forever and ever and ever.

00:12:02

Nona Bowling: Um, and that's kind of the other thing. Uh, there's no continuity in those spreadsheets. So, you might be working on gh I'll say it, Alabama, Natalyia. Everybody freeze when you say Alabama and overtime. Um, but there's many they there's no continuity. It's not like each spreadsheet are set up exactly the same. They're all different. There's all different anomalies you have to look at.

Jeff Doolittle: Oh, interesting.

Nona Bowling: So, it's not like all of them are the same and you'll test it the same way. And also um me as also in my prior position just before coming to viewpoint I was the controller for the uh construction company and uh I don't trust the spreadsheet. I will do a manual hand calculation if it doesn't feel right and use tools out on the internet like the ADP calculator or you know things like that just to make sure if it doesn't feel right to me. I'll double check it that way. And there's a I think a misnomer that the spreadsheet should be golden and you don't have to worry about anything else.

00:13:08

Nona Bowling: And I'll also actually put them through the stress test in actual testing of an employee.

Jeff Doolittle: Right. In other words, I think to summarize what I what I'm hearing you say, it's one thing to get the calculations correct, but there's other aspects to this before and after that also can be affected or that need to be tested to ensure end to end is functioning.

Nona Bowling: Exactly. and and these spreadsheets that we use are based on the uh the limits of each uh we we're only testing the low and the high. We're not actually testing real life people that makes, you know, \$43 an hour because that annualized amount doesn't fit within the beginning or ending of that um rate change, you know.

Jeff Doolittle: Have there been times where things have slipped through and the calculations have actually been incorrect in the system?

Nona Bowling: Oh yes, it slipped out to release or just slipped and caught in testing.

Jeff Doolittle: Both.

Nona Bowling: Yes, absolutely.

Jeff Doolittle: Okay. So, let's talk about slip through release and then what was the impact and and what did we do about it?

00:14:19

Nona Bowling: Um, in my tenure of 10 years, it's only happened probably three times that I'm aware of.

Jeff Doolittle: Okay.

Nona Bowling: And it it's pretty immediate because um immediate meaning usually we release on Thursday.

Jeff Doolittle: Yeah.

Nona Bowling: And by that time, people are already done with payroll. So, they don't start finding out until Monday, Tuesday of the next week when they're going, "Oh god, we got to get payroll out. Ah, this isn't working. Ah." Um, so in that respect it is in in catching it and testing. It's just going back and because a a person has to visually look at these spreadsheets and make sure that the rates are good. And one instance, u a number was transposed and it wasn't caught by developer or a um they have a uh preview uh they have another developer check it and you know you have to be able to see a bunch of numbers and not just a bunch of ants on the screen that look like numbers.

Jeff Doolittle: right? So that slipped through and then we did.

00:15:29

Nona Bowling: It's it's it's a QA fail and it goes back and like, hey, this is what you missed, you know, and and it has to be fixed in code then re resent up for us to test.

Jeff Doolittle: Did any customers get all the way to actually paying people and we had to go back and fix a discrepancy there?

Nona Bowling: I think so. Yeah, I think well and the and it was an anomaly of yucky Alabama and their weird overtime, but that was the most recent that I can remember of as you know had problems with I think

Jeff Doolittle: Okay. Any other questions from the rest of the group? If there was one thing you do to make payroll and Vista easier, what would you do? What might you want changed?

Nona Bowling: Um, I would think that a little more it it kind of feels like to me and like I said, I've I've worked with some really I call them chintzy very barely over Excel spreadsheet kind of software.

Jeff Doolittle: Yeah. Bare bones kind of stuff.

Nona Bowling: Yeah.

00:16:40

Nona Bowling: Like like computer ease.

Jeff Doolittle: Yeah.

Nona Bowling: I mean that I don't know if you've heard about it but it's it's for very small contractors 5 to 10 million I think. I don't even know if it exists anymore but they had uh which we don't have in Vista is a tracking of like PTO is we do have it but um in the it's it's harder to make sure you have everything set up correctly. So, as your end time card entry, I mean, it'll tell you it'll tell you that you're over or under in your PTO based on what's in the system, but it feels like Vista could be more intuitive or if I could ask when I'm in a field and go, "Ooh, uh, what other employees with this same like, you know, like if they're non-union administrative one, you know, What is it that's different about this guy that's not working for this guy?

Jeff Doolittle: Okay. Any other questions? Is anyone else here? You're all muted and I can't see you, so I'm I'm feeling a little alone.

Neil Cadsawan: No, here. Yeah, I don't have any questions right now.

Jeff Doolittle: Okay.

Shakyma Edwards: Sam, I I don't have any questions. Thanks. This has been very informative, though

9/2

Trimble Financials Payroll - Stakeholder Interview

Invited Dan Miller Shakyma Edwards Natallia Prokin Matt Thurber Neil Cadsawan Jeff Doolittle Alexander Farrell Thom Schoenborn

Attachments

Meeting records

Summary

Someone in 424 - Fields Park (USA - OR - Lake Oswego, 4) initiated a discussion with Dan Miller about integrating payroll functionality into Trimble Financials, specifically the Prism accounting project, aiming to develop initial requirements and leverage Dan Miller's expertise for a high-level kickoff presentation.

Dan Miller, with extensive experience in construction payroll and ERP implementations, detailed the complexities of construction payroll, including regulatory changes, union requirements, and certified payroll. The discussion also focused on market approach, the importance of a reliable payroll distribution partner, improving the payroll system's output process, and the critical need for integrating job costing with any payroll solution, as emphasized by someone in 424 - Fields Park (USA - OR - Lake Oswego, 4), Dan Miller, Natallia Prokin, and Neil Cadsawan. Shakyma Edwards inquired about AI opportunities in payroll, to which Dan Miller suggested AI could monitor payroll health by analyzing variances and flagging anomalies.

Details

- Adding Payroll Functionality to Trimble Financials Someone in 424 - Fields Park (USA - OR - Lake Oswego, 4) initiated a discussion with Dan Miller about integrating payroll functionality into the existing Trimble Financials accounting project, Prism, which currently focuses on core accounting. They explained that the goal is to quickly develop initial requirements and leverage Dan Miller's expertise for road mapping and identifying areas of alignment or disagreement for a high-level kickoff presentation by the end of the week (00:00:00).
- Dan Miller's Expertise in Construction Payroll Dan Miller introduced himself as the Director of Sales Engineering Americas, with extensive experience in implementing Vista ERP and its payroll system, having completed 68 implementations over seven and a half years. They have worked with all types of contractors, from underwater welding to general contractors, and now lead sales engineers for AEC, including Vista, Spectrum, and Techla (00:01:36).
- Challenges of Payroll and Construction Payroll Dan Miller detailed the complexities of payroll, highlighting regulatory changes, tracking employee elections, company-paid burdens, and various payment types. They explained that construction payroll adds further challenges, including managing union payrolls with their specific rules, benefits, and reciprocal agreements, as well as the necessity for certified payroll for state or federally funded projects (00:02:52). Dan Miller also emphasized the difficulty of accurate timekeeping in construction, noting how software can assist by narrowing down job cost codes and streamlining data capture from the field to the office (00:04:05).
- Market Approach and Partnership Considerations Someone in 424 - Fields Park (USA - OR - Lake Oswego, 4) outlined the strategy to start with the low end of the market (4-10 employees) and scale up, asking Dan Miller for advice on limiting scope for an initial release (00:06:37). Dan Miller stressed the importance of a reliable payroll distribution partner for monthly, quarterly, and federal processing, citing past issues with Atrix and suggesting partners like ADP (00:07:24). They noted that while Vista handles many aspects, state and local distributions can be manual, unlike some low-end competitors that offer integrated filing solutions (00:09:28).
- Payroll System Output and User Experience Improvements Dan Miller identified the output process of the payroll system as a significant pain point, suggesting that improving this for customers, especially for month-end, quarter-end, and year-end processes, would be a major enhancement over current systems like Vista and Spectrum (00:10:19). Natallia Prokin agreed, noting that Atrix is suitable only for very small businesses due to its manual nature and lack of scalability (00:11:27). Neil Cadsawan inquired about areas where Viewpoint or Trimble could improve payroll, and Dan Miller reiterated the challenges with payroll distribution to reporting agencies and the need for a more user-friendly workflow to guide payroll personnel (00:26:23).
- MVP Scope and Job Costing Integration Someone in 424 - Fields Park (USA - OR - Lake Oswego, 4) discussed segmenting the market to achieve a Minimum Viable Product (MVP), considering what could be scaled down to start generating revenue (00:12:57). Dan Miller emphasized that any payroll solution must be paired with a job cost lens, making integration between time card entry and job cost easy to

ensure high-quality job costing for smaller customers (00:13:48). They asserted that tying job cost and payroll together competitively differentiates the product from other small-end providers from day one (00:14:52). Someone in 424 - Fields Park (USA - OR - Lake Oswego, 4) affirmed that job costing is essential, as a payroll system without it would not truly be construction payroll (00:20:40).

- Strategic Market Entry and Feature Prioritization Dan Miller suggested targeting a specific state with fewer restrictions, such as Texas, for the initial launch, while building out more complex functionalities like union support and reciprocal agreements (00:21:23). They explained that California presents significant challenges due to additional labor rules, meal penalties, and peace work regulations (00:22:21). Dan Miller advised that delaying union support is feasible, but certified payroll is crucial even for small subcontractors (00:16:45). They also highlighted the importance of handling labor burden effectively, as it represents significant costs for contractors and needs to be accurately mapped to job costs for proper financial reporting (00:17:43).
- AI Opportunities in Payroll Shakyma Edwards inquired about potential opportunities for AI to support payroll workflows. Dan Miller identified AI's ability to monitor payroll health by analyzing variances, flagging anomalies like overtime changes or negative net pay, and providing feedback to payroll managers and controllers (00:29:06). They explained that AI could automate the detection of issues that currently require manual exception reports and custom analysis (00:30:02).

Suggested next steps

1 Someone in 424 - Fields Park (USA - OR - Lake Oswego, 4) will follow up with Dan Miller.

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Transcript

Trimble Financials Payroll - Stakeholder Interview - Transcript

00:00:00

424 - Fields Park (USA - OR - Lake Oswego, 4): All right. So, Dan, our mission with this group is to do a preliminary analysis of what it's going to take to add payroll functionality to the current Trimble Financials accounting project, also known as Prism, which has focused on core accounting. And of course, you don't have an ERP without payroll. So, uh, they want to go fast, they want to go quick. We don't have any devs yet. We don't have PMs yet. We just have us. and we are working on pulling together the initial requirements for this thing. So we want your expertise and experience and your thoughts on things like road mapping and where to start and and this sort of thing.

00:00:42

424 - Fields Park (USA - OR - Lake Oswego, 4): And partly what we're looking for too is by the end of the week we have to do a kickoff presentation with some high level stakeholders and we want to make sure we at least see where there is alignment or where there isn't alignment and we can at least speak to the fact that hey here everybody's aligned here there's maybe still some differences of opinion but we can come to some consensus about where we want to go from there.

Dan Miller: Gotcha. So Jeff, this is more of a critical functionality discussion related to construction specific payroll.

424 - Fields Park (USA - OR - Lake Oswego, 4): Well, we'll start broadly because of course the goal is to, you know, serve all aspects of construction payroll. So, let's let's start with just to help feed the transcript. Dan, if you could tell us briefly who you are, what you do at Trimble, and what your experience is with construction payroll, both the processes and the products that relate to it.

00:01:36

Dan Miller: Yeah, you bet. So Dan Miller, director of sales engineering Americas, uh was in customer support for BitTech V5, V6, um and implemented Vista ERP and and its payroll was an accounting implementation consultant for seven and a half years and then became the sales engineer for uh Viewpoint and and now the leader of the sales engineers for um AEC for the Americas. So it includes Vista and Spectrum and as well as Techla and everything else. But uh definitely have probably the most experience there with uh the Vista ERP as does my where's my depth come from and within the imple implementing that product. I finished my consulting career at I think 68 implementations uh over those seven and a half years. Uh but I implemented all all types of contractors every every vertical every flavor from underwater welding to uh paper pushing GCs.

424 - Fields Park (USA - OR - Lake Oswego, 4): Okay, fantastic. What makes con first off, what makes payroll hard? Then what makes construction payroll hard?

00:02:52

Dan Miller: Yeah. Uh payroll is hard just in every way, shape, and form from the regulatory changes and what you have to track for every employee, let alone your elections, but also your company paid burdens or employer costs and the myriad of the ways that employees can be paid, what is taxable, what is not taxable, where it's reimburseable, what's not reimburseable. Uh and that's without even throwing a construction into it.

424 - Fields Park (USA - OR - Lake Oswego, 4): Right.

Dan Miller: You add construction, then you have probably the first wave, which is you've got to take care of union uh payrolls and and each union has its own set of book of business with its various levels, pay rates, benefits, and fringes. And then you get more advanced into things like reciprocal agreements between unions when union worker A works in a local of union B and they need to decide what to do uh in terms of where the benefits and the funds go. Um and then you have the the icing on the cake is your uh prevailing wage or your state or federal work uh that's federally funded.

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Dan Miller: So then you have uh the need for certified payroll and the need to track and certify every week and maintain that uh that level of detail every single week that you're on that job and and also make sure if you're the GC to collect the same certified payroll transcripts every week from all the subs on that job. So there is a a full paper trail of every single labor hour that touched that federal project. Uh and then you have the other piece of construction is contractors are, you know, they're they're facing a lot of difficult challenges.

424 - Fields Park (USA - OR - Lake Oswego, 4): Right.

Dan Miller: So getting them to want to stop and key time at the end of their day or key it throughout the

day is no matter what we do, it's still hard. And uh so just getting them to do it is an accomplishment. Getting them to do it accurately and to the right job cost codes for larger construction projects is is another area where construction software really helps because you can narrow down the list of valid phase codes or you can try to help somebody in the field make that process easier.

00:05:23

Dan Miller: Uh, and it's that's where our software can really shine because going back to a uh classic, you know, almost note card, payroll time card entry where it's then pen and paper and then rekeyed in the office as a stack of paper time cards. That's kind of where we've come from from when I started in consulting to now having apps that are native to Trimble as well as a whole partner ecosystem that handle data capture and uh the flow of information from the field to the office. Uh, and then when it gets to the office, that's where our software also shines again with unions, reciprocal agreements, federal, state, local processing, and being able to go from gross to net or your total wages less deductions equal your net pay, and getting to that seamlessly in a in a really comprehensive way for our contractors depending on what type of work they need to do and what fringes and benefits they offer, all that good

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah. So, our understanding for triple financials accounting is that they're starting at the low end of the market and they're going to build their way up.

00:06:37

424 - Fields Park (USA - OR - Lake Oswego, 4): And we're being tasked with a similar approach. So, if we talk about, you know, companies in the and Matt, help me if I don't get the numbers exactly right. the four to 10 employees, the what what do we say the gar is on those Matt?

Matt Thurber: Yeah, roughly 0 to 10 car, but 0 to 20 employees or 10 million can be up to like 30 employees. But again, there's been some different different numbers.

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah. So there's some fudge factor here, right? But if you were if you were tackling that, so you know it it the strategy seems to be let's start way down market and build our way back up from from way down market. So your experience with customers over your career and implementations over the year and things like that, how might you consider starting small and then growing up?

00:07:24

424 - Fields Park (USA - OR - Lake Oswego, 4): Some some of them seem obvious, but we kind of but we want to make sure that we're not just assuming. So what might you do from just like a I know it's just off the top of your head, but like just a simple road mapping exercise of like look, if you were just trying to get something out the door, what might you do to limit the scope to be able to say, hey, let's start here and then what might you do next and what might you do next?

Dan Miller: Yeah, I'd say the other challenge um kind of wrapping it out is the the data input challenge, the payroll processing challenge, and then your monthly, quarterly and federal processing and and distribution of the results of your payroll to

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah.

Dan Miller: all the parties though I would say the back end there is where we will need probably the the

partner or a a system that we can trust and we Natalyia and I can tell you of some of the heartburn we've had with Atrix and then we can also talk about partners like ADP that have kind of a hybrid solutions here and there, but we don't have a a clean output mechanism besides again having to again we

00:08:32

Dan Miller: can always build our own again too, which there's that. But having a clean payroll distribution partner to receive the results of our payroll is a really important thing to consider uh as you go down market because that is where these customers if they fail there they fail and fail hard.

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah.

Dan Miller: If you don't pay somebody they're really pissed off. If you don't pay the government or you get fines or you do a federal project wrong, you know, you you face things, you face losing your business, right? You face a lot worse things and penalties and and a lot of really ugliness happens if we can't get the export in a super crazy easy way.

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah.

Dan Miller: And and I don't know if we want to take that on or partner could help us there. So, but I I would consider that It does.

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah. You were saying for down market, right?

00:09:28

424 - Fields Park (USA - OR - Lake Oswego, 4): So for like like Vista does everything you just described all on its own, right?

Dan Miller: Although, Natalian, I could tell you that it's Is it turnkey where you can just go and hit a button and it tells every state and federal distribution? Well, the feds are really good. We get that right. The states, you have to be trained on how to to really do the unemployment and nail the the processes there.

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah. Right.

Dan Miller: Uh, and the local is pretty manual. Um, you've got to really be dialed on how to do local taxes.

424 - Fields Park (USA - OR - Lake Oswego, 4): Sure.

Dan Miller: Even though we can set it up, it doesn't make it. It's not it's not filling out. It's not doing an API integration to every federal, state, and local school district to tax local and everything else and filling those all out for you.

00:10:19

Dan Miller: Whereas where a lot of the low-end competitors, those are some things they tout is the integration to all of the filing, right? You can literally I think I had two commercials about that today just listening to Bloomberg like okay I'm hear you loud and clear, right?

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah.

Dan Miller: So if we're taking the output frame of mind that would be an area you know we where we can shine is the way we our payroll process itself and how it's construction specific is outstanding. That's what contractors need. That's why they want to come to us for payroll.

424 - Fields Park (USA - OR - Lake Oswego, 4): Right.

Dan Miller: But the output is still very painful. And and so when you think about making that more

seamless for our customers, especially long term, Jeeoff, as you're thinking about, you know, roadmapping it to where a Spectrum customer or a Vista customer could see a value added benefit to moving to uh Prism uh over time, then then this would be a leg up for like, hey, make it better than what they have today in Vista and Spectrum.

00:11:27

Dan Miller: Uh because Atrix is is rough. Uh and Natalia just correct me on anything I'm I'm getting wrong here, but I I know there's a lot of let's just say there's a lot of room for improvement for the experience of our customers for month end, quarter end, year end process.

424 - Fields Park (USA - OR - Lake Oswego, 4): Okay.

Natallia Prokin: Yeah, for sure. I mean, Atrix is I mean, is good for a moms and pop shop that deal with 10 employees and it's very uh manual, but when you have to scale it up, customers don't even want to discuss it. And I think it yes, I don't know what else is out there, you know, cuz maybe ADPs of the world uh would be too expensive for somebody that's very small.

Dan Miller: And that's where I don't know if Atrix is the best partner even at that SMB right level. Natalyia, as you said, it's, you know, maybe there's something better.

Natallia Prokin: Um but maybe there's somebody else

424 - Fields Park (USA - OR - Lake Oswego, 4): Right.

00:12:24

424 - Fields Park (USA - OR - Lake Oswego, 4): There's Gusto. There's um you know a few other smaller providers. Right. But um I think Dan, real quick because we also have limited time here.

Dan Miller: Sure.

424 - Fields Park (USA - OR - Lake Oswego, 4): Let's shift like that's a great insight and I appreciate that.

Dan Miller: Sure.

424 - Fields Park (USA - OR - Lake Oswego, 4): That's definitely one of the things we're looking at is partnering where we can. So, you know, to give you another example, instead of building all the time data collection, we're looking at using Track Spera as the data collection component. Maybe at some point we white label it so it looks like Trimble Financials payroll and we can have what looks like a turnkey solution even though it's still track behind the scenes.

00:12:57

Dan Miller: Yeah, that's that's a good one.

424 - Fields Park (USA - OR - Lake Oswego, 4): But bringing it Yeah.

Dan Miller: Yeah. Yeah. Track square is a good example.

424 - Fields Park (USA - OR - Lake Oswego, 4): Right. or even if we have to eventually do employee onboarding and earnings and or deductions and then the HRIS potentially becomes another integration partner even though it's an internal. So we're definitely looking at that. Let's talk about the market itself and how you might segment that down. So you know you've talked about certified, you've talked about union, we've talked about different rules in different jurisdictions, we've talked about customer size.

Dan Miller: Mhm.

424 - Fields Park (USA - OR - Lake Oswego, 4): From your knowledge of the market, what could you do to scale down or scope down some of those things in order to get an MVP out the door that maybe doesn't have all the bells and whistles, but it's likely enough to begin to start, you know, priming the pump of some revenue at that low entry point to the market.

00:13:48

Dan Miller: Yeah, I would say you will you need to pair this whatever we do uh from a job cost lens first.

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah.

Dan Miller: And so that initial if you visualize the time card entry grid or any type of time capture tracker Vista payroll time card entry we think about that core component of the raw data that then becomes the payroll. That piece of the puzzle making that integration with job cost really easy for the payroll folks. meaning that uh the job phase setup or the even the way that they they look to track payroll and and make it a a data entry or the the way that we can geo fence or use trackp to to know what job you're on, right? So you you start taking risk off the table on uh for the smaller customers that they need to make sure they get really high quality job cost so their business can grow and they know where they've made money

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah.

00:14:52

Dan Miller: and helping them the job cost module what I'm getting at in compar tying job cost and payroll together and bringing that harmony is one of the ways you can competitively differentiate against the other small end providers from day one.

424 - Fields Park (USA - OR - Lake Oswego, 4): Okay.

Dan Miller: Um yeah.

424 - Fields Park (USA - OR - Lake Oswego, 4): So, yeah. So, you'd still job cotton is still a part of even the down market. In fact, in some ways, maybe even more of a competitive more of a a vital competitive advantage at that entry point. Um, what what about you know when do I guess it's possible that a really small company could do union and maybe you don't have the answer off the top of your head but let's say we we didn't do union and certified payroll at first is that have we cut too much maybe we limit the jurisdiction so we don't try to support every state right away or something like that have we cut too much too soon or if we're talking about you know incremental delivery over time is there some cut off point where you'd say yeah if you get that out the door that's great you ship something but it's not really viable.

00:15:53

424 - Fields Park (USA - OR - Lake Oswego, 4): To get it to viability, you're going to need whatever like what do your instincts say? Like where the the first point where you could say now we have something we can make money with is going to require that doesn't mean every jurisdiction, every reg, you know what I mean? Some something like that, right?

Dan Miller: Yeah. Yeah. And then that's where again it does get really tricky because you could get a non-union contractor. Uh but you still will need a way to track job specific rules.

424 - Fields Park (USA - OR - Lake Oswego, 4): Right. Okay.

Dan Miller: um even if it's not a union, you you it it's got to have that ability to apply a job specific lens and then an employee specific rules. So the employee and the job become a matrix to tell the payroll how things work.

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Dan Miller: And and so you what I'm getting at is if you be delayed unions, you that's not the end of the world, but you can't I mean it'd be really hard to say you're skipping out on certified if you

424 - Fields Park (USA - OR - Lake Oswego, 4): Right.

Dan Miller: want to get a job cost system out the door because if you're a small one, you might be a sub. You'd be feeding your subs, your uh certified payroll transcript as a subcontractor up to a GC that may be using Visttor Spectrum.

424 - Fields Park (USA - OR - Lake Oswego, 4): right?

Dan Miller: But you you if you could take that certified payroll and get LCP tracker, EMARS, and then a certified payroll print out that is a PDF printout or even a fillable PDF printout that the payroll feeds that now you're talking now you got you're taking care of my certifies. You've got job specific rules even though they're not unions. Uh so you basically what I'm saying is you could build a workaround system while you're looking to build out unions and reciprocal agreements which are much harder uh and significantly more difficult than job specific rules and employee specific

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424 - Fields Park (USA - OR - Lake Oswego, 4): Right.

Dan Miller: rules which are a little bit more cut and dry uh in terms of uh complexity.

424 - Fields Park (USA - OR - Lake Oswego, 4): Okay.

Dan Miller: Uh, and it would buy you some time and and to get some runway with a tracker field capture, a time card entry that can handle non-union, but it can handle job specific rules and it can do a certified payroll out of the box. And then you partner and we we tell them you have to hit this button and we partner with hero payroll and it just off it goes, you know, and you're you're the other one that don't forget about labor

424 - Fields Park (USA - OR - Lake Oswego, 4): Right.

Dan Miller: burden though. So the other thing that if you really want to smash the competition, take a reminder on the power of payroll to job cost and how you handle burden and what you send over to job cost. So literally the output internally to our job cost module.

00:18:44

Dan Miller: I'm not as worried about GL. GL is is not going to be it's a thing, but Natalyia and I can handle that. Where you want to win is not in the journal entry output of payroll. It's in how you can configure job cost.

424 - Fields Park (USA - OR - Lake Oswego, 4): Okay.

Dan Miller: Meaning that some jobs.

424 - Fields Park (USA - OR - Lake Oswego, 4): Talk about that a little bit more because you know we're we're transcribing this so burden may not be clear to people following this later.

Dan Miller: Yeah. Burden.

424 - Fields Park (USA - OR - Lake Oswego, 4): So yeah.

Dan Miller: Yeah. You bet. So burden is the companies. Uh so if I you and I, Jeff, we own um uh let's just call it Edwards Construction. So, uh, in Edwards Construction, we have our 10 employees and we pay each employee \$50 an hour and they worked, you know, 40 hours, \$2,000 or what, you know, off we go. That base wage and that 2,000 um, they also have to pay FUDA, SUDA, FICA on the employer side.

00:19:35

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah.

Dan Miller: So, all the employer benefits are called burden in construction. So u the Australians call it on cost and they have these other terms for it but in general United States terminology employer burden is the cost a contractor pays that doesn't go to the employee it goes directly to benefit providers um state and local government uh it's all those costs. So the big big dogs are when you look at electrical, mechanical, union employees where the fringe package and the burdens can creep up to 50, 60, 70% equal to the rate of pay. So if you pay somebody, you know, \$50 an hour as an electrician union, you might be paying them \$35 an hour in total fringe package benefits and employer burdens. And then it's being able to then push that to the right place in job cost so that you have the power to control the burden flow.

424 - Fields Park (USA - OR - Lake Oswego, 4): right? That makes sense.

00:20:40

424 - Fields Park (USA - OR - Lake Oswego, 4): And so to take that back to brass tax, it sounds like uh to summarize but also maybe put a little flavor on it, there's no point in shipping something that doesn't have job costing because now you're it's not even construction payroll anymore. That's like that's the B that's table stakes here.

Dan Miller: correct.

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah. And I figured but it's good to get confirmation of that. So So job costing and payroll.

Dan Miller: Yeah.

424 - Fields Park (USA - OR - Lake Oswego, 4): Are there other way like again let's go like down like maybe it's not even a minimum viable product. if we just want to get something out the door like would it could we look at you know just doing 1099 as a starter could we look at fewer limited jurisdictions to get off the ground knowing we can add more later or you know what are other ways we could I don't want to say cut corners because it's not about cutting corners but it's about incrementally building out the system

00:21:23

Dan Miller: You Yeah. Yeah. I I would look to the richest target market. Let's say Texas. Let's just pick on Texas as an example. Don't pick on California. You that would not be a winning uh programming argument. But pick on Texas. Uh, and then we we launched the product in that state for the non-UN, for job specific, for the SMBs of Texas where we likely, if I'm a gambling man, would say the second largest market next to California, but also significantly less restrictions and less issues, right?

424 - Fields Park (USA - OR - Lake Oswego, 4): No income tax. Some Yeah, some other stuff going on.

Dan Miller: And we get our foothold while we build out unions. So we start you start getting the building blocks of a really strong construction Pacific payroll but you start with a local where we can launch without a lot of the same punishment that we just kind of make it

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah.

00:22:21

Dan Miller: a hey you're if you're a Texas contractor you only work in Texas we're starting there and we would then be able to potentially have hundreds of customers in the SMB market that would be in that space uh and

424 - Fields Park (USA - OR - Lake Oswego, 4): Right.

Dan Miller: don't have the California requirements that a lot of it is comes back to the way the time is captured and the way that you have to track breaks and meals and if you miss a meal you get paid

424 - Fields Park (USA - OR - Lake Oswego, 4): Well, now so great. Now, pausing there. Tell us what makes California such a challenge compared to Texas.

Dan Miller: more. So there is a whole handful of additional rules to do construction and and to have labor in California that is not uh the same in every other state.

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah. Meal penalties, peace, peace work, minimum wage, that kind of stuff, too.

00:23:07

Dan Miller: And again, Vista and Spectrum, they added all that.

424 - Fields Park (USA - OR - Lake Oswego, 4): Is that also on your mind there?

Dan Miller: Here's what I found. Uh peacework, not as much. That is one where it's it's still really a custom technical project for Vista and it's it's sort of there for spectrum but peace peace work peace meal that is a risk for smaller drywallers and other peace rate companies

424 - Fields Park (USA - OR - Lake Oswego, 4): Okay,

Dan Miller: but I would say I would I would try to remove the peace rate payroll people out of our initial pool with this true yeah and and and have a plan for how to handle unitbased payroll where you compare

424 - Fields Park (USA - OR - Lake Oswego, 4): right. But eventually you're going to have to support it for California, right?

Dan Miller: it back to minimum wage. I mean, peace rate payroll is a we can talk to Ken and Big, but I built it once with Ken for a an NP mechanical in 2020 and we it's not a cheap custom workaround for a Vista customer.

00:24:09

424 - Fields Park (USA - OR - Lake Oswego, 4): Oh, I know.

Dan Miller: I Yeah.

424 - Fields Park (USA - OR - Lake Oswego, 4): I built peace I built peace rate for farm labor. So, I've I've been down this road before. And when you talk about California, Yes. There's a reason construction contractors call California country.

Dan Miller: Yeah.

424 - Fields Park (USA - OR - Lake Oswego, 4): Yes. And they call Berkeley the uh capital of the socialist Democratic Republic of California. But anyway, I digress. Uh so, in our time left, first off, that's great affirmation um of kind of our our MVP or I don't even like the term MVP, but like, you know, let's get something out the door.

Dan Miller: Yeah.

00:24:38

424 - Fields Park (USA - OR - Lake Oswego, 4): Uh we can we can scope it down. Texas seems like a great place to start. Um, any other questions from the group for Dan? That's been really helpful so far.

Dan Miller: The other the other one just get in your notes is that the way that our systems map wage codes or earnings codes to job cost is is a really priceless piece of the initial core.

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah.

Dan Miller: So that that zippering up effect uh so that customers let's and the sophisticated ones I don't know if they'll have this my friends but some of them may want burden isolated on their job cost report separately from labor that's always been a core component of what Trimble has offered or viewpoint or bite you know you name it right the the ability to isolate in a job cost report if you wanted it labor from labor burden is another place you you can get an initial win.

00:25:36

Dan Miller: um hopefully for not a lot of code on the back end because it's it's all the burden burden be mapped to a different cost type from direct labor and wages and then later down the track throw equipment in

424 - Fields Park (USA - OR - Lake Oswego, 4): Okay, awesome insights.

Neil Cadsawan: more.

Dan Miller: there and now you got the equipment module and but I think you could do job cost everything job cost everything payroll work your way up to union reciprocal agreements and multi-state and then you're kind of you're dialed and

Neil Cadsawan: Are you

Dan Miller: then we can talk about equipment and then how equipment flows into payroll uh and then service right it kind of you can grow it in that way uh and do a lot of really cool things anyway I know the time's up Yeah, sure.

424 - Fields Park (USA - OR - Lake Oswego, 4): Okay. Yeah. Neil, did you have a question?

Neil Cadsawan: I had a quick question, Tan.

00:26:23

Neil Cadsawan: Um, is there anything that you've heard from our customers of things that viewpoint of Tribble could do better in payroll that they might not do now?

Dan Miller: I uh you know going away from ERP specific but into a general output Neil I would look straight arix and our output of how we handle the distribution of payroll results out for the local state and federal reporting agencies and insurance bonding firms. Uh that's that's been you know a challenge. We solved

some of that with a couple partners LCP tracker and EMARS for things like certified payroll but we uh we have not really cracked that nut of difficulty u on the output Neil that's big. Um let's say the other one is adding a friendly workflow so that when a payroll person leaves a Vista customer it is a big deal because of that knowledge tribal knowledge and so one of the things that has would really help end users would be to provide them a visual workflow of where the payroll is. So having something that imagine Natalya logging in and she's filling in for the payroll manager who's on vacation and then it can kind of walk her through step by step.

00:27:54

Dan Miller: You are here in your payroll journey. You have 10 steps to go. Right now we built that sometimes into the Vista main menu. We use the workflow module and spectrum. It kind of has a little bit of a hierarchy thingy in there similar to that. But that would that's always been an issue with the way you get people comfortable on what do they have to do next in payroll is that would be a big win for all of our customers uh day one because the training people on construction specific payroll and having them want to stay in your firm. uh man you're the easier we make it to learn our payroll system and to know how to process a payroll uh will be a really good day and I can give you examples of mockups and things that we've tried to build in Vista we built SSRS dashboards to try to create you know you are here type environments in Vista but it's it's a report it's it's something that doesn't come with the system um so I know that that's more an enduser user story and back to the the challenge our customers have with outputs of payroll to third parties.

00:29:06

Neil Cadsawan: All right, great.

424 - Fields Park (USA - OR - Lake Oswego, 4): Yeah.

Neil Cadsawan: Thanks, Dan.

Dan Miller: Yeah, always Neil. Of course.

424 - Fields Park (USA - OR - Lake Oswego, 4): Anything else? I know we're out of time, but thanks, Dan. Really appreciate it.

Dan Miller: Yeah, of course.

Shakyma Edwards: Yeah. I have I have a like a a question. Um do you see any opportunities as we're forward looking for AI to support how AI could support these workflows or any of the workflows?

Dan Miller: uh a strong yes uh the some of the biggest areas AI can provide a lens is is looking at um let's just call it variance accounting or variance and delta analysis. So you go from week to week uh last week we had no overtime. This week we have 120 hours of overtime. Okay, that's flagged. What happened? Tell me who they are. Uh, you have an employee with a negative balance in their net pay.

00:30:02

Dan Miller: You have an employee whose garnishment didn't go this week. Tell me more. You have a series of checks and balances that AI could monitor and provide a level of feedback to either assistant controller, controller, payroll manager, right? There's all these other stakeholders and our users that are there. But the health, your payroll health and having an AI agent that's there to help you understand the

health of your weekly payroll would would be an awesome thing.

Shakyma Edwards: Awesome.

Dan Miller: And I know talking to Vivic and he's he's working on some cool stuff for Vista like that. But it's what helps Vista would help a brand new customer, too. Um uh but I Yeah, the helping them Yeah.

Shakyma Edwards: Thank you. Oh, go ahead.

Dan Miller: uh Shakma, help him with the risk um help them with that risk of did I get all my time? Did I miss anybody? Uh last week to this week and that that's where we can really shine. And right now we've got like a series of all these exception reports that come out of the box. And then our customers like Natalia, I'm sure when she was at our our clients, she probably built five, six payroll analysis reports that just looked for anomalies.

424 - Fields Park (USA - OR - Lake Oswego, 4): down.

Shakyma Edwards: Yeah. Awesome. And uh just it's Shaima, so just for No, no, that's okay.

Dan Miller: Oh, Sha, sorry. I should have asked.

Shakyma Edwards: It's a It's a hard one. No problem. It's okay